

CLASS OF BUSINESS/CPD

Focus: CLASS 3, 7.9

Subclasses: 3.1, 3.2, 3.3, 3.4, 3.5, 3.6, 7.9

Subject: Long-Term Product Solutions

Material Owner



This material was
developed by

Johann Cloete CFP®

Integrity Academy (Pty) Ltd

PGDFP, BA, OD-ETD Practitioner

INSETA Assessor number: 04A1300456

INSETA Moderator number: 04M1300068

Updates by:

Wynand Louw CFP®, FIISA

Aquila Financial Solutions

PGDFP, BTh (Unisa); NED (AN Eng); ADiIM; DII; DRFM; CFMP; ICIBS; COP; SDF

INSETA Assessor number: 04A1301357

INSETA Moderator number: 04M1300343

Disclaimer:

*While every effort has been made to ensure the learning material is accurate, **Integrity Academy (Pty) Ltd** takes no responsibility for any loss or damage from reliance upon the information contained herein.*

Version

6.0

Updated

2025

Accreditation

9 CPD Hours
FPI24059121



APPROVED
CONTINUOUS PROFESSIONAL DEVELOPMENT
PROGRAMME

Content

CLASS OF BUSINESS/CPD	2
FOCUS: CLASS 3, 7.9.....	2
SUBCLASSES: 3.1, 3.2, 3.3, 3.4, 3.5, 3.6, 7.9	2
CONTENT	3
GLOSSARY OF TERMS.....	6
<i>LEARNING OUTCOMES</i>	10
INTRODUCTION	12
UNIT 1	21
GENERAL PRINCIPLES OF ASSURANCE PLANNING AND RISK MANAGEMENT	21
PURPOSE.....	22
RISK MANAGEMENT	22
1.1 WHAT IS ASSURANCE?.....	23
1.2 LAW OF CONTRACT	23
1.3 REQUIREMENTS FOR MISREPRESENTATION TO BE PROVED	25
1.4 VICARIOUS LIABILITY OF AN EMPLOYEE	26
1.5 INDEMNITY AND NON-INDEMNITY ASSURANCE	27
1.6 INSURABLE RISK	27
1.7 UNINSURABLE RISK	28
1.8 INSURABLE INTEREST	28
UNIT 1: SUMMARY.....	30
UNIT 1: SELF-ASSESSMENT.....	31
UNIT 2	32
ASSURANCE PRODUCTS AND THE LONG-TERM ASSURANCE ACT	32
PURPOSE	33
2.1 ACTS THAT GOVERN LONG-TERM ASSURANCE	33
2.2 ASSISTANCE POLICIES.....	36
2.2.1 GENERAL CHARACTERISTICS, TERMS AND FEATURES OF FINANCIAL PRODUCTS IN AN ASSISTANCE POLICY	36
2.2.2 TYPICAL FEE STRUCTURES, CHARGES AND OTHER COSTS ASSOCIATED WITH AN ASSISTANCE POLICY	40
2.2.3 GENERAL RISKS ASSOCIATED WITH INVESTING OR TRANSACTING IN AN ASSISTANCE POLICY	41
2.2.4 THE APPROPRIATENESS OF AN ASSISTANCE POLICY FOR DIFFERENT TYPES OF CLIENTS OR A GROUP OF CLIENTS.....	42
2.3 HEALTH POLICIES	42
2.4 LIFE RISK POLICIES.....	42

2.4.1	THE GENERAL CHARACTERISTICS, TERMS, AND FEATURES OF FINANCIAL PRODUCTS IN A LIFE RISK POLICY	43
2.5	INCOME PROTECTOR INSURANCE	47
2.5.1	THE TYPICAL FEE STRUCTURES, CHARGES AND OTHER COSTS ASSOCIATED WITH A LIFE RISK POLICY	47
2.5.2	THE GENERAL RISKS ASSOCIATED WITH INVESTING, PURCHASING OR TRANSACTING IN A LIFE RISK POLICY	48
2.5.3	THE APPROPRIATENESS OF LIFE-RISK PRODUCTS FOR DIFFERENT TYPES OF CLIENTS OR GROUPS OF CLIENTS	51
2.6	LIFE INVESTMENT POLICIES	51
2.6.1	THE GENERAL CHARACTERISTICS, TERMS, AND FEATURES OF FINANCIAL PRODUCTS IN A LIFE INVESTMENT POLICY	52
2.6.1.3	THE TYPICAL FEE STRUCTURES, CHARGES AND OTHER COSTS ASSOCIATED WITH A LIFE INVESTMENT POLICY	53
2.6.1.4	INVESTMENT AND RISK PRINCIPLES, OPTIONS AND STRATEGIES FOR A LIFE INVESTMENT POLICY	53
2.6.5	THE GENERAL RISKS ASSOCIATED WITH INVESTING, PURCHASING OR TRANSACTING IN A LIFE INVESTMENT POLICY	55
2.6.6	THE APPROPRIATENESS OF LIFE INVESTMENT PRODUCTS FOR DIFFERENT TYPES OF CLIENTS OR GROUPS OF CLIENTS	56
2.7	FUND POLICIES	57
2.7.1	THE GENERAL CHARACTERISTICS, TERMS, AND FEATURES OF FINANCIAL PRODUCTS IN A FUND POLICY	57
2.7.2	THE TYPICAL FEE STRUCTURES, CHARGES AND OTHER COSTS ASSOCIATED WITH A FUND POLICY	59
2.7.3	THE GENERAL RISKS ASSOCIATED WITH INVESTING, PURCHASING OR TRANSACTING IN A FUND POLICY	60
2.7.4	THE APPROPRIATENESS OF FUND POLICY PRODUCTS FOR DIFFERENT TYPES OF CLIENTS OR GROUPS OF CLIENTS	61
2.8	SINKING FUND POLICY	63
2.8.1	THE GENERAL CHARACTERISTICS, TERMS, AND FEATURES OF FINANCIAL PRODUCTS IN A SINKING FUND POLICY	63
2.8.2	THE TYPICAL FEE STRUCTURES AND CHARGES IN SINKING FUND POLICIES	64
2.8.3	IDENTIFY THE GENERAL RISKS ASSOCIATED WITH INVESTING, PURCHASING OR TRANSACTING IN A SINKING FUND POLICY	64
2.8.4	VALIDATE THE APPROPRIATENESS OF A SINKING FUND POLICY FOR DIFFERENT TYPES OF CLIENTS OR GROUPS OF CLIENTS	64
2.9	REINSURANCE POLICY	65
2.9.1	DESCRIBE THE GENERAL CHARACTERISTICS, TERMS, AND FEATURES OF FINANCIAL PRODUCTS IN A REINSURANCE POLICY	65
1.	EXPLAIN THE TYPICAL FEE STRUCTURES, CHARGES, AND OTHER COSTS ASSOCIATED WITH A REINSURANCE POLICY	67
2.	IDENTIFY THE GENERAL RISKS ASSOCIATED WITH INVESTING, PURCHASING OR TRANSACTING IN THE REINSURANCE POLICY	67
3.	VALIDATE THE APPROPRIATENESS OF A REINSURANCE POLICY FOR DIFFERENT TYPES OF CLIENTS OR GROUPS OF CLIENTS	67
2.10	THE LONG-TERM ASSURANCE ACT	68
2.11	INCOME TAX	70
2.12	PREMIUMS AND RISK	71

2.13 RESTRICTIONS OF LIFE POLICIES IN TERMS OF SECTION 54	73
2.14 ANTI-SELECTION AND UNDERWRITING	74
2.15 NON-DISCLOSURE	75
2.16 REQUIREMENTS FOR MARKETING LONG-TERM PRODUCTS.....	76
2.17 AMENDED LONG-TERM ASSURANCE REGULATIONS	87
2.18 IMPACT OF LEGISLATION AND TAX ON LIFE INSURANCE POLICIES	91
INTRODUCTION	91
2.18.1 APPLICATION OF THE FAIS ACT	92
2.18.2 IMPACT OF FICA	94
2.18.3 POLICYHOLDER PROTECTION RULES (PPR)	95
TREATING CUSTOMER FAIRLY (TCF)	95
2.18.4 APPLICATION OF POPIA.....	98
2.18.5 THE APPLICATION OF THE INSURANCE ACT 18 OF 2017 TO LONG-TERM INSURANCE .	99
2.18.6 THE FINANCIAL SECTOR REGULATION ACT 9 OF 2017	100
2.18.7 THE LONG-TERM INSURANCE ACT 52 OF 1998	100
2.18.8 IMPLICATIONS OF TAX ON LONG-TERM INSURANCE PRODUCTS	100
2.19 INDUSTRY CODES	103
THE APPLICABLE INDUSTRY CODES.....	103
2.19.1 GLOBAL FOREX CODE OF CONDUCT	103
2.19.2 FAIS GENERAL CODE OF CONDUCT	103
2.19.3 FAIS ADMINISTRATIVE CODE OF CONDUCT	104
2.19.4 FAIS DISCRETIONARY CODE OF CONDUCT	104
2.19.5 ASISA STANDARDS.....	104
UNIT 2: SUMMARY	106
UNIT 2: SELF-ASSESSMENT	108
UNIT 3	110
APPLICATION OF STRUCTURED LONG-TERM ASSURANCE PORTFOLIOS.....	110
PURPOSE	111
KO1: ANALYSING TERM PRODUCTS TO DETERMINE THE COVER	112
KO2: ANALYSING CONVENTIONAL LIFE ASSURANCE PRODUCTS TO DETERMINE THE COVER	114
KO3: ANALYSING UNIVERSAL LIFE PRODUCTS TO DETERMINE THE COVER.....	118
KO4: ANALYSING RETIREMENT ANNUITIES TO DETERMINE THE STRUCTURE	121
KO5: ANALYSING INVESTMENT-LINKED PRODUCTS TO DETERMINE THE COVER	125
KO6: INTERPRETING DIFFERENT SUPPLEMENTARY BENEFITS AVAILABLE WITH INDIVIDUAL LIFE POLICIES.....	127
KO7: ANALYSING LONG-TERM REASSURANCE PRODUCTS TO DETERMINE THE COVER.....	135
UNIT 3: SUMMARY	153
UNIT 3: SELF-ASSESSMENT	154

Glossary of Terms

Accidental death	A sudden and unforeseen event occurring at an identifiable place and time has a visible, violent, or external cause and results in the death of the life assured.
Amendment	An attachment to a policy that modifies certain policy benefits.
Annuitant	1. A person who receives the benefits of an annuity or pension. 2. The person upon whom a life assurance contract is based. 3. In other words, the annuitant is the beneficiary of an annuity or pension. 4. An annuitant can be the contract holder or someone else designated the title. Proceeds of the contract are given to the beneficiary upon the annuitant's death to protect the beneficiary from a loss of income.
Application	A signed request for cover giving information about the prospective policyholder.
Assurance	Assurance promises compensation for specific potential future losses in exchange for a periodic payment. Assurance is designed to protect an individual, company or other entity's financial well-being in case of unexpected loss. Some forms of assurance are required by law, while others are optional. Agreeing to the terms of an assurance policy creates a contract between the insured and the insurer. In exchange for payments from the insured (called premiums), the insurer agrees to pay the policyholder a sum of money upon the occurrence of a specific event. In most cases, the policyholder pays part of the loss (the deductible), and the insurer pays the rest. Examples include car assurance, health assurance, disability assurance, Life assurance, and business assurance. In law and economics, assurance is a form of risk management primarily used to hedge against a contingent, uncertain loss risk. Assurance is defined as the equitable transfer of the risk of a loss from one entity to another in exchange for payment. An insurer is a company selling the assurance; an insured, or policyholder, is the person or entity buying the assurance policy. The assurance rate is a factor used to determine the amount to be charged for a certain amount of assurance coverage, called the premium.
Assurance policy	An assurance contract describes the terms, coverage, premiums and deductibles.
Automated advice	The furnishing of advice through electronic media that uses algorithms and technology without the direct involvement of a natural person.
Beneficiary	An individual, institution, trustee, or estate which receives, or may become eligible to receive, benefits under a will, assurance policy, retirement plan, annuity, trust, or another contract.
Benefit	A benefit is a payment or entitlement, such as one made under an assurance policy, employment agreement, public assistance program or, more generally, something of value or usefulness.
Business Assurance	It is assurance written for businesses. It can refer to health or Life assurance written for a company's principals. It can also refer to short-term assurance, covering business risks such as fire, theft, accidents, etc.
Compound interest	Interest is calculated based on the initial capital amount and any interest paid into the account, thus creating the opportunity to earn interest on interest.
Contract	1. In exchange for lawful consideration, a binding agreement between two or more parties for performing, or refraining from performing, some specified act(s). 2. The unit of trade for a financial or commodity future.
Cooling off period	The policyholder may reconsider and/or cancel his/her contract during this period without incurring any penalties, provided he/she has not made any claims.
Death benefit	The amount on a Life assurance policy or pension is payable to the beneficiary when the annuitant passes away. A death benefit may be a percentage of the annuitant's pension. For example, a beneficiary might be entitled to 65% of the annuitant's monthly pension. Alternatively, the benefit may be a large lump-sum payment from a Life assurance policy. The size and structure of the payment are determined by the type of policy the annuitant held at the time of death.

Disability assurance	A disability assurance policy pays benefits if the policyholder becomes incapable of working.
Diversification	Spread an investment portfolio over a wide range of asset classes to avoid serious losses. In laypeople's terms, this means not putting one's eggs into one basket.
Dread disease	Any critical illness that impacts a person's lifestyle and longevity is expensive to treat and usually causes significant permanent residual morbidity. Examples are cancer, heart attack, stroke, etc.
Features	These are characteristics or factual statements that describe a product or service.
Financial Services	The Financial Sector Regulation Act of 2017 defines "financial service" as providing advice, recommendations, or guidance concerning a financial product, a foreign financial product, or a financial instrument.
Financial Service Provider	The authorised financial services provider that sells life insurance or other policy to you.
Grace period	The time, usually 30-31 days, following the premium date, you can pay an overdue premium while keeping your insurance policy in force throughout this period.
Health assurance/ Medical scheme	Health assurance/ medical aid protects against loss by illness or bodily injury. Health assurance covers medicine, doctor or emergency room visits, hospital stays, and other medical expenses. Policies differ in what they cover, the size of the deductible and/or co-payment, limits of coverage and the options for treatment available to the policyholder. Individuals can purchase health assurance/medical scheme cover or provide it through an employer.
Health event	An event relating to the health of the mind or body of a person or an unborn, other than a disability event.
Insurance Policy	The insurance policy is a contract (generally a standard form contract) between the insurer and the insured, known as the policyholder, which determines the claims the insurer is legally required to pay. In exchange for an initial payment, known as the premium, the insurer promises to pay for loss caused by perils covered under the policy terms.
Insured	1. The person, group, or property for which an assurance policy is issued. 2. The condition of having assurance.
Insurer	3. A person or company providing insurance to the public. 4. The insurer is a party to an assurance arrangement that indemnifies losses.
Interest	Interest is earned on money in an interest-bearing account or paid to lenders for the privilege of borrowing money.
Interest rates	The rate of charge or return for borrowing and lending money or investing is usually expressed as a percentage of the total amount (sum) borrowed or invested per annum.
Insurable risk	Eventuality for loss or damage that is (1) definable, (2) fortuitous, (3) similar to a large number of known exposures, and (4) pays a premium that is commensurate with the potential loss.
Lapsed Policy	A policy was terminated because of failure to pay the premium(s).
Legislation	Legislation refers to laws that the government makes. They are necessary to regulate and control the insurance industry.
Life Annuity	A life annuity is an assurance product with a predetermined periodic payout amount until the annuitant's death. These products are most frequently used to help retirees budget their money after retirement. The annuitant pays into the annuity periodically when they are still working. However, annuitants may also buy the annuity product in one large purchase. When the annuitant retires, the annuity makes periodic (usually monthly) payouts to the annuitant, providing a reliable source of income. When a triggering event (such as death) occurs, the periodic payments from the annuity usually cease. Because of the complex nature of annuity products and their implications for the annuitant's standard of living, people are well-advised to consult a reputable professional before purchasing any annuity product. Due to the tax-preferred nature of annuities, wealthy investors or above-average income earners often use these Life assurance products to transfer large sums of

	money or mitigate the effects of taxes on their annual income.
Life assurance	Life assurance pays to a beneficiary when the insured dies.
Liquidity	The ability to easily turn an investment into cash without significant capital loss.
Long-term investment	A means of saving, usually for more than five years.
Material misrepresentation	A significant misstatement in an application form. For example, you did not tell the truth about a situation or withheld crucial information when applying for coverage which would have caused the company to deny your insurance if they had known the truth.
Natural death	Death occurs from natural causes such as disease or old age rather than from an act of violence or injury sustained in an accident.
Nominal interest	They are also known as simple interest earned on the principal amount invested without compounding.
Policyholder	The policyholder is the owner of an assurance policy, usually, but not always, the insured.
Pooling	It refers to the process whereby many different investors pool their money into a portfolio, such as with a unit trust.
Premium	Money is paid by the policy owner for coverage.
Reinstatement	The resumption of coverage under a policy that has lapsed because of non-payment of the premium after the grace period has ended.
Risk	Risk is a condition in which there is a possibility of an adverse deviation from the desired outcome that is expected or hoped for. ¹ Or Risk refers to the possibility of suffering loss. From an investment perspective, it is related to the uncertainty of the rate of return or the safety of the principal capital amount.
Risk Management²	Risk management can be defined as the identification, analysis, and prioritisation of risks followed by implementing strategies to minimise, monitor, and control the probability and/or impact of unfortunate events. The strategies to manage risk include: • Risk avoidance – as the name implies, this would consist of taking action to avoid risky situations. • Risk reduction – implementing measures to minimise the risks a client or their property is exposed to. The intention should be to decrease the chance of a loss or reduce the magnitude of a possible loss. • Risk transference – death or the loss of or damage to an asset can ruin a client financially. The most common and well-known methods to transfer risks are to take out long-term and/or short-term assurance. • Retention of risk – although the risk may have financial consequences for a client and/or their business, the client may decide to carry it. It is known as self-assurance and normally applies to smaller risks.
Short-term investment	A means of short-term savings to fulfil unforeseen circumstances (generally less than 12 months).
Tax	Tax can be defined as a compulsory contribution to state revenue levied by the government on workers' income and business profits or added to the cost of some goods, services, and transactions.
Taxation	A levy on individuals or companies by the State to finance the Government expenditure.
Term Life assurance	These policies provide a stated benefit upon the policy owner's death, provided that the death occurs within a specific period. However, unlike permanent Life assurance policies, which have a savings component that can be used for wealth accumulation, the policy does not provide any returns beyond the stated benefit.
Underwriting	Underwriting is the function of evaluating the subject of insurance, whether a person, property, profession, business, or other entity, and determining whether to insure it. It is the process by which an underwriter accepts or declines a

1 Vaughan J, *Fundamentals of Risk & Assurance*, page 18. Wiley

2 *Fundamentals of Financial Planning*, LexisNexis

	proposal for cover under a risk product. Where the proposal is accepted, underwriting will determine the specific terms on which the policy is accepted, i.e. if the proposal for insurance is accepted at ordinary rates or if loading or exclusion is required.
Uninsurable risk	It is a condition or situation that fails to meet the requirements of insurable risk, such as where a loss is inevitable (as the death of a patient suffering from a terminal illness) or where the damage is gradual (such as corrosion or rusting of metals).
Universal Life assurance	Universal Life assurance was created to provide more flexibility than whole Life assurance by allowing the policy owner to shift money between the assurance and savings components of the policy. Variable premiums are broken down by the assurance company into assurance and savings, allowing the policy owner to make adjustments based on their circumstances. For example, if the savings portion earns a low return, it can be used instead of external funds to pay the premiums. Unlike whole life assurance, universal life allows the cash value of investments to grow at a variable rate that is adjusted monthly.
Variable interest rate	An interest rate that moves up and down based on an underlying interest rate index changes, such as the prime rate.
Waiting period	The period after taking out the policy is when premiums are payable, but the policyholder cannot claim certain benefits.
Whole-Life assurance Policy	A Life assurance contract with level premiums has both an assurance and an investment component. The assurance component pays a stated amount upon the death of the insured. The investment component accumulates a cash value the policyholder can withdraw or borrow against.

Learning Outcomes

Examine the various assurance planning principles, assurance products, long- and short-term deposits and their application in the Long-Term assurance environment:

- General principles of assurance planning and risk management;
- Assurance Products and the Long-term Assurance Act;
- Apply knowledge and skill to explain the application of structured long-term assurance portfolios.

Outcome 1: General principles of assurance planning and risk management.

Knowledge Outcome

- Explain your understanding of assurance;
- Discuss the law of contract with regard to the following aspects:
 - Meaning of a contract;
 - Termination of a contract;
 - Voidable contracts;
 - Duress;
 - Undue influence;
 - Misrepresentation;
- Discuss what is required for misrepresentation to be proved:
 - Act or conduct;
 - Wrongfulness;
 - Fault;
 - Detrimental result;
 - Causation;
- Discuss vicarious liability of an employee with regards to:
 - Vicarious liability;
 - Delictual liability;
- Explain indemnity and non-indemnity assurance;
- Describe insurable risk;
- Describe uninsurable risk;
- Discuss insurable interest.

Outcome 2: Assurance Products and the Long-term Assurance Act.

Knowledge Outcome

- Describe the Acts that govern long-term assurance:
 - Point out the difference between the Long-Term and Short-Term Assurance Acts;
 - Define Long-Term assurance policies;
 - Briefly discuss life policies;
 - Discuss the classes of long-term policies as defined in the Act.
- Discuss the definitions of assurance products:
 - Describe an assistance policy;
 - Describe a health policy;
 - Describe a disability policy;
- Describe a fund and fund member policy;
- Describe a sinking-fund policy;
- Discuss the Long-term Assurance Act about the following:
 - Parties to the Life assurance contract;
 - Protection of policies against insolvency;

- Discuss the Income Tax Act about the five-fund approach;
- Discuss how a life assurer determines premium and risk assessment;
- Discuss the restriction of life policies in terms of section 54;
- Discuss anti-selection and underwriting;
- Discuss the impact of non-disclosure;
- Discuss the requirements for marketing long-term assurance.

Outcome 3: Apply knowledge and skill to explain the application of structured long-term assurance portfolios.

Knowledge Outcome

- Analysing Term Products to determine the cover;
- Analysing Conventional Life assurance products to determine the cover;
- Analysing Universal Life Products to determine the cover;
- Analysing Retirement Annuities to determine the structure;
- Analysing Investment-Linked Products to determine the cover;
- Analysing Long-term reinsurance policy;
- Interpreting different supplementary benefits available with individual life policies

Introduction



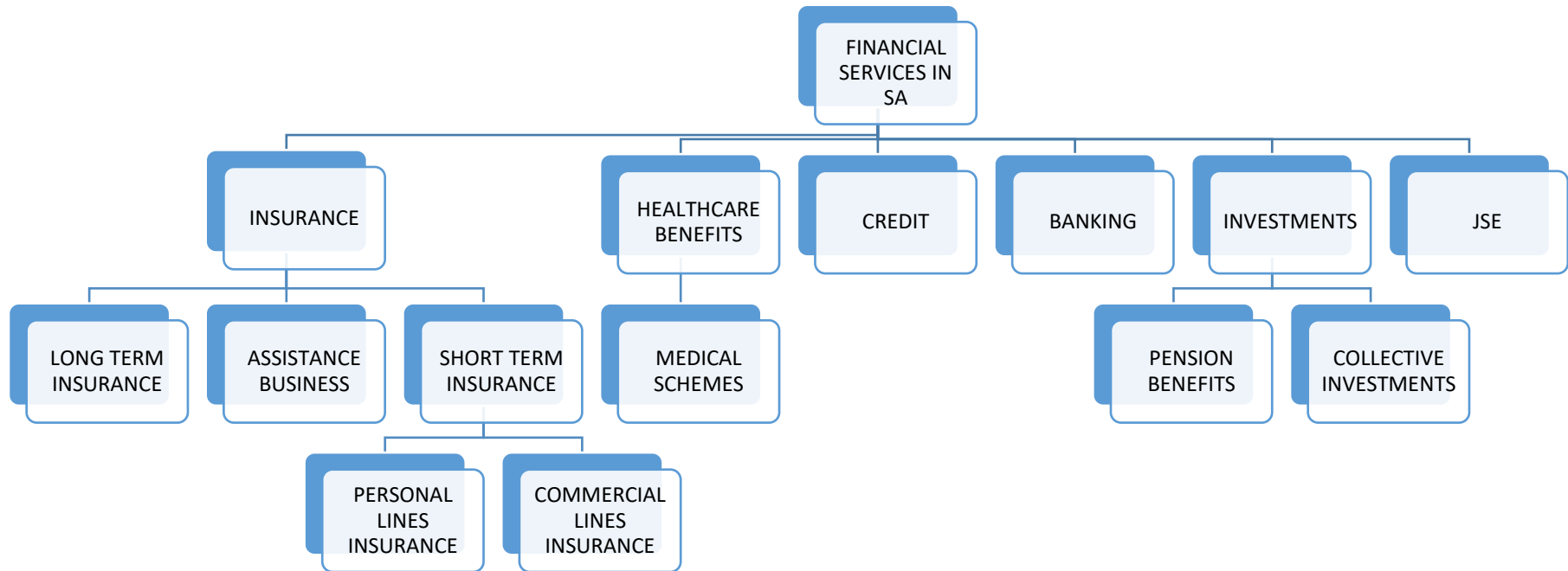
Class of Business is an industry classification of insurance products according to the insured's perils and exposure. The purpose of classifying the insurance business is to group homogeneous risks for rate development purposes. - <https://www.irmi.com/term/insurance-definitions/class-of-business>.

Unlike product training, class of business training includes training on product features, including the typical fee structures and the suitability of different products or features for different types of clients. Class of business training also looks at the impact of current events on these products. Current events are not limited to technology, socio-economic, socio-political, and legislative changes.

i) The structure of financial services in South Africa

The financial services sector is made up of the following sectors (as shown in the diagram on the next page):

1. Insurance sector (consists of life and non-life insurance).
2. Healthcare benefits sector (medical aid schemes).
3. Banking sector (lending, deposits, withdrawal, financing, etc.)
4. Credit providers (strictly for lending and financing of personal and business projects).
5. Investments (collective investments, pension benefits).
6. JSE (multi-asset securities exchange – bonds, equities, options, etc. are traded).



ii) The legal structure of the financial services sector

	Legislation & Compliance requirements	Registering/Supervising body
Healthcare Benefits (Medical schemes)	Register and comply as per the Medical Schemes Act 131 of 1998.	Registrar of Medical Schemes within the Council of Medical Schemes.
Johannesburg Stock Exchange (JSE)	Financial Markets Act, 19 of 2012.	Financial Sector Conduct Authority (FSCA).
Assurance – Life Assurance	Insurance Act of 2017 (replaced the prudential framework of the Long-Term Insurance Act).	Licensed by the Prudential Authority
Insurance – non-life insurance	Insurance Act of 2017 (replaced the prudential framework of the Short-Term Insurance Act).	Financial Sector Conduct Authority (FSCA).
Banking	The Banks Act, 1990 Financial Sector Regulation Act 9 of 2017 FSCA.	Licensed by the Prudential Authority.
Retirement benefits	The Pension Funds Act 24 of 1956.	The Registrar of Pension Funds registers each fund.
Collective investments	Collective Investments Schemes Control Act 45 of 2002.	Registrar of Collective Investments Classification of collective investments maintained by ASISA.
Credit	National Credit Act 34 of 2005.	National Credit Regulator.

iii) Regulators in the financial services market

1. National Credit Regulator³

The National Credit Regulator (NCR) was established under the National Credit Act 34 of 2005 (the Act) and regulates the South African credit industry. It is tasked with conducting education, research, policy development, registration of industry participants, investigation of complaints, and enforcement of the Act.

The Act requires the Regulator to promote the development of an accessible credit market, particularly to address the needs of historically disadvantaged persons, low-income persons, and remote, isolated, or low-density communities.

The NCR is also tasked with registering credit providers, credit bureaux and debt counsellors and enforcing compliance with the Act.

2. Commissioner

The natural person appointed by the Minister of Finance in terms of the Financial Sector Regulation Act to regulate the conduct of product suppliers and FSPs. The Commissioner was previously known as the Registrar. A commissioner is a regulator for the financial services sector in South Africa, whose job is to promote fair customer treatment and the efficiency and integrity of financial markets. A Commissioner works closely with a Deputy Commissioner to ensure close working relationships between the FSCA and key stakeholders in the financial sector, including the

³ www.ncr.org.za

National Treasury, South African Reserve Bank, National Credit Regulator, and Financial Intelligence Centre. They are also responsible for ensuring the FSCA participates and is properly represented in local coordinating structures and the relevant international forum.

The current Commissioner for FSCA is Mr Abel Sithole.

3. FSCA⁴

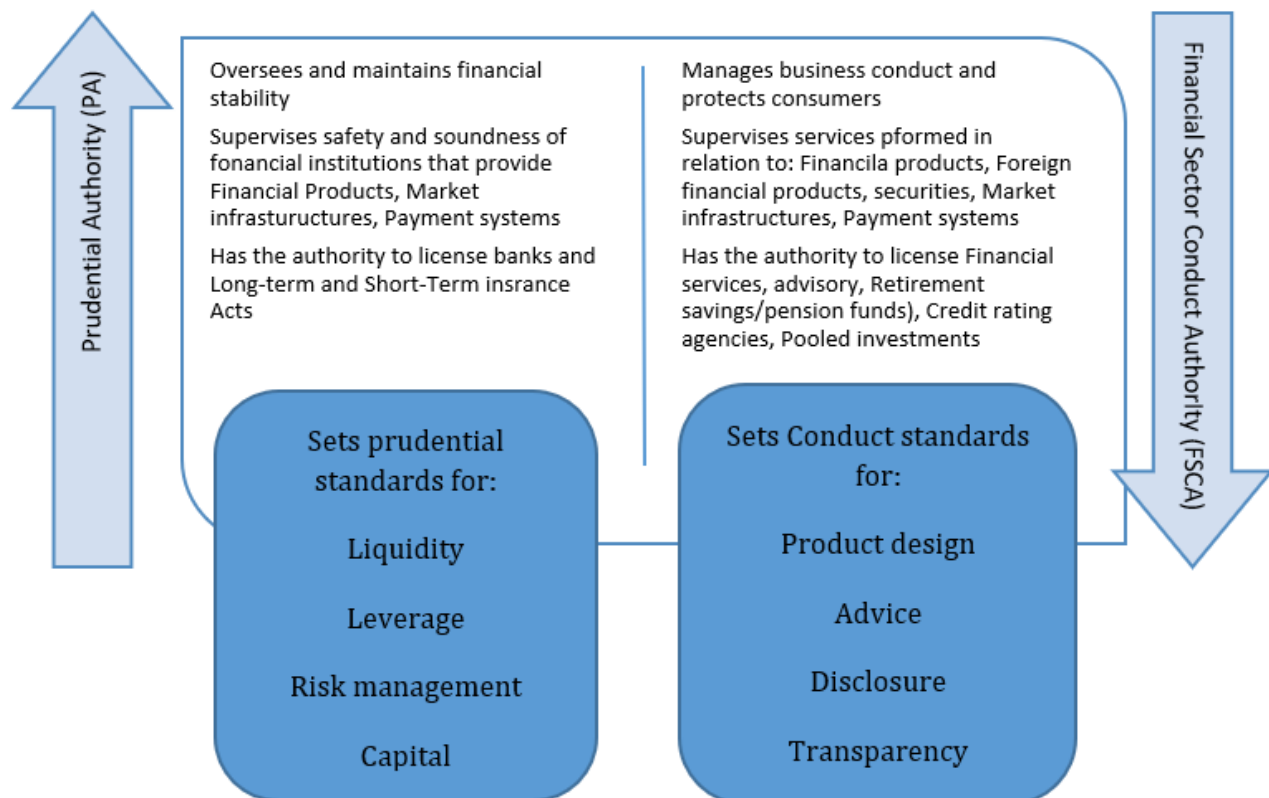
The Financial Sector Conduct Authority (FSCA) is the market conduct regulator of financial institutions providing financial products and services. These institutions are licensed under financial sector law, including banks, insurers, retirement funds, administrators, and market infrastructures.

The FSCA is responsible for market conduct regulation and supervision. It aims to enhance and support the efficiency and integrity of financial markets and protect financial customers by promoting their fair treatment by financial institutions and providing them with financial education. The FSCA will further assist in maintaining financial stability.

FSCA was previously known as the Financial Services Board (FSB).

4. Prudential Authority

Previously, all banks were regulated by the Banking Supervision Department of the South African Reserve Bank (SARB), and all non-bank financial institutions (FSPs, insurers, pension funds, collective investment schemes, and market infrastructures) are regulated by the Financial Sector Conduct Authority (FSCA). Each institution complies with its industry-specific piece of legislation.



The current financial services regulatory structure

⁴ www.fsc.co.za

iv) The legal structure of the insurance sector

The Insurance Industry has split into life and non-life insurance (long-term and short-term). The Insurance Act 18 of 2017 defines life and non-life insurance business as follows:



“Life insurance business” means any activity to enter or meet insurance obligations under a policy.

“non-life insurance business” means any activity conducted to enter or meet insurance obligations under a non-life insurance policy.

“non-life insurance policy” means any arrangement under which a person, in return for a provision being made for the rendering of a premium to that person, undertakes to meet insurance obligations that fully or partially indemnify loss on the happening of an unplanned or uncertain event, other than— (a) a life event; or (b) a death event or disability event not resulting from an accident, and includes renewal or variation of that arrangement.

According to the Short-Term Insurance Act, a short-term policy means an engineering policy, guarantee policy, liability policy, miscellaneous policy, motor policy, accident and health policy, property policy, transportation policy or a contract comprising a combination of any of those policies. It includes a contract whereby any such contract is renewed or varied.

Short-term insurance products are sold under the different classes of insurance discussed above. In personal lines insurance, short-term insurance products are:

- House owners’ insurance.
- House contents insurance.
- Motor insurance (includes trailer, caravan, and golf insurance).
- All risk insurance.
- Watercraft insurance.
- Personal liability insurance (not a standalone policy, sold with buildings, contents, motor, and watercraft insurance).

Registration requirements for life and non-life insurance business

Life and non-life insurance companies register with FSCA to get their operating licenses. An application is submitted to the Commissioner of the FSCA. Several licensing requirements should be met before a licence is granted to an applicant. These requirements are specified in the Financial Advisory and Intermediary Services Act 37 of 2002 (FAIS Act).

The licensing requirements are as follows:

1. Personal character qualities of honesty and integrity (no fraud, criminal proceedings) and good standing
2. Competence, including experience, certain qualifications, Regulatory Exams, Class of Business and Product-Specific Training, and knowledge.
3. Operational ability.
4. Financial soundness (of the business) (enough financial resources).
5. Continuous professional development (workshops, seminars, qualifications, and courses) related to the category for which one has a licence.

Licensing requirements are discussed extensively in regulatory exam training material, as they form a huge part of the knowledge required to pass the exam.

Once all these licensing requirements are met, the applicant is deemed fit and proper and granted a licence that authorises them to provide advice and/or intermediary services on a selected license category. An insurer meeting all the licensing requirements is an authorised financial services provider (FSP).

Different licensing categories separate FSP's businesses. Big insurance companies sometimes have licenses for more than one category.

Category	What is does
Category I Ordinary FSP	A Category I FSP renders ordinary financial services in that they can only act on client instruction. We can distinguish between <u><i>advice and intermediary service</i></u> in this category. Advice is any recommendation, guidance, or proposal of a financial nature furnished to any client by any means or medium. Intermediary Services are any acts other than giving advice where a person acts on behalf of a client or product supplier concerning a financial product.
Category II Discretionary FSP	A discretionary FSP renders intermediary services of a discretionary nature regarding the choice of a particular financial product but without implementing any bulking. According to the Code of Conduct for Administrative and Discretionary FSPs "bulking" means the aggregation by an administrative FSP of: (a) clients' funds when buying or investing in financial products on behalf of clients, and the subsequent allocation of such financial products to each client separately in the records of the FSP; (b) the financial products belonging to clients when selling such financial products on their behalf, and the subsequent allocation of the proceeds of such sale to each client separately in the records of the FSP.
Category IIA Hedge Fund FSP	A hedge fund FSP renders discretionary intermediary services regarding the choice of a particular hedge fund or fund of hedge funds for a particular financial product.
Category III Administrative FSP	An administrative FSP renders intermediary services regarding financial products on the instructions of a client or another FSP through <i>bulking</i> .
Category IV Assistance Business FSP	An assistance business FSP administers assistance policies*. It includes a person who is a binder holder as defined in the Regulations under the Long-term Insurance Act, where that binder holder performs such administration. <i>* Administration of assistance policies means work performed by a person relating to the offsetting of claims, processing of claims or payment of fees or commission concerning an assistance policy.</i> <i>*Offsetting claims means paying policyholders' claims and offsetting such claims against premiums received from the policyholder for remittal to a long-term insurer.</i>



If an FSP desires to provide advice and/or intermediaries under more than one licence, then applications will need to be obtained for each of the required categories to be deemed fit and proper.

v) The role players in long-term insurance**a) Insured**

The person whose life is covered in an insurance policy.

b) Policyholder

The one who buys an insurance policy and the cover is issued in their name.

c) Beneficiary

A person nominated by the policyholder to receive policy benefits when the policyholder passes on.

d) Key Individual

Key Individuals (KI) manage and oversee the activities for rendering any financial service. KIs are enormously responsible for carrying out their **duties** with the necessary due care, skill, and diligence.

The Key Individual must meet set Fit and Proper requirements per the FAIS Act.

e) Intermediary

This means any person, including a person employed or mandated by such first-mentioned person, who renders a financial service to a client for or on behalf of a financial services provider, in terms of conditions of employment or any other mandate, but excludes a person rendering clerical, technical, administrative, legal, accounting or another service in a subsidiary or subordinate capacity.

The representative must meet set Fit and Proper requirements per the FAIS Act.

f) Financial Service Provider

A Financial Service Provider (FSP) is a business offering financial advice and/or intermediary services (such as brokerages, insurance companies, etc.),

g) Compliance Officer

A natural person who monitors the compliance function of the FSP with the requirements of the FAIS Act and other subordinate legislation.

In terms of the FAIS Act, the following roles are explicitly mentioned in the legislation:

- Monitor compliance with the FAIS Act.
- Submit compliance reports and other compliance-related reports to the Commissioner.
- Take responsibility for liaison with the Commissioner.
- Supervise the compliance function which is established by the FSP.
- Act with diligence, care, and degree of competency required from a compliance officer.
- Provide the FSP with written reports at least quarterly indicating the course of and progress achieved with compliance monitoring duties and make recommendations to the FSP.

The compliance officer must meet set fit and proper requirements per the FAIS Act.

h) Ombud for FSPs

The Ombud considers and disposes of FAIS complaints if the internal FSP complaints procedure fails and the complainant wants to pursue the matter.

The Ombud is required to be independent and impartial.

i) Regulators

In South Africa, Twin Peaks is regulated in the financial sector. This means there are two regulators: the Prudential Authority (PA) and the Financial Sector Conduct Authority (FSCA). The PA is mainly responsible for prudential regulation, which considers aspects like solvency ratios and insurers' meeting capital requirements. In contrast, the FSCA regulates market conduct and consumer protection.

j) Life underwriter

⁵Underwriting is a process where the insurer checks who qualifies for insurance and how much they qualify for. Insurers set their pricing based on average risks. Underwriters must determine which people stand out from the average and charge them the correct premium for their unique risk. It keeps life insurance premiums fair for everyone.

While underwriting can seem painstaking, the process is streamlined as far as possible by only asking for essential information required to initiate policies. Truthful, comprehensive disclosure is imperative for underwriters to make accurate assessments.

A life underwriter is a person who stands in between a life insurance company and an insurance agent to evaluate whether an applicant for life insurance may pass for acceptance. An underwriter's functions determine the amount of premium the applicant will pay.

Insuranceopedia explains Life Underwriters.

Life underwriters evaluate an applicant's risks based on the information in the application form. Modern underwriting employs computer software to determine the level of risk for insurance applicants. If the standard evaluation is breached, the life underwriter may resort to other mechanisms for evaluation, such as current medical condition, medical history, job functions, financial standing, and other factors that help establish the realistic level of risks the applicant carries. Often, a life insurance agent is mistakenly called a life underwriter.

Some life risk policies and sinking fund policies require underwriting to assess the risk and determine the premiums one has to pay.

k) Claims processor

Insurance claims processors evaluate whether to issue a payment (and how much) on a policyholder's insurance claim. Sometimes, claims processors work with investigators to establish the validity and accuracy of claims; then, they determine whether the claim is valid or not. The claims processor ensures that all necessary forms are included and the documentation is complete. He/she then issues payment following the individual policy involved in the claim.

The next sections detail claim procedures and required documentation for life risk policy and assistance policy claims.

vi) Classes of business in life insurance



A life insurance policy is an arrangement under which a person, in return for a provision being made for the rendering of a premium to that person, undertakes to meet insurance obligations in the event of a life event, health event, disability event or death event, from a fixed, determinable date or at

the request of the policyholder, but excludes:

⁵ <https://www.liberty.co.za/news-media/consumer-articles/Pages/why-the-process-of-underwriting-is-important.aspx>

- (i) A deposit with an institution authorised under the Banks Act, 1990 (Act No. 94 of 1990), the Mutual Banks Act, 1993 (Act No. 124 of 1993), or the Co-operative Banks Act, 2007 (Act No. 40 of 2007).
- (ii) Participatory interests in a collective investment scheme are registered in the Collective Investment Schemes Control Act, 2002 (Act No. 45 of 2002).

It includes renewal or variation of that arrangement.

The classes of business in Long Term Insurance are as follows:

1. Assistance policy.
2. Life risk policy.
3. Life investment policy.
4. Fund policy.
5. Sinking fund policy.
6. Long-term reinsurance policy.

A detailed explanation of these classes of the life insurance business is provided in each of the next sections.

In each of these classes of business, you will find life products as classified in Annexure A – Subcategories of FSPs. Long-term insurance products are found in the following subcategories:

CATEGORY	FINANCIAL PRODUCTS
Long-term insurance: Sub Cat A	Assistance policies (funeral policies).
Long-term insurance: Sub Cat B1	Life risk policies (Life and disability insurance).
Long-term insurance: Sub Cat B1-A	Life risk policies require no or limited underwriting (income protector insurance).
Long-term Insurance: Sub Cat B2	Life investment policies with a guarantee (endowment policies with a guaranteed minimum amount/ guaranteed annuity).
Long-term insurance: Sub Cat B2-A	Life investment policies invest the premiums in a portfolio, and the policyholder is unable to request a change or amendment to that portfolio.
Long-term insurance: Sub Cat C	Life investment policies (endowment with no guarantee).

Unit 1

General principles of assurance planning and risk management



General principles of assurance planning and risk management.

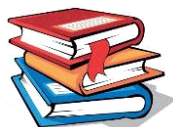


3.2 Life Risk Policy

3.3 Life Investment Policy

You will need to achieve the following:

- Explain your understanding of assurance;
- Discuss the law of contract concerning the following aspects:
 - Meaning of a contract;
 - Termination of a contract;
 - Voidable contracts;
 - Duress;
 - Undue influence;
 - Misrepresentation.
- Discuss what is required for misrepresentation to be proved:
 - Act or conduct;
 - Wrongfulness;
 - Fault;
 - Detrimental result;
 - Causation.
- Discuss the vicarious liability of an employee with regards to:
 - Vicarious liability;
 - Delictual liability.
- Explain indemnity and non-indemnity assurance;
- Describe insurable risk;
- Describe uninsurable risk;
- Discuss insurable interest.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).



Purpose

Assurance can be defined in many ways and from many different points of view. For example, from an economic viewpoint, assurance reduces financial risk by transferring it from a policy owner to an insurer. The social aspect of assurance involves the collective bearing of losses through contributions by all group members to pay for losses some group members suffer.

From a business viewpoint, assurance achieves risk sharing by transferring risks from individuals and businesses to financial institutions specialising in risk. The insurer is not paying for the loss. The insurer writes the claim check but transfers funds from individuals who, as part of a pool, paid premiums that created the fund from which the claims are paid.

Lastly, from a legal standpoint, an assurance contract (policy) transfers a risk for a premium (consideration) from one party (the policy owner) to another party (the insurer). It is a contractual arrangement in which the insurer agrees to pay a predetermined sum to a beneficiary in the event of the insured's death. Under a legally binding contract, the possibility of an unknown substantial financial loss is exchanged for a comparatively small payment. This contract is not a guarantee against a loss occurring but a method of ensuring that payment is made for a loss that does occur.

Risk Management

Life entails risk, which is the possibility of loss. People generally seek security and avoid uncertainty.

The risk of death is unavoidable and is primarily an economic threat if premature when an individual may be exposed to substantial financial responsibilities yet has not had the time to accumulate wealth to offset the financial needs of survivors. Life assurance provides a tool for risk management, a process for dealing with the risk of loss of life.

Assurance substitutes certainty for uncertainty by pooling groups of people who share the risks to which they are exposed. Combining individual uncertain risks makes the possible loss more specific and provides a financial solution to the problems created by the loss.

Small, specific periodic contributions (premiums) by the individuals in the group provide a fund from which those who suffer a loss are compensated. The certainty of losing the premium replaces the uncertainty of a more significant loss. Life assurance thus manages the uncertainty of one party by transferring a particular risk (death) to another party (the insurer) who offers a restoration, at least in part, of relatively significant economic losses suffered by the insured individual.



Indemnity

The essence of assurance is the principle of indemnity, which states that the person who suffers a financial loss is placed in the same financial position after the loss as before the loss occurred. He neither profits nor is disadvantaged by the loss. In practice, this is much more difficult to achieve in Life assurance than in property assurance. No Life assurance company would assure an amount exceeding the estimated economic value of the covered life. Limiting the amount of Life assurance sold to reflect economic value recognises the rule of indemnity. Only persons exposed to the potential loss may legitimately own the assurance covering the insured's life.

1.1 What is assurance?

Assurance, therefore, is a promise of compensation for specific potential future losses in exchange for a periodic payment. Assurance is designed to protect an individual, company or other entity's financial well-being in case of unexpected loss. Some forms of assurance are required by law, while others are optional. Agreeing to the terms of an assurance policy creates a contract between the insured and the insurer. In exchange for payments from the insured (called premiums), the insurer agrees to pay the policyholder a sum of money upon the occurrence of a specific event. In most cases, the policyholder pays part of the loss (called the deductible), and the insurer pays the rest. Examples include car assurance, health assurance, disability assurance, Life assurance, and business assurance.

In law and economics, assurance is a form of risk management primarily used to hedge against a contingent, uncertain loss risk. Assurance is defined as the equitable transfer of the risk of a loss from one entity to another in exchange for payment. An insurer is a company selling the assurance; an insured, or policyholder, is the person or entity buying the assurance policy. The assurance rate is a factor used to determine the amount to be charged for a certain amount of assurance coverage, called the premium.

1.2 Law of Contract

1.2.1 Meaning of a contract

Understanding the nature of a contract in the financial services industry is essential because financial products and services are intangible. This unit provides a brief introduction to how a contract operates.

Briefly, a *contract* is:

- an agreement;
- made between the parties concerned; and
- to create an obligation or obligations.

For a contract to be considered a **valid** contract, several essential elements must be present:

- One or more parties agree to perform in the future; that is, one or more undertake to give or do something. Both parties have the same intention about the performance. One party makes a definite offer to perform, which the other party accepts.
- The parties have the legal capacity to contract. Examples of parties who cannot enter into a contract include minors or (clinically certified) insane persons.
- The parties seriously intend to enter into the contract.
- Although not all contracts must be in writing, it is essential to note that an oral agreement is more difficult to prove. It is best to reduce necessary contracts to writing and have all parties sign them. The written contract usually embodies the verbal agreement previously made between the parties.
- The contract is not contrary to law, public policy, or good morals in its formation, purpose, or performance.

1.2.2 Termination of a contract

A contract may be terminated for any one of the following reasons:

1. The contract is *void from the beginning*. In effect, the contract never took place for one reason or another; for example, one of the parties was insane, and there was no express agreement concerning performance, or the performance was against public policy.

2. It is a *voidable contract*. This means that even though all the essential elements are present, an occurrence at the time of the contract's conclusion entitles one of the parties to cancel the contract. These occurrences include misrepresentation, duress, and undue influence.
3. It is an *unenforceable contract*. This means that the terms of the contract cannot be applied.

1.2.3 Voidable contracts

We focus on voidable contracts as this is where most delictual liability for financial advisors arises. As mentioned above, a voidable contract is a valid one signed by a financial advisor and a client that may be set aside on specific grounds. In some instances, damages may be claimed from the party misled under the contract.

A contract may be voidable when the prejudiced party has been subjected to one of the following situations:

1.2.3.1 Duress

Where a person does not enter into a contract voluntarily or freely, he may be entitled to terminate the contract if the following four elements are present:

- reasonable fear is present;
- the fear is caused by a threat to the party concerned or to his family;
- the threat is imminent, and
- the threat is illegal.

1.2.3.2 Undue influence

Undue influence occurs when a party to the contract whose consent is voluntary has been unduly influenced by the words and conduct of the other party.

1.2.3.3 Misrepresentation

Misrepresentation is the most likely form of fraud or wrongdoing in the financial services industry. It usually consists of a false statement of fact made by one of the parties to the contract before or at the time of the contract's conclusion. Misrepresentation may consist of either a wrongful act or an omission.

When a wrongful act or omission occurs, it constitutes a delict or wrongdoing that entitles the aggrieved party (usually the client) to claim damages where it meets the requirements for liability under a delict.

Liability under a delict may arise in the following circumstances:

- Negligent misrepresentation is where an incorrect statement is made in good faith and believed to be accurate. It occurs when a financial advisor does something or fails to do something he should have done or ought to have known. It leads to the client being prejudiced in some way. The financial advisor is judged on what is 'reasonably' expected from him.
- Intentional misrepresentation is when a statement is made, knowing it is false. It occurs when a financial advisor intentionally gives clients the wrong facts (misrepresents) to induce them to invest in a particular product.

1.3 Requirements for misrepresentation to be proved

Although there have not been many cases involving the delictual liability of financial advisors, with the increase in consumer awareness, a more active financial press and legislation containing penalties designed to enforce ethical practices, there will be an increasing number of financial advisors at risk should they not give clients the 'best' advice in the circumstances.

All five of the following elements must be proved by the person claiming that a financial advisor is delictually liable on the grounds of misrepresentation. The elements are as follows:

1.3.1 Act or conduct

The client claiming misrepresentation must prove that a party made a misrepresentation to the contract or by a representative of the party to the contract. It may consist of an affirmative act, such as making statements that are not correct, falsifying a document, or guaranteeing expected returns on a policy to induce a client to take the investment. It may also occur by omission; in other words, the financial advisor does not disclose a relevant fact, such as the risk of an equity-linked policy in the event of a stock market crash.

1.3.2 Wrongfulness

An act is wrongful if it is contrary to reasonable conduct. The reasonableness of the conduct is tested against the standard of conduct accepted in a particular society.

It is important to note that this concept incorporates a duty of care that the financial advisor toward his client must exercise. This duty of care is based on what the financial advisor could reasonably have expected. The test is what the 'reasonable' advisor would have done in the same circumstances, compared to what the advisor did in the circumstances. The more skills and knowledge a financial advisor has, the higher the duty of care becomes.

1.3.3 Fault

The aggrieved party who wishes to establish delictual liability for misrepresentation must prove that the 'misrepresentor' has acted fraudulently or negligently.

1.3.4 Detrimental result

- Should the aggrieved party wish to cancel the contract merely, he must show that the contract was entered into based on the misrepresentation.
- Should the aggrieved party wish to claim damages, he must prove that he suffered damages (financial loss) as a result of concluding the contract.

1.3.5 Causation

The misrepresentation must have been an essential element in concluding the contract or some of its terms.

1.4 Vicarious liability of an employee

What does vicarious liability mean? Vicarious liability arises when a company or organisation employ a financial advisor. The company or organisation that has employed the financial advisor is responsible for his actions where he acts within the scope of his employment contract. Even in situations where the financial advisor has acted outside the scope of his employment contract and where he has acted negligently or fraudulently, the company or organisation may be liable.

Should a claim for damages arise due to a wrongful act on the part of a financial advisor and the company or organisation is held responsible, the company or organisation has a claim against the financial advisor for the damages paid.

1.4.1 Vicarious liability

Usually, the guilt of an accused person is determined by his acts and his own state of mind. However, in certain circumstances, a natural or legal person may be held responsible for the deeds of another even though he did not expressly order or permit the commission of those deeds or was even aware of them. The liability in such circumstances will stem from the relationship between the person performing the deed and the person held liable for it. In other words, there is an implied authorisation in a contract of employment between employer and employee. For an employer to be liable for the actions of its employee, the following conditions must be present:

- There must be an employer-employee relationship present;
- The act must have been committed in the course and scope of the employee's contract of employment (in other words, acts committed by the employee in the exercise of the functions that he was appointed to perform); and
- The wrongful act of the employee must have caused the damage.

Considering the above principles, vicarious liability can arise in an employment relationship where an FSP employs a representative or key individual. The FSP is responsible for the actions of the representative or key individual where he acts within the scope of his employment contract. Generally, an employer cannot be liable for the actions of an employee when he acts outside the scope of his employment contract. However, in certain circumstances, where the representative or key individual has acted outside the scope of his employment contract and where he has acted negligently or fraudulently, the FSP may still be liable. In such circumstances, a decision is made based on the facts of the particular case.

Various reasons have been given for holding an employer liable for the actions of their employees, mainly that the employer is bound to see that his affairs are conducted with due regard to the safety and best interests of others. Further, just as an employer acquires profit from his employees, so he is responsible for the loss incurred by his employees.

Should a claim for damages arise due to a wrongful act by a key individual or representative, and the FSP is held responsible and must pay the damages, the FSP has a claim against the key individual or representative for the damages paid.

However, when an agent, such as an FSP, acts in terms of a mandate, the general rule is that there is no employer-employee relationship. Therefore, a product provider cannot be held liable for the FSP's wrongful act. Thus, an FSP will be liable under the law of delict for any wrongful act or omission that resulted in a client suffering a loss. In such circumstances, the client will sue the FSP directly.

1.4.2 Delictual liability of an independent broker

Under the law of delict, an independent broker is liable for any wrongful act or omission that has resulted in a client suffering a loss. However, it is essential to note that there is no vicarious liability

in this instance, as independent brokers work for themselves and not for a company or organisation. In such circumstances, the client can sue the independent broker directly.

1.5 Indemnity and non-indemnity assurance⁶

Two principal assurance forms have been developed: indemnity assurance and non-indemnity assurance. The original meaning of “indemnity” was simply compensation for the patrimonial or material loss.

In indemnity assurance, the contract between the parties provides that the insurer will indemnify the insured for patrimonial loss or damage suffered due to the event insured against. The purpose of the contract is to restore the insured to the same position before the loss, and the insured is not entitled to make a profit out of their loss. In a contract of non-indemnity assurance, the insurer undertakes to pay a specified amount to the insured on the happening of the event insured against. For example, R50 000 will be paid if the insured dies or loses a limb. On the face of it, the contract does not purport to indemnify the insured against patrimonial loss. Non-indemnity assurance depends on an event that invariably relates to the insured's person (mind or body) or a third party. Therefore, assurance against other events must take the form of indemnity assurance.

In summary, Life assurance is considered non-indemnity assurance instead of indemnity assurance. Non-indemnity assurance means the sum insured does not bear any relationship to the value of the actual loss. On the other hand, indemnity assurance is such that the sum insured must bear a relationship to the value of the item insured (i.e., short-term assurance). This distinction implies that there is no limit to the amount of life assurance that may be affected by an individual's life (it is objectively impossible to place a value on any person's life). Since the sum insured in short-term assurance is limited to the item's value lost, rules for contributions between insurers are necessary only for indemnity assurance.

Significant consequences are attached to the distinction between indemnity and non-indemnity assurance. Non-indemnity insurers are not entitled to claim a proportionate contribution by other insurers or to demand subrogation of the insured's rights in respect of the loss.

An insurable interest is seen not as much as the object of a contract of non-indemnity assurance but rather as a requirement for the contract's validity to avoid wagering on lives. Consequently, a contract of non-indemnity assurance is void if unsupported by a proper interest.

1.6 Insurable Risk

An insurable risk is a risk that meets the ideal Outcome of adequate assurance. The concept of insurable risk underlies nearly all assurance decisions.

For a risk to be insurable, several things need to be true:

- The insurer must be able to charge a premium high enough to cover both claims expenses and the insurer's expenses. In other words, the risk cannot be catastrophic or so large that no insurer could hope to pay for the loss.
- The nature of the loss must be definite and financially measurable. That is, there should not be room for argument as to whether or not payment is due, nor what amount the payment should be.
- The loss should be random; else, the insured may engage in adverse selection (anti-selection).

Assurance is not sufficient for risks that are not insurable. For example, too large risks cannot be insured, or the premiums would be so high as to make purchasing the assurance unfeasible. Also, if

⁶ Adapted from The Law of South Africa, Volume 12. LexisNexis.

insured, risks that are not measurable will be difficult, if not impossible, for the insurer to quantify, and thus, they cannot charge the correct premium. They will need a conservatively high premium to mitigate the risk of paying a large claim. The premium will thus be higher than ideal and inefficient. The passing of risk involves both parties to the contract.

The general rule is that the risk passes with the title unless otherwise agreed. An agreement to the contrary may be either expressed or implied.

1.7 Uninsurable risk

Some risks are too high for an assurance company to take on. An uninsurable risk is where the potential for loss is too high or the assurance is considered illegal, criminal, or prohibited by public policy.

For example, a person could be considered an uninsurable risk if their medical examination and other evidence suggest the potential for loss is exceptionally high. If the medical evidence indicates that the patient is terminally ill, a Life assurance company will likely decide that the person is an uninsurable risk.

Another example of an uninsurable risk is when a loss is considered inevitable. If a forest fire was burning a block away from your home and headed your way, you would not likely be able to obtain a fire-assurance policy at that moment because the risk of the fire consuming your home is extremely high.

Also, assurance companies do not cover illegal acts or activities prohibited by public policy. For example, assurance companies do not issue policies covering losses related to illegal drug manufacturing businesses.

1.8 Insurable interest⁷

The idea of “insurable interest” is that the insured is interested in preserving the thing being insured (i.e. his motor car, his house or his own life). With a gambling bet, one party gains, and the other loses, and the parties create their interest in the actual event. With an assurance contract, even before the contract is entered into, some interest is at risk or may be lost (i.e. motor car, house, or one’s life). Because the insured has an interest in the thing insured, he is expected to not intentionally or recklessly bring about its destruction. Insurable interest means an interest capable of valuing money, except for assurance of one’s own or a spouse’s life (where the interest cannot be valued in monetary terms).

Insurable interest needs only be present at the inception of a life policy. Thus, a creditor who has insured his debtor’s life may, on the debtor’s death and after the debt has been repaid, receive the proceeds. In cases of doubt, the courts have tended to try to infer an insurable interest where possible. Furthermore, the insured is entitled to retain the proceeds if the insurer has paid out the policy proceeds on a contract for which no insurable interest existed. Apparent legal authority exists that insurable interest need not be proved upon the subsequent cession of a policy. An insurable interest exists in one’s own life, the life of one’s spouse, children, brothers and sisters, parents, grandchildren, grandparents, etc. Wherever there is a **duty of support**, an insurable interest is present. There is no duty to support one’s spouse’s parents. Insurable interest also exists in the life of one’s debtor, partner, employer or employee, and fiancé(e). No insurable interest needs to be proved by the beneficiary of policy proceeds.

⁷ Tax and Investment EasiGuide, Brian Goodall, Ronald King

Example:

Mike's neighbour is a young, reckless man who is 24 years of age and likes to go out partying until late almost every night. He is a poor driver and also drives under the influence regularly. He has already had two severe car accidents in the last year. Mike has no connection or relationship with this person. If the insurable interest clause did not exist, Mike could take out a life policy on his neighbour's life where he would stand to gain the payout of the life cover amount if his neighbour died. However, this example's absence of insurable interest will prevent Mike from taking out this policy as a money-making scheme.

Generally, insurable interest exists in the following instances:

- A person has an unlimited insurable interest in his own life.
- Husband and wife have unlimited interest in each other's lives.
- Children may have an insurable interest in their parents' lives if they are still dependent on them.
- Parents may have an insurable interest in their children's lives if they depend on the children (the amount of cover that can be taken on minor children's lives is limited and will be discussed in detail below).
- Engaged couples have an insurable interest in each other's lives.
- A creditor has an insurable interest in the debtor's life for the amount owing.
- Business partners have an insurable interest in the lives of one another, as they may be held liable for debts after a partner's death.
- An employer has an insurable interest in an employee's life, as the company may suffer a loss if the employee dies.

It is not an exhaustive list, and further instances may exist where an insurable interest exists between parties. The key is that the policy owner must prove that he will suffer a financial loss on the death of the particular life assured. It is important to note that the insurable interest requirement is relevant at the policy's inception, i.e., when the policy is taken out. It could happen that the insurable interest present at inception is not present for the policy's full term; therefore, the policy will still be valid.

Unit 1: Summary

In this unit, we have discussed general principles of assurance planning from an economic, business and legal viewpoint.

In law and economics, assurance is a form of risk management primarily used to hedge against contingent, uncertain loss risks. Assurance is defined as the equitable transfer of the risk of a loss from one entity to another in exchange for payment.

We have considered what assurance is and how it can be applied to your clients' needs.

We have discussed the importance of the law of contract, including when a contract is void from the beginning *when it is voidable, and when it is unenforceable*.

We have discussed the concept of misrepresentation, which usually consists of a false statement of fact made by one of the parties to the contract to the other before or at the time of the contract's conclusion.

We must also understand that insurable interest must occur at a life policy's inception.



Unit 1: Self-Assessment

Please note that the questions below are formative.

1. The strategies to manage risk include: Which is the odd one out?
 - a) Risk avoidance;
 - b) Risk reduction;
 - c) Risk aversion;
 - d) Risk transference;
 - e) Retention of a risk.
2. several contracts affect a financial advisor in the financial planning environment. Which of the following is the correct answer?
 - a) Employment contract;
 - b) Assurance contract;
 - c) Service Level Agreement;
 - d) All of the above;
 - e) Only a & b.
3. A contract must meet specific requirements for it to be valid and enforceable by law. Which of the following is the correct answer?
 - a) An agreement;
 - b) Made between two parties;
 - c) To create an obligation or obligations;
 - d) All of the above;
 - e) None of the above.
4. A contract may be terminated for any of the following reasons. Which is the correct answer?
 - a) The contract is void from the beginning;
 - b) It is a voidable contract;
 - c) It is an enforceable contract;
 - d) All of the above;
 - e) Only a & b.
5. An insurable risk is a risk that meets the ideal Outcome of adequate assurance. The concept of insurable risk underlies nearly all assurance decisions. For a risk to be insurable, several things need to be true. Which statement(s) is/ are not true?
 - a) The insurer must be able to charge a premium high enough to cover not only claims expenses but also to cover the insurer's expenses;
 - b) The nature of the loss must be definite and financially measurable;
 - c) The potential loss or damage should be very high;
 - d) The loss should be random; else, the insured may engage in adverse anti-selection;
 - e) All of the above.
6. Generally, insurable interest exists in the following instances. Which statement is not correct?
 - a) A person has an unlimited insurable interest in his own life;
 - b) Husband and wife do not have an unlimited insurable interest in each other's lives;
 - c) Children may have an insurable interest in the lives of their parents if they are still dependent on them;
 - d) Parents may have an insurable interest in the lives of their children if they are dependent on the children;
 - e) Engaged couples have an insurable interest in one another's lives.

Unit 2

Assurance Products and the Long-term Assurance Act



Assurance products and the Long-Term Assurance Act.



- 3.1 Assistance Policy
- 3.2 Life Risk Policy
- 3.3 Life Investment Policy
- 3.4 Fund Policy
- 3.5 Sinking Fund Policy
- 3.6 Long-Term Reassurance Policy

You will need to achieve the following:

- Describe the Acts that govern long-term assurance:
 - Point out the difference between the Long-Term and Short-Term Assurance Acts;
 - Define Long-Term assurance policies:
 - Briefly discuss life policies.
 - Discuss the classes of long-term policies as defined in the Act;
- Discuss the definitions of assurance products:
 - Describe an assistance policy;
 - Describe a health policy;
 - Describe a disability policy.
- Describe a fund and fund member policy;
- Describe a sinking-fund policy;
- Discuss the Long-term Assurance Act about the following:
 - Parties to the Life assurance contract;
 - Protection of policies against insolvency.
- Discuss the Income Tax Act concerning the five-fund approach;
- Discuss how a life assurer determines premium and risk assessment;
- Discuss the restriction of life policies in terms of section 54;
- Discuss anti-selection and underwriting;
- Discuss the impact of non-disclosure;
- Discuss the requirements for marketing long-term assurance.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).



Purpose

As an FSP or representative, you render financial services. These services include, among other things, helping clients purchase financial products.

Therefore, you must know the different types of financial services and products an FSP or representative may deal with. Besides, you must understand the role-players' relationships in developing and providing financial products and rendering financial advice.

Once you have gained the knowledge and insights discussed in this unit, you will see where your role and function fit into the bigger picture. How you contribute to your organisation's FAIS-compliant processes concerning financial products and advice will become apparent.

Financial products and services are called 'intangible' products and services. This means they differ significantly from other goods and services consumers can touch, look at, hold, or see evidence of. This physicality of other goods gives the consumer a basis to evaluate the product against similar products. Therefore, a financial product or service cannot be seen or touched and is more difficult to compare against other products. Another difficulty is that the benefits of financial products and services often only come sometime in the future. This means that the consumer of financial products and services must trust the financial advisor to ensure that the benefits will come about in the future. For example, it is challenging for a consumer to assess whether their financial advisor has got them the best possible returns on their invested funds in the short term.

Similar examples include a patient unable to evaluate how well a dentist has performed complex dental surgery or a student having faith that a professor is providing them with a worthwhile educational experience.

Due to the nature of financial products and services, financial advisors must develop relationships of trust with their clients. Ethical and honest behaviour and sound technical knowledge and skills are essential when giving financial advice or selling financial products. As these areas were previously unregulated, many FAIS requirements are designed to encourage the development of long-term relationships of trust between the financial advisor and the client.

2.1 Acts that govern long-term Assurance

The main pieces of legislation that govern long-term assurance and related services are:

- The Long-term Assurance Act (Act 52 of 1998);
- The Pension Funds Act (Act 24 of 1956); and
- The Income Tax Act (Act 58 of 1962).

Other pieces of legislation that cover the financial services industry as a whole, e.g. banks and asset managers, which includes the assurance industry, are:

- The Financial Sector Regulation Act 9 of 2017;
- The Financial Advisory and Intermediary Services Act (Act 37 of 2002);
- The Financial Intelligence Centre Act (Act 38 of 2001);
- The Promotion of Access to Information Act (Act 2 of 2000).

Financial Sector Conduct Authority (FSCA), established as a statutory body by the Financial Sector Act, supervises the activities of the financial services industry. The FSCA entrusts regulatory functions to the Commissioner of Long- and Short-term Assurance, Friendly Societies, Pension Funds, Unit Trust Companies, Stock Exchanges and Financial Markets.

Such functions include regulatory control over Insider Trading, the participation bonds industry, particular trust and depository institutions, and central security depositories responsible for the safe custody of securities.

2.1.1 Difference between the Long-Term and Short-Term Assurance Acts

It is essential to understand the difference between long-term and short-term assurance.

- Long-term assurance focuses on life events, such as a person's death or retirement. As a specific value cannot be assigned to a person's life, the sum assured is not focused on replacing the person's "value." Still, it is somewhat related to the needs of the individual's circumstances and affordability. Long-term assurance is, therefore, non-indemnity assurance. Some long-term assurance events are certain, e.g., a person will die.
- Short-term assurance focuses on the replacement value of objects (e.g. a motor vehicle) in the event of a loss. It is, therefore, indemnity assurance, as it is designed to restore the person to his position before a loss event, except for personal accident and sickness assurance. Most events are uncertain and may never occur, e.g. a person may never have their household goods stolen.

Therefore, each type of assurance business is subject to its legislation/regulations, which govern its particular insurers and how they conduct, manage, market, and maintain their business.

2.1.2 Definition of Long-Term Assurance Policies

2.1.2.1 Life policies

In terms of its definition in the Long-term Assurance Act, a life policy as a class of business refers to a contract between an individual and an insurer.

- A life policy is an assurance policy for risk cover (risk in this context is the loss event covered by the assurance policy). The contracting party or owner of the life policy agrees to pay premiums to an insurer. The insurer, in return, undertakes to provide benefits in either of the following scenarios:
 - on the occurrence of a life event, e.g. the death of the life assured;
 - to pay an annuity (regular pension) for a period as specified in the assurance contract. It also applies to reinsurance policies.
- It also includes an annuity payable for a period.
- Where reference is made to a "life event", it means the life of an individual or an unborn:
 - having begun;
 - continuing;
 - having continued for a period;
 - having ended.

The long-term assurance business is providing or undertaking to provide policy benefits under long-term policies. Therefore, this business intends to cover an extended period (generally longer than 5 years).

Life assurance is not indemnity assurance. It means that the policy owner (the policyholder) can choose his level of cover, the sum assured, whether he is insuring his own life or that of a family member or debtor. In principle, a person can place almost any value on the life to be insured and implement assurance for that value, subject to affordability and underwriting Outcome.

2.1.2.2 Classes of long-term policies defined in the Act

The risks a long-term insurer can cover depend on the policy classes for which the insurer is registered under the LTIA (Long-term Assurance Act).

The following policy classes are defined in the Act:

- Life;
- Assistance;
- Disability;
- Health;
- Fund;
- Sinking Fund.

The types of risks that can be covered, therefore, are those that relate to:

- A person's life or unborn begins and has continued for a given period or ending. Policies that insure or reinsure these risks or pay an annuity for a defined period are life policies.
- Suppose the sum of all the benefits to be provided under a life policy or the annuity premium in the case of an annuity does not exceed R30 000*. In that case, these risks can also be written in assistance policies, e.g. funeral policies.
- The risks are taken by groups such as a friendly society (as defined by the Friendly Societies Act), pension fund (as defined by the Pension Funds Act) or medical scheme (as defined by the Medical Schemes Act), as contained in their rules. Policies that insure or reinsure the whole or part of such liabilities (except if they relate only to a single member or the dependants of a single member) are fund policies.
- The functional ability of the mind or body of a person or unborn becomes impaired. Policies that insure or reinsure these risks are disability policies.
- The health of the mind or body of a person or unborn being affected. Policies that insure or reinsure these risks are health policies unless:
 - the benefits are not defined as amounts of money;
 - the benefits are provided to a person having incurred expenses in respect of any health service to defray these expenses;
 - the benefits are to be provided to a provider of health services in return for providing such services and/or
 - the policy is a fund policy as defined above.
- The risks are taken in providing benefits at a fixed or determinable future date. Policies that insure or reinsure these risks but fall outside the definition of life policies are sinking-fund policies. This class is used for policies that are not dependent on what happens to a given person but rather have a defined term, such as a pure investment contract.

(*Higher amounts are allowed in practice.)

In this unit, we will be focusing only on risk policies. Risk policies provide risk benefits, i.e., death, disability, and dread disease (trauma or severe illness) coverage. These policies provide an assurance solution to wealth protection needs. The unit on long-term assurance investment products will discuss policies providing investment and savings benefits (such as retirement annuities, endowments and sinking funds). These policies provide a solution to wealth creation needs.

2.1.3 Discuss the definitions of assurance products

The Long-term Assurance Act defines a "life policy" to mean "a contract in terms of which a person, in return for a premium, undertakes to –

- (a) provide policy benefits upon, and exclusively as a result of, a life event or
- (b) pay an annuity for a period, and include a reinsurance policy regarding such a contract."

“Life event” is defined to mean “the event of the life of a person or an unborn –

- (a) having begun;
- (b) continuing;
- (c) having continued for a period; or
- (d) having ended.”

2.2 Assistance Policies



“Assistance policy” means a life policy in respect of which the aggregate of - (a) the value of the policy benefits, other than an annuity, to be provided (not taking into account any bonuses to be determined at the discretion of the long-term insurer); and (b) the

amount of the premium in return for which an annuity is to be provided, does not exceed R30 000; and includes a reinsurance policy in respect of such a policy.

Funeral policies are assistance policies.

It is another name for funeral and industrial assurance (previously called “home service business”). These are life policies with maximum limits placed on the sum insured. Thus, the maximum policy benefit, besides annuities, payable thereunder is R30 000 (excluding discretionary bonuses). This limit may be increased in the future by the Finance Ministry. The maximum purchase consideration for annuities is also presently set at R30 000. If both policy and annuity are provided, the aggregate of policy benefits (as described above) plus the relevant consideration for the annuity may not exceed R30 000. This classification aims to facilitate a cheaper and simpler regulatory and administrative framework, including actuarial valuations. It is intended that insurers wanting to perform assistance business will not issue other classes of business, although this is not expressly stated anywhere in the Act.

2.2.1 General characteristics, terms and features of financial products in an assistance policy

Funeral policies cover expenses related to the funeral expenses following the death of a loved one.

i) Limit of cover

Cover for funeral policies is anything from R2 500 but not more than R30 000 (up to R100 000 as stipulated in the Insurance Act.) Funeral policies are designed to cover the insured in the following ways:

Funeral policies are sold as periodically renewable cover; this means that either party can cancel the policy at any time.

ii) The insured in a funeral policy

Funeral policies are sold to cover:

- Policyholder only.
- The policyholder and immediate family members.
- The policyholder and extended family members.

iii) Insured and immediate family members

Only the insured and their spouse and children will be added to the family plan. Some insurers restrict the insured's children when they reach age 21; if the insured still desires to cover a child over 21 in their policy, they can only do so if the child still attends university or school full time. If a

child is over 21 and does not attend school, then the insured will have to cover them under Extended family options where they can also cover other relatives.

The age of a child dependant who still attends school should they remain covered under the family plan is capped. Some insurers restrict the cover to 25 years; after that, the child moves to an extended family plan regardless of whether they are still in school.

Some family policies offer cover for parents under a non-contributory benefit. The insured pays one policy under the funeral plan for him and his spouse and children; parents and parents-in-law are also covered under the same policy at no additional cost.

A contributory family policy, however, works differently from a non-contributory one. In this case, the insured will pay an additional premium for every extended member of their family, depending on the level of cover they want.

iv) Extended family member plans

Extended families are relatives of the insured in which the insured has an insurable interest. The cover incorporates typically extended family members like siblings, aunts, uncles, grandparents, parents, in-laws, cousins, etc.

Some companies provide a clear-cut definition of what an aunt or uncle is as it gets confusing at the claims stage when a client claims for a life assured, and it is established that it was their sister's child, yet they registered them as their own. It happens a lot in African families where no legal adoption of a sibling's child or a family member's child is done – one takes over the late parent's responsibilities and treats the child as their own.

v) Classification of death

Funeral policies will classify death into the following:

- a) Accidental death - A sudden and unforeseen event occurring at an identifiable place and time, which has a visible, violent, or external cause and results in the death of the life assured. Examples: gunshot, road accident, stabbing.
- b) Suicide – planned to kill oneself. Examples: hanging, shooting self, etc.
- c) Natural death – death from underlying medical conditions, unlike trauma from an accident or shooting.

Insurance companies usually apply different waiting periods for each cause of death. Suicide might attract a 24-month waiting period, whereas natural death is 3 months. Other insurers do not have a waiting period for accidental death for as long as the policyholder's premiums for that month of death would have been received.

vi) Benefits of a funeral policy

A funeral policy provides additional benefits at no cost in addition to the death benefit the insured and their beneficiaries are covered against.

Some insurers also have extended benefits that the insured pays for, over and above the death benefit.

Additional benefits (included in funeral plan cover at no cost)**Repatriation cost.****Legal assistance helpline (wills, lease agreements, sale / purchase contracts, etc.)****Telephonic medical advice.****Telephonic career counselling & tutor services for members' children.****Online tutorials for children in primary and high school.****Waiver of premium (free cover for the remaining lives covered in the policy after the death of the main member for 6 months).****Tombstone unveils discounts from selected providers.****Extended benefits (Available to policyholders and beneficiaries at an additional cost)****Car hire.****Electricity voucher.****Meat voucher from a butchery.****Grocery vouchers from selected shops.****Clothing benefits from selected retailers.****Drinks benefit from selected liquor shops.****Paid-up benefit (remain covered but stop paying premiums when you reach a certain age, normally at 65).****Premium waiver benefit (If the policyholder dies, everyone on the policy remains covered until the policyholder has been 65 years old or until your benefit ends – no premiums needed).****Premium holiday benefit: This allows you to skip your December premium payment after the first policy anniversary so you can live a little more.****Monthly provider benefit (a certain amount of cash is paid to the beneficiaries per month for 12 months after the policyholder or spouse passes on).****Cashback bonus (a percentage of premiums after not claiming for several agreed years).****Depending on the insurer, some extended (optional benefits) may be offered as additional benefits by some insurers.*

vii) Waiting periods

Funeral policies have waiting periods depending on the nature of death. It is the period when one pays premiums as agreed but does not submit any claims to the insurer. Any death of a loved one or the policyholder during the waiting period will not be paid for by the insurer.

Generally, natural death will attract a 3-6 month waiting period.

Suicide normally carries a 12-24-month waiting period and accidental death has no waiting period for some insurers. Some insurers will even pay double the benefit for accidental death.

viii) Recent development: Burial of still-born babies

In the High Court case of *Voice of the Unborn Baby NPC and Another v Minister of Home Affairs and Others (16402/17) [2021] ZAGPPHC 161 (26 March 2021)*, it was decided that parents of a pregnancy loss can bury the remains of the pregnancy loss even if the foetus was less than 26 weeks old, a departure from the previous position which only allowed burial after 26 weeks of pregnancy. - <http://www.saflii.org/za/cases/ZAGPPHC/2021/161.html>

Examples of current terms and conditions relating to cover for stillborns:

Source: OUTsurance funeral policy

Additional Benefits

Your schedule will display what additional benefits you have selected.

Each of these benefits will be in addition to the Sum OUTsured paid out in the event of a valid claim for the main life OUTsured or spouse.

Stillborn benefit

We will pay out an amount of R5 000 in the event of a stillborn child after 26 weeks of pregnancy. The mother of the stillborn child has to be either the main life OUTsured or the spouse covered under the policy.

Source: Capitec funeral policy

BENEFITS			
Benefit	If a Life Assured Dies	Natural Death	Accidental Death
Funeral	We will pay	The cover amount	2 times the cover amount
	When will we pay	- On the death of a life assured after 6 (six) months from the cover start date, if the death is from natural causes - Stillbirth claims for You or Your spouse, if covered, for stillbirths that happen after the 28th week of pregnancy	- If a life assured dies because of accidental death - From the cover start date

Source: 1Life funeral policy

Cover for still-born children

Funeral insurance in terms of this policy will be provided for still-born children born to the mother who is a principal member (or spouse of the principal member) on the policy. Please refer to schedule for confirmation of this cover.

The following conditions must apply in order for the child to be covered:

- the child must have been born after 27 weeks of pregnancy;
- either show no signs of life or dies of natural causes within 24 hours of birth;
- the death must be documented and confirmed within 24 hours of birth by a qualified, certified medical professional; and
- the death should not be classified as self-inflicted termination as per the Choice of Termination Act 92 of 1996.

Most policies only cover a stillborn if the foetus is at least 26/27/28 weeks old. It means that previously, a foetus that was less than 26 weeks old was discarded as waste, and parents had no legal rights to bury the baby. All claims where the stillborn was less than 26 weeks old were thus rejected.

With these changes, the funeral industry must adjust its policy terms and conditions to meet these changes. The funeral policy claims process must also be reviewed to not encroach on the new constitutional rights now bestowed to funeral policy holders.

ix) Claims handling

A claim is only valid if the cause of death is covered and if all terms and conditions of cover have not been contravened. Premiums must be up to date, and the policy must have been active at the time of death.

The common documents that most insurers require to settle a funeral claim are:

- a) The claimant completes a funeral claim form.
- b) A certified copy of the death certificate. (The claims department usually verifies the death certificate through a system that links them to the Department of Health.)
- c) A certified copy of the identity document of the insured and claimant.
- d) Some require a certificate from the attending doctor and the doctor's practice number to reduce fraudulent claims.
- e) Proof of bank account of the claimant (bank statement or letter from the bank with a bank stamp). It ensures that the benefit is paid to the right person who would have submitted the claim.

2.2.2 Typical Fee Structures, charges and Other Costs Associated with an assistance Policy

i) Calculation of premium

Premiums are normally the same across the board and depend on the number of people an individual wants to cover. Funeral cover is not medically underwritten, meaning one does not need to undergo medical tests before cover to determine whether one gets the policy.

Premium payments will depend on the following factors:

- a) The number of people added to the policy—the higher the number added, the higher the cost of cover. A family funeral plan for a policyholder, spouse, and their children charges a flat fee for everyone in the plan. Plans for extended family members are charged per additional dependent based on their ages.
- b) The ages of people added – older individuals generally pay more than younger people. Normally, those over 65 find it expensive to get cover, and if they do, they usually get decreased benefits even though they will pay higher premiums.

An immediate plan will generally cover the spouse and the policyholder's children without an additional premium (only one premium is charged for a family plan). However, insurers tend to restrict the age of dependants classified as children—in most cases, children above the age of 21 pay a separate premium as long as they do not attend school full-time.

ii) Costs for missed premiums

A missed premium attracts double payment the following month, which, depending on the insured's financial position, might compromise cover affordability.

iii) Deduction of premiums in the event of a claim following premium non-payment

The Policyholder Protection Rules allow a 31-day grace period during which one still enjoys cover even though premiums have not been paid. Any claims during the grace period will be paid less the outstanding premiums that the policyholder has not paid.

iv) Costs for policy lapse

Premium non-payment also leads to policy lapse. After 31 days, the policy lapses, and there is no cover. A policy can still be reinstated within two months after the expiry of a grace period, with no waiting period. No policy reinstatement will be allowed after the two-month reinstatement period, and the policyholder will have to apply for new cover. New waiting periods will be applied as though that insurer had never covered them.

v) Commission

Often, insurance products are sold by other providers on behalf of the insurer. These products can be branded in the name of whoever is selling them. These providers are then paid a commission for signing a member up on an ongoing basis by earning a portion of the policyholder's premium instalment.

2.2.3 General risks associated with investing or transacting in an assistance policy

Life insurers face their biggest battleground yet in South Africa – a heavily constrained economy, high unemployment, a growing burden of disease and technology, and distribution disruption that is upending traditional channels.

Moreover, changing customer expectations, social media, and citizen journalism can quickly amplify an adverse experience—rightly or wrongly—when dissatisfied customers feel they have been treated unfairly or when trust is breached.

Some of the risks of an assistance policy are as follows:

Risk	Explanation
Inflation	Inflation can erode the cover chosen over time. If one purchased a cover for R30 000 five years ago, the buying power of R30 000 is not the same as it was then. Policies with cash values lose value, and policyholders get close to nothing when the policies reach maturity stages or when the beneficiaries claim.
Unemployment	Without a source of income, the policyholder fails to pay for cover and, in the event, loses all premiums that s/he would have paid.
Waiting periods	Any death that occurs during the waiting period is not covered, even if the policyholder would have paid part of the premiums to the insurer. The premiums will not be refunded either.
Policy lapse	When a policy lapses, the cover ceases, and any death that occurs after a policy has lapsed will not be covered — a policy lapse due to premium non-payment.
Death following illegal activities	Any death of a life assured following them taking part in illegal activities (like robbery, hijacking, cash heist) will not be covered; premiums for life assured will not be refunded either.

Relationship type	Only correct descriptions of the relationship will render the claim valid. If you want to cover your mother's sister, that person must be described as an aunt and not a mother, even if culturally you view them as your mother. The same goes for nephews and nieces; those are your sibling's children and should not be added to the policy as if they are your children.
--------------------------	---

2.2.4 The appropriateness of an assistance policy for different types of clients or a group of clients

- A funeral policy is suitable for low-income earners. They normally cannot afford to buy other life policies due to their low income and the number of responsibilities they have. Funeral policies are cheap and suitable for anyone who does not afford life cover but worries about final expenses following their death or the death of a loved one.
- Funeral policies are also suitable for those with many responsibilities yet earning lower incomes.

2.3 Health Policies

In the case of a health policy, the insurer undertakes, in return for a premium, to provide policy benefits on the occurrence of a health event. A health event is an event relating to the health of the mind or body of a person or unborn.

Contracts in terms of benefits other than the stated sum of money are to be rendered, and contracts where the policyholder is a registered medical scheme and the contract relates to the scheme's members or beneficiaries are excluded from the definition of "health policy."

2.4 Life Risk Policies

Learning outcomes

By the end of this section, you should be able to:

- Describe the general characteristics, terms, and features of financial products in a life risk policy
- Explain the typical fee structures, charges and other costs associated with a life-risk policy
- Identify the general risks associated with investing, purchasing or transacting in a life risk policy
- Validate the appropriateness of a life risk policy for different types of clients or groups of clients

The Insurance Act of 2017 defines a life policy as follows:



"Life policy" means a contract in terms of which a person, in return for a premium, undertakes to— (a) Provide policy benefits upon, and exclusively as a result of, a life event or

(b) Pay an annuity for a period and include a reinsurance policy for

such a contract.

The first part of the definition of a life policy covers life risk policies, whereas the second part refers to life investment policies.

A life risk policy provides risk benefits only. Risk cover is long-term insurance that provides financial protection during major life events such as critical illness, disability, retrenchment, or death.

Typical policies under this section are:

- Whole or term life policies.
- Disability policies.

- Dread disease cover.
- Income protector insurance.

2.4.1 The general characteristics, terms, and features of financial products in a life risk policy

2.4.1.1 Whole life policies

A whole life policy offers a guaranteed death benefit or pay-out that remains the same for life. The policy has a face value, and one pays into the policy until the cash value matches the face value. If the policyholder dies, the beneficiary receives the face value of the policy regardless of the insured's age or what the policy's cash value would have been. Premiums are payable for the whole of the insured's life.

A whole-life policy with an investment option can be surrendered (at a fee) so that the insured can access the policy's cash value during their lifetime.

Whole-life policies can be offered as a level premium or an escalating premium. The escalating premium makes the policy cheaper at inception, but with premiums increasing at a specified percentage per year. Level-premium policies maintain a constant premium.

Claims for whole life policy

The following documents are required to settle a whole life claim:

- a) A fully completed Declaration by the claimant.
- b) The beneficiary completes a death claim form. For a minor beneficiary, the legal guardian must also complete this form.
- c) A certified copy of the death certificate.
- d) A police report was completed by the investigating officer in the case of unnatural death.
- e) A letter of executorship if the nominated beneficiary is the estate or if no beneficiary is nominated where the life assured and the owner is the same.
- f) A certified copy of the deceased's identity document, as well as certified copies of the beneficiary's/ beneficiaries' and executor's identity document. If the beneficiary is a minor, we require a certified copy of an unabridged birth certificate reflecting both parents' names.
- g) A copy of the claimant's bank statement or a cancelled cheque as proof of bank account details (less than three months old on official bank letterhead with a bank stamp).
- h) If the estate is payable, the insurer will need the Estate's bank details.
- i) The DHA1663 (registration of death/stillbirth) form can be obtained from the doctor who certified the death or the undertaker.

2.4.1.2 Term life policies

This life assurance policy offers cover at a fixed rate for a selected period. If the policyholder passes away during the chosen time frame, the beneficiaries will be paid a lump sum. The simplest form of a term life policy requires the insured to make equal premium payments throughout the term. It is a level-premium policy (All Life's term policies are all level-premium policies).

Level-cover term policies provide a fixed amount of cover throughout the policy term. All Life's 10-year and 20-year level cover policies are examples of this type of policy.

Characteristics of term life

- Term assurance products provide cover for a defined period.
- The cover is from the policy inception date until the end of the term period.
- At the end of the agreed term, the policy terminates.
- One is allowed to reapply after the end of the term.

- Suitable for young adults with short-term liabilities (a personal loan for 5 years, car finance for 6 years, etc.)

Credit life policies are good examples of term life insurance.

Credit life is an assurance cover that a consumer must take up when applying for a credit card or a loan.

For employed people, it covers monthly instalments of up to 12 months in the case of loss of income or retrenchment, short-time, and compulsory unpaid leave. It also provides cover of instalments for up to 12 months in the case of temporary disability. In the case of permanent disability and death, the outstanding balance of the credit facility is settled. Loan or credit card customers who qualify should use their credit life insurance policy to cover their full monthly repayments on their loan for up to 12 months.

Claims procedure for term life insurance

- a) Proof must be submitted that an individual has lost their job/source of income (in cases of credit life) as a result of the events covered in the policy
- b) The claims personnel would attempt to establish if the insured knew about the pending income/job losses when they took the policy (will not be covered if the insured knew)
- c) Bank statement confirming banking details.

2.4.1.3 Disability policy

Disability cover is widely available throughout South Africa and generally takes the form of either (a) a lump sum benefit or (b) an income protection benefit. The purpose of disability insurance is to provide you with financial protection if you cannot do your job and/or can no longer perform normal day-to-day functions such as bathing, dressing, or eating.

The Insurance Act of 2017 defines a disability policy as follows:



A “disability policy” is defined in the LTIA as a contract in which the insurer undertakes to provide policy benefits upon a “disability event”. “Disability event” means any event resulting in— (a) the loss of a limb or sense organ, or the use thereof by a person; or (b) a person becoming so physically or mentally impaired, whether totally or partially, or temporarily or permanently, that the person is unable to— (i) continue his or her employment or own occupation, profession or trade; (ii) participate in any employment, occupation, profession or trade that is reasonably suitable for that person given, amongst other matters, his or her education, skills, experience or age; or (iii) carry on the functions required for normal activities of life.

In practice, disability policies are issued as long-term and short-term.

Benefits in disability insurance

- a) Lump-Sum Disability insurance is payable on permanent disability.
- b) Income Disability insurance provides monthly income benefits against the loss of income if a member cannot work due to disability.
- c) Managed Income Disability insurance provides monthly income benefits and disability management that comply with the stipulations and the spirit of the Labour Relations Act.
- d) Critical Illness and Severe Illness Insurance provides a lump sum pay-out on the diagnosis of a critical or severe illness as defined for the standard and comprehensive product solutions.

Claiming for disability benefit

- a) The declaration by the claimant and doctor's statement plus forms are to be completed by the treating specialist.
- b) Copies of the reports or test results confirming the diagnosis.
- c) A copy of the claimant's identity document.
- d) A copy of the owner's identity document if you are not the policy owner.
- e) A certified copy of the accident report if the claim event was caused by accident.
- f) A copy of the claimant's bank statement or a cancelled cheque as proof of bank account details (less than three months old on official bank letterhead with a bank stamp).

2.4.1.4 Dread disease

Also known as critical illness cover. ⁸Dread disease cover is an insurance benefit that offers a lump sum, tax-free payment if you are diagnosed with a severe illness. Most dread disease benefits cover cancer, stroke, heart attacks, and coronary artery bypass graft surgery, with these four illnesses accounting for between 70% and 90% of all claims. However, cancer remains the leading cause of dread disease claims, with cancers and tumours accounting for around 30% of all severe illness claims. According to the 2014 National Cancer Registry, breast cancer is the most common cancer in women of all races, with a lifetime risk of 1 in 27 in South Africa. Most insurers offer dread disease cover as either a standalone or supplementary benefit to your life cover. As a standalone benefit, it is particularly attractive to those who do not want or require life cover. Most insurers also provide the option of purchasing dread disease as term cover, which ceases at age 65, or as a whole-of-life cover that continues for the duration of your life if the premiums are being paid.

Common dread diseases that are covered by these policies are, but are not limited to:

Heart attack	Chronic coronary heart disease	Stroke
Major transplants like:		
Kidney	Pancreas	Paraplegia
Heart	Bone marrow	Blindness
Lung		Cancer
Liver		Kidney failure

Features of a Dread Disease Policy

- It can be used as a form of 'gap cover' for shortfalls in medical aid.
- No medical tests are required; normally, one must disclose if there are pre-existing conditions the insurer does not cover (an HIV test might be required, though).
- Some dread disease policies do not have a waiting period; one is covered when the insurer confirms cover.
- Pays out a lump sum amount that is tax-free.
- Pay-outs are calculated as per the **Standardised Critical Illness Definitions Project (SCIDEP)**. Staging applies only to certain illnesses.

⁸ www.moneyweb.co.za/financial-advisor-views/dread-disease-cover-is-a-truly-living-benefit/

SCIDEP Levels

Severity Level	Benefit payout percentage
A	100% of the available benefit.
B	75% of the available benefit
C	50% of the available benefit.
B	25% of the available benefit.

Example – Discovery Life

If a family is on Bronze Vitality status and there are no previous claims, then the maximum family benefit will be R 30 000,

If the principal member has a heart attack and a benefit claim is admitted at the 50% severity level, R 15 000 will be paid out, remaining R15 000 benefit.

At this point, the remaining balance for a heart attack benefit for the principal member will be R 30 000 less R 15 000 previously paid = R 15 000 should the principal member have another heart attack at a higher severity level.

Benefits of a Dread Disease Policy

Premium waiver—If the policyholder becomes disabled, the premiums of a dread disease policy will not be paid for some time (some insurers have premium waivers for 6 months following a successful claim).

Other insurers automatically cover the policyholder's minor children.



Most insurers now offer whole life or term life policies where all other risks like disability, retrenchments, and dread disease can be incorporated into the cover. These are then offered as accelerated benefits, meaning they are available to the policyholder during their lifetime for as long as the insured event under one of those sections has arisen. Some policies also include funeral expenses as a benefit in the premium the client is quoted.

A simple whole life or term life policy generally offers death benefits only, but insurance companies are changing that traditional approach to suit different client needs.

Dread disease claims

The following documents are usually required when claiming dread disease benefits:

- The treating specialist will complete the claimant's declaration and doctor's statement forms.
- Copies of the reports or test results confirming the diagnosis.
- A copy of your identity document.
- A copy of the owner's identity document if you are not the policy owner.
- A certified copy of the accident report if the claim event was caused by an accident.
- A copy of the claimant's bank statement or a cancelled cheque as proof of bank account details (less than three months old on official bank letterhead with a bank stamp).

2.5 Income Protector Insurance

Income protection is a long-term insurance policy designed to supplement income following a loss due to injury or illness, retrenchment, or loss of income from a business (if you are the business owner).

The level of income cover is based on a percentage of your income, typically between 50%-75%, but can be increased to 100% with top-up type income protection benefit structures.

The following is required when claiming income protector benefits:

- a) A copy of the medical certificate from a medical specialist that confirms the injury or illness and the exact period of sick leave. There may be further requirements depending on the period booked off and the medical condition.
- b) Settlement letter for disability or sickness income received from other policies.
- c) A copy of the claimant's bank statement or a cancelled cheque as proof of bank account details (less than three months old on official bank letterhead with a bank stamp).

2.5.1 The typical fee structures, charges and other costs associated with a life risk policy

Influence of underwriting on insurance premiums

Premiums for life risk policies are normally influenced by a client's risk factors, which are determined through underwriting. Underwriting is analysing a client's risk profile and deciding whether to accept or decline cover based on the potential client's risk.

The higher the risk a potential client presents in a profile, the higher the premiums the insurer charges for cover. The risk can sometimes be so bad that the insurer rejects cover.

Some of the underwriting factors used are as follows:

- Smoking habits.
- Lifestyle.
- Profession (more premiums if a job is classified as high risk, e.g. mining and firefighting).
- Health (obesity, family health history, pre-existing health issues attract higher premiums).
- Age (the older one gets, the more expensive premiums become).
- Lifestyle (high-risk activities like skydiving and other extreme sports attract high premiums).

Term policies are not underwritten like other life risk policies. This means that the client will not be required to undertake medical tests before the coverage is extended to him/her. However, the costs for credit life will depend on the amount of cover required while paying close attention to the limits set by the National Credit Regulator.

In August 2017, the National Credit Regulator (NCR) decided to amend the National Credit Act so that credit life cover would be capped at a certain figure. In the past, credit life providers charged as much as R50 for every R1,000 owed. On a debt of R5,000, this would add up to R250 each month, an incredible amount to cover regularly.

Today, creditors cannot charge more than R4.50 for every R1,000 owed. Based on the above example of R5,000 debt, you will pay R22.50 towards your credit life insurance each month. This is much less than the R250 credit life providers could charge in the past.

2.5.2 The general risks associated with investing, purchasing or transacting in a life risk policy

Inflation risk and impact on long-term insurance products

Inflation is the general rise in prices.

Policies with cash values may lose value, and policyholders could get close to nothing when the policies reach maturity stages or when the beneficiaries claim.

The impact of emerging diseases on life insurance products

The current Coronavirus pandemic is a global disruptor in the insurance sector. The most significant financial loss for any insurer is that they must pay for claims arising from death due to a newly emerged disease. The policy exclusions never made it clear how such cases would be treated.

Insurers must rethink processes to deal with a potential increase in claims volumes.

Those that have excluded cover for epidemics also risk reputational risk as clients usually get frustrated by such disclosures at the claims stage.

A report by the *Financial Times* said that while experts agree that many insurance policies may payout, quite a few policies also have deliberate exclusions for epidemics and pandemics. The experts added that it is too early to say how much the virus outbreak will cost the insurance industry.

Two of the insurer's operating entities in China, Allianz China Life Insurance and Allianz Jingdong General Insurance, have also launched some temporary emergency measures for the convenience of customers. These measures include implementing a fast-track claims process, removing restrictions on designated hospitals and drugs, waiving deductibles, and eliminating waiting periods.

Impact of fraud on life insurance

Insurance fraud undermines this system, as fraudulent applications and claims deplete the funds paid in by the many honest customers to cover genuine losses. It also impacts society in general because insurance fraud can be used to fund criminal activity. If you have submitted an intentionally fraudulent claim, your policy will likely be cancelled. "This not only affects your relationship with your current insurer. Your claims record may be shared with other insurers, reducing your chances of being able to take out insurance in the future."

According to the Global Economic Crime and Fraud Survey (2018) published by PricewaterhouseCoopers (PwC), South Africa's rate of reported economic crime is 77%, compared with the global average of 49%.

Insurance fraud impacts consumers by increasing premiums and consumer goods and services costs. Insurance companies pass the costs of false claims and fighting fraud to policyholders, resulting in higher premiums.

Risks of non-compliance with policy terms and conditions

Non-disclosure is when a proposer for insurance fails to reveal a material fact when applying for insurance cover. Non-disclosure can also be on the insurer's part, where terms and conditions of cover are not given to the client.

A material fact is any information that would have influenced an underwriter's decision to either accept or decline cover and influence the number of premiums a client would have paid had the material fact been disclosed. Material facts also influence the terms and conditions imposed on a policy.

Therefore, the material non-disclosure must have compelled the insurer or the insurance proposer to enter into the insurance contract on the terms it did when it would not have done so had it not been misled.

Consequences non-disclosure	
Insurer	Insured
• Can be fined. • Can be sued. • Licence can be suspended. • Reputational risk. • Lost market share.	• Benefits can be forfeited. • The policy can be cancelled. • One can be blacklisted. • The claim can be repudiated.

The impact of exclusions on life policies

Exclusion refers to an event that is not covered in a life policy.

Exclusions are necessary because they help control the risks an insurer accepts. They also help protect the insurer's pool of funds by ensuring that the participants are clients from whom an insurer with present standard risks can profit since they are a business.

Some of the reasons for exclusions are:

- A potential loss could be catastrophic (e.g. a pandemic like COVID-19) or war.
- Covered elsewhere (travel risks covered in travel insurance offered by non-life insurers).
- Easy to control.
- Illegal activities (murder for hire).

Exclusions must be in plain, clear language and should be explained to the policyholder at the beginning of the contractual relationship. Failure to do so may prejudice the insurer, and they could find themselves paying for risks they would not usually pay for.

Exclusions may present substantial financial hiccups to the insured, especially when they need more money to pay for a life event they are going through.

Common exclusions in long-term insurance

There are two kinds of exclusions: general exclusions that apply to all similar policies and specific exclusions that apply only to specific policies or policyholders in some cases.

See an excerpt from 1Life Insurance on the next page about General Exclusions in life risk policies.



General Exclusions

Exclusions	Life cover	Funeral cover	Disability insurance	Dread disease cover	Female dread disease cover	Expense Protector
The life assured dies as a result of their own act such as suicide or negligence in the first two years of the policy	✓	✓				
The life assured or policy owner earns income from or takes part in criminal or illegal activities such as fraud, theft, murder	✓	✓	✓			✓
The life assured consumes excessive amounts of alcohol, poison, narcotics	✓	✓	✓	✓	✓	✓
The life assured participates in an act of war, civil commotion, terrorism	✓	✓	✓			✓
The claim is caused or aggravated by radioactivity or nuclear explosions			✓	✓	✓	✓
The life assured fails to follow reasonable medical advice			✓	✓	✓	✓
The claim is a result of self-inflicted injury or illness	✓	✓	✓	✓	✓	✓
The injury or death is a result of the life assured taking part in a hazardous sport unless this has been underwritten by the insurer	✓	✓	✓	✓	✓	✓
Elective termination of pregnancy					✓	

Brought to you by: **1Life**

2.5.3 The appropriateness of life-risk products for different types of clients or groups of clients

- If one has dependents, should an unforeseen event happen to give them financial peace?
- If one has a mortgage with a bank, they can cede the policy to the bank as collateral until all payments have been made.
- If one has a spouse who will not be able to provide for themselves or provide for the kids and cover debts accumulated as a couple should one die or be occupationally unable to work.
- Life policies are unnecessary for older people; some may want to hold on to them to settle debt over their estates.
- Small business owners may also purchase life policies that cover the life of the other partner so that they can benefit from the policy proceeds should the partner die unexpectedly. The proceeds may be used to settle debt accrued by the business when both partners were alive and keep the business afloat for some time.
- Accidental cover is useful as supplementary cover for medical aid or medical insurance. It will also be suitable for clients, depending on their occupation's hazards.
- Dread disease cover is important for those concerned about their health and their chances of contracting a dread disease, especially when a close family member dies or has one of the diseases.
- Income protector insurance covers attracting members in volatile jobs/ industries or those concerned about the economy's state and retrenchments. It can also appeal to a client whose jobs or hobbies are dangerous and likely to leave them disabled.
- Disability policies also appeal to those who worry about lifestyle adjustments in the event of a disability.

2.6 Life Investment Policies

Learning outcomes

By the end of this section, you should be able to:

- Describe the general characteristics, terms, and features of financial products in a life investment policy
- Explain the typical fee structures, charges and other costs associated with a life investment policy
- Identify the general risks associated with investing, purchasing or transacting in a life investment policy
- Describe the investment and risk principles, options and strategies for a life investment policy
- Validate the appropriateness of a life investment policy for different types of clients or groups of clients

Insurance Act of 2017 defines an investment policy as follows:



An investment policy usually refers to a long-term insurance policy, such as a life policy, with a component of investment attached. Endowment policies are regarded as long-term insurance investment policies.

2.6.1 The general characteristics, terms, and features of financial products in a life investment policy

2.6.1.1 Endowment policy

An endowment is an investment plan that helps you save over the medium to long term. This investment offers estate benefits and tax-efficient structures. Traditional endowments comprise a life insurance policy with an underlying investment fund.

Endowment vs sinking fund

Suppose you select to have your endowment plan structured with a life assured, and the life assured dies before the end of the policy term. In that case, the proceeds will become payable to the chosen beneficiaries.

Suppose you select to have your endowment plan structured without a life assured (i.e. structured as a sinking fund). In that case, the investment will continue after the investor's death until the end of the investment term or until earlier realisation.

Withdrawals on an endowment policy

Regarding current legislative restrictions (March 2019), one withdrawal is permitted during the first five years of your policy. Any withdrawal in the first five years may not exceed the contributions accumulated at 5% per year compound interest. After five years, you may make withdrawals from your investment as required.

Contributions to an endowment policy

You may make a once-off lump sum or recurring monthly contributions to the endowment plan. If you make a lump sum contribution, then additional (ad hoc) contributions to your endowment plan will not be permitted. In this case, a new endowment plan will be started for any additional contributions, with another five-year restriction period. If you have chosen to make recurring monthly contributions, you may also be entitled to make ad hoc contributions to your endowment plan.

To prevent the commencement of a new five-year restriction period when an ad hoc contribution is made, the value of any ad hoc contributions is limited so that the total contributions (including ad hoc contributions) in any given policy year will not be more than 120% of the greater of the contributions paid in the previous two years. If the contribution is larger than this, a new endowment plan will have to be started with another five-year restriction period.

2.6.1.2 The role of LISPs in investments

A linked investment service provider (LISP) is an independent administration company offering investors access to collective investment schemes (or unit trusts) across several management companies. One could use an LISP to invest proceeds in one of the following, although each would have different tax implications and fund restrictions:

- A unit trust investment.
- An endowment policy.
- A living annuity.
- A retirement annuity.

It is important to note that a LISP acts purely as an administrator and does not manage the fund assets or provide investment advice.

2.6.1.3 The typical fee structures, charges and other costs associated with a life investment policy

Stopping or reducing premiums, withdrawing funds, and surrendering one's policy (cancelling before the maturity date) are reasons why an insured might incur charges on their policies (over and above the agreed fees from onset).

Investment policies normally attract the following fees:

- Financial advisor initial fee - these are the fees paid to your financial adviser, who may charge on a consultation basis (a fee normally charged upfront) or on an ongoing basis for managing your portfolio. In most instances, advisers prefer an ongoing basis to oversee your portfolio over the lifetime of your investments. As a guideline, you should be wary of advisers charging more than 1.5% per annum (excluding VAT) on ongoing advice fees.
- Initial management fee – paid to the investment managers of your selected underlying investment choices.
- Tax recovery charges.
- Annual administration fee—When you invest, the investment house must perform a certain amount of administration. This includes carrying out your investment instructions and providing you with investment statements. Administration fees are often charged on a sliding scale: the larger your portfolio, the lower your fee. Administration fees typically range from about 0.096% per annum (excluding VAT) to 1.25% per annum (excluding VAT).
- Financial advisor annual fee—Your financial adviser may also charge an annual advice fee as a percentage of the value of your investment fund for managing it. Units will be redeemed monthly for this as 1/12th of the advice fee selected, increased by VAT.
- Other fees – and additional fees on offshore assets.
- Initial fees depend on the size of the investment. For example, if you are making a lump sum contribution to your Discovery Invest Endowment Plan, your initial fee will be based on the size of your contribution. If you invest more than R600 000, you will pay no initial fees. If you invest less than R600 000, you will pay fees based on a tiered structure.
- Investment Manager Annual Fee - The investment managers to your underlying investment choices will normally charge an annual management fee as a percentage of your investment in their fund. This fee is divided by 365 and deducted daily from the unit prices provided by the investment.

2.6.1.4 Investment and risk principles, options and strategies for a life investment policy

The type of investment chosen depends on several factors, including the type of client who wants to invest, the asset type, the investment duration, and the investment goal.

2.6.2 Asset classes

Shares or equities⁹

A share represents a portion of ownership in a company. Companies issue shares to raise money to grow their businesses, which investors buy and sell on stock markets such as the Johannesburg Stock Exchange (JSE). When investors buy a share in a company, they purchase a portion of the company's profits (or losses), which is why they are referred to as shareholders. The terms shares and equity are used interchangeably. They are also known as stocks.

So, if you were to buy a share, stock, or equity in Mr. Price, this would all mean the same thing – that you own part of the company. If Mr Price then (hopefully) grew its business, it would pay you dividends each year, and eventually, you might be able to sell your shares at a profit.

⁹ <https://businesstech.co.za/news/wealth/364364/investing-101-basics-to-build-your-wealth-in-south-africa/>

Bonds¹⁰

A bond is a financial tool that governments, local authorities, SOEs, and companies use to borrow money from investors. When an investor buys a bond, they essentially provide a loan to the bond issuer (the government or entity that created the bond). As compensation, investors usually receive regular interest payments from the bond issuers.

These interest payments cease on the bond's maturation or "expiry" date, on which day bond issuers promise to repay investors the original amount loaned.

For instance, if you invested R1,000 in a 5-year RSA Fixed Rate Retail Savings Bond with an 8.5% yield, you would receive R85 ($8.5\% \times R1,000$) in interest each year for five years. You would also be repaid the original R1,000 investment amount at the maturity date.

Property¹¹

There are many ways to invest in property, beginning with buying your own home or investing in a buy-to-let property and becoming a landlord. However, you do not have to invest in a bricks-and-mortar house to invest in property.

Other options worth considering include investing in listed property through a real estate investment trust (REIT) or a property exchange-traded fund (ETF), both of which are accessible via stock exchanges.

A REIT is a company that owns and often manages income-producing real estate, while a property ETF tracks the performance of various listed property companies.

Cash¹²

Cash investments can refer to money in high-interest or fixed-deposit bank accounts or a money market fund that may hold Treasury bills, commercial papers, short-term certificates of deposit (CDs), and short-term bonds with maturation dates of less than a year.

However, while cash investments offer greater capital protection and lower risk, they also offer lower returns than other asset classes. They are generally unsuitable as a long-term investment if you want to counter the value-eroding impact of inflation.

2.6.3 When to use each investment option

- Money market/ cash attracts lower returns, yet it carries a lower risk of loss. It is suitable for capital protection.
- Bonds carry moderate returns and expose one to a moderate risk of loss. It is suitable for capital protection.
- Property investments carry moderate to high returns and expose one to moderate risk of loss. They are suitable for capital growth.
- Equities are the riskiest, but they can also attract high returns if all market factors perform favourably. They are suitable for capital growth and increasing an investment's real value.

2.6.4 Investor profiles

Investor profiling helps to determine the following:

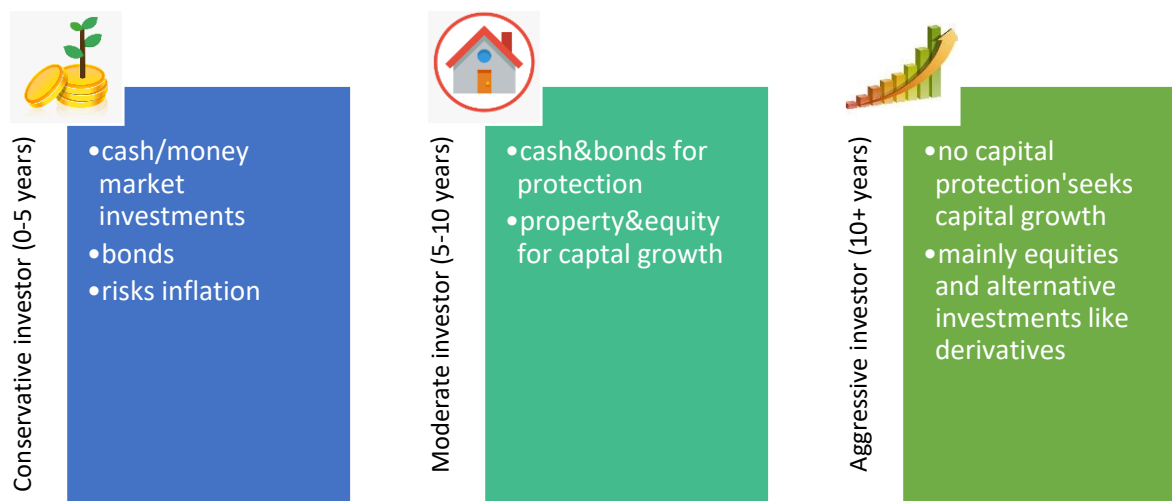
- a) Risk required – analysis of the client's financial goals.
- b) Risk capacity – the level of risk the client is willing to take to achieve the goal.
- c) Risk tolerance – what the client is willing to expose themselves to achieve their financial goal.

Risk tolerance and capacity depend on the following types of clients:

¹⁰ Bonds

¹¹ Property

¹² <https://businesstech.co.za/news/wealth/364364/investing-101-basics-to-build-your-wealth-in-south-africa/>



A client's risk profile may be influenced by the following:

- Objectives and time frame (short-term vs long-term objectives).
- Access to cash/liquidity—One cannot afford to invest in vehicles that are difficult to convert into cash if one does not have emergency funds for emergency events.
- Age of investor – the older one is, the lesser the appetite for risky investments.
- Existing wealth protection—Those without existing wealth protection measures are likely not to complete the full term of the investment (withdraw funds before the end of the agreed term).

2.6.5 The general risks associated with investing, purchasing or transacting in a life investment policy

The impact of government monetary and fiscal policies on long-term insurance

If the political environment and policies drive the country into a recession, actuaries find it difficult to price risks, such as rate increases and their impact on life policies.

If the policies drive a country to junk status, the increased downward pressure on a sovereign rating also places downward pressure on corporate credit ratings. Insurers (and financial companies in general) are vulnerable to weaker corporate and sovereign ratings when they look to international markets for funding.

Exchange rates and the impact on long-term insurance products

Currency volatility associated with low economic growth could affect some insurers depending on their risk exposure and capital base. For instance, if risk exposure is domestic and (revenue-generating) capital is located largely offshore, shocks to the exchange rate could have a real and significant impact on investment revenues. Also, from an offshore perspective, weak confidence in a country's economy could divert foreign financiers' attention away from local companies, including insurers, who might need cash or alternate financing.

With the currency clause, reinsurance becomes expensive for local reinsurers as they battle to match the Rand value of the foreign currency previously agreed to in the clause.

Interest rates and impact on long-term insurance products

Consider the SARB's MPC on interest rates when they drop or raise them.

Impact when the repo rate is cut	
Cash investments	Less interest on savings and money market accounts. No change will occur for those with fixed-interest investments as interest returns on these instruments are locked in.
Bonds	Bond yields decline because bond returns become more attractive relative to cash instruments. Higher demand for bonds usually increases the price of local bonds and, as a result, reduction in yields.
Equities	The value of equities increases when interest rates decline.
Property	Property shares usually increase in value because property companies rely on debt to finance properties. The cut in the rate should reduce interest expense and, as a result, improve the rental yield.

Stock Market volatility

When the JSE takes a knock, it affects the performance of investment-linked life policies. Life investment policies that rely heavily on equities tend to suffer a lot and affect the face value of policies.

2.6.6 The appropriateness of life investment products for different types of clients or groups of clients

Endowment policies are suitable for clients whose:

- The marginal tax rate is higher than 30%, and you want to benefit from tax savings (anything less than 30%, you will be taxed more).
- Long-term saving goals (5-10 years).
- Comfortable with taking risks from market fluctuation and potential capital loss.

Endowments **will not** be suitable if:

- If you want to make more than one withdrawal before the end of the term and have not passed the restriction period).
- If you have high interest-bearing debts such as credit cards, personal loans, overdrafts, and mortgage bonds, these should be tackled before investing in an endowment. The returns after tax, costs, and fees from the funds in the endowment are unlikely to achieve the same rate as your credit card.

2.7 Fund Policies

Learning outcomes

By the end of this section, you should be able to:

- Describe the general characteristics, terms, and features of financial products in a fund policy
- Explain the typical fee structures, charges and other costs associated with a fund policy
- Identify the general risks associated with investing, purchasing or transacting in a fund policy
- Discuss the investment and risk principles, options and strategies for a fund policy
- Validate the appropriateness of a fund policy for different types of clients or a group of clients.

The Insurance Act of 2017 defines a fund policy as follows:



DEFINITION

“Fund policy” means a contract in terms of which a person, in return for a premium, undertakes to provide policy benefits for funding in whole or in part the liability of a fund to provide benefits to its members in terms of its rules, other than such a contract relating exclusively to a particular member of the fund or the surviving spouse, children, dependents or nominees of a particular member of the fund; and includes a reinsurance policy in respect of such a contract.

“Fund” means - (a) a friendly society as defined in section 1 of the Friendly Societies Act, 1956 (Act No. 25 of 1956); (b) a pension fund organisation as defined in section 1 of the Pension Funds Act, 1956 (Act No. 24 of 1956); (c) a medical scheme as defined in section 1 of the Medical Schemes Act; and (d) any other person, arrangement or business prescribed by the Authority;

In layman’s terms, in a fund, your money is invested with other people’s money as a collective. Fund managers manage money using capital from numerous investors to collectively purchase different investment instruments, as discussed in the previous section. Each fund has a defined investment goal and duration and is designed to meet the needs of investors with different risk profiles, and an investment manager helps the investors decide if the fund is right for them.

2.7.1 The general characteristics, terms, and features of financial products in a fund policy

2.7.1.1 Money market fund

The fund invests in money market securities with a maturity of fewer than 13 months. The fund’s weighted average duration may not exceed 90 days.

The fund aims to deliver a regular income and outperform bank deposits over time while preserving capital.

An ultra-conservative portfolio caters to extremely low-risk tolerance and is designed for minimum capital fluctuations and volatility. It carries a short timeframe for investment. This portfolio has no growth assets, and it is a cash-based investment. The ultra-conservative portfolio aims to yield returns that are level with inflation. Capital protection is of prime importance.

2.7.1.2 Equity fund

The fund aims to offer long-term capital growth through investing in a broad spectrum of South African and international shares.

The fund invests in shares across all South African and international stock market sectors. The exposure to South African shares will focus predominantly on the top 100 shares by market capitalisation as listed on the FTSE/JSE All Share Index (J203). The offshore exposure is limited to 30% of its portfolio (with an additional 10% for African exSA investments). The fund aims to achieve its performance objective through well-researched and superior share selection. Derivatives may be used for efficient portfolio management purposes.

¹³A derivative is an agreement, or contract, between parties to mitigate or transfer the risk of loss through a promise or guarantee.

Derivatives exist across all asset classes: equities, bonds, commodities, property, and the money market, including the foreign exchange market. There are now things like weather derivatives, like insurance policies against bad weather.

A forward contract locks a buyer and a seller of an asset into a price payable on a specified date in the future, the expiry date. You own, for example, shares currently trading at R100 each.

You are not optimistic about the company's prospects, especially whose shares they are, and expect the share price to fall. Conversely, you agree with a buyer who expects the share price to rise that you will sell them the shares in four months at, say, the price they are today, R100.

On the expiry date (also known as the settlement or delivery date):

- * If the share price has dropped to R80, you will make a profit of R20 a share, and the buyer will be forced to pay R20 more than the market price.

- * If the share price has risen to R120, you will have lost out on the R20 increase. After paying you the contracted R100 a share, the buyer can immediately sell the shares on the market at an R20 profit.

For you, the seller, this is a simple way of protecting yourself against your shares losing value, which may or may not happen.

2.7.1.3 Balanced Fund

This fund aims to achieve long-term inflation-beating growth. The fund has a growth asset bias and will invest more heavily in shares. The portfolio manager actively allocates to other asset classes to take advantage of changing market conditions and manage the fund's volatility.

The fund is exposed to all market sectors (shares, bonds, and property). It may gain exposure to foreign assets up to 30% of its portfolio (with an additional 10% for African ex-SA investments). Derivatives may be used for efficient portfolio management purposes.

2.7.1.4 Global Equity Fund

The fund aims to offer superior returns over the medium to longer term by investing in shares from developed countries worldwide.

The fund has broad exposure to quality shares from developed countries worldwide. Given regulatory constraints, it remains as fully invested in foreign equities as possible.

2.7.1.5 Stable Growth Fund

The fund aims to outperform inflation and provide a modest income level while aiming not to lose money over 18 months. The portfolio manager actively manages asset allocation to exploit changing market conditions.

The fund invests in cash, bonds, property, and shares. It may invest up to 40% of its portfolio in inequities. The fund may also gain exposure to foreign assets up to 30% of its portfolio (with an additional 10% for African ex-SA investments). Derivatives may be used for risk management purposes.

¹³ <https://www.iol.co.za/personal-finance/derivatives-for-beginners-8069743>

2.7.1.6 Group Insured Benefits

Group risk benefits are designed to assist employers in covering their employees (and, at times, their families) in the event of illness, disability, or death. Pension funds and preservation funds already form part of group risks. Group insurance benefits are:

- a) Group life insurance.
- b) Group accident insurance.
- c) Disability income.
- d) Group critical illness.
- e) Group funeral cover.

All group-insured benefits and premiums are payable until the employee resigns from the company or when the employee dies or the employment relationship is terminated due to ill health (including disability). Terminating an employment relationship also extends cover to include the employee's children and spouse.

Waiting periods

Most group-insured benefits do not have waiting periods, BUT that still does not take anything away from those that have, as the insurer is mostly concerned about protecting insurance funds.

The medical evidence of good health

Sanlam's group insurance is subject to a medical proof-free limit for an employer group providing compulsory group cover to 10 employees or more. When an employee's cover exceeds the medical proof-free limit of the scheme, the employee should first provide medical evidence of good health before he/she can enjoy the full potential cover exceeding the medical proof-free limit. An employee is, however, not obliged to go for the medicals. The employee will qualify for the cover amount up to the medical proof-free limit without providing Sanlam with medical evidence to prove their good health.

Additional Group Insured Benefits

Group-insured benefits also carry additional benefits that neither the employer nor employee has to pay an additional premium to enjoy cover. Some common examples of these are:

- a) Repatriation.
- b) Discount on coupons for groceries.
- c) Emergency medical response.
- d) Legal assistance.
- e) Trauma, assault and HIV counselling.
- f) Loyalty programmes – information on health, finances, safety, etc.

2.7.2 The typical fee structures, charges and other costs associated with a fund policy

Fund administrators normally make the schedule of charges available to clients on request. Fees Permissible deductions may include:

- Management fees.
- Transaction costs - brokerage fees, Securities Transfer Tax (STT), STRATE and Investor Protection Levy and VAT.
- Auditors' fees.
- Bank charges and trustee fees.

Determining premiums for group insurance products

Some group-insured benefits' premiums are calculated using the following:

- A multiple of the employee's salary (e.g. critical illness = up to 3x an employee's annual salary).
- The insurer and employee might agree on a fixed benefit amount.
- A percentage of an employee's life cover might cover all other group-insured benefits mentioned above.

Insurers sometimes use formulas generated after considering the nature of activities, employee size, ages, occupations, salaries at stake, etc.



Source: www.10x.co.za

With the 10X Preservation Fund, we do not charge an initial fee, and you only pay one annual investment management fee, at a maximum of 0.90% pa (excl. VAT) of your capital. The fee drops for amounts above R0, 5m.



Allan Gray Money Market Fund fees:

All the Money Market Fund's expenses, including the investment management fee, are deducted before performance figures are calculated. There are no separate or additional costs.

2.7.3 The general risks associated with investing, purchasing or transacting in a fund policy

Money market fund risk

a) Inflation risk

If the inflation rate exceeds after-tax interest rates, then the spending power of your money will decline over time – this is called negative real interest rates. A money market fund cannot protect from capital erosion should policymakers choose to administer negative real interest rates.

The returns of a money market unit trust often do not keep up with inflation over the long term.

If inflation exceeds the yield, you may not lose a cent from the balance you see on your investment statement, but each cent will buy less the longer you keep your money in the unit trust. Put differently, money market unit trusts are usually unsuitable for long-term investing, like retirement savings or your child's education.

b) Credit risk

Money market funds invest in debt instruments. If the debt instrument issuer goes bankrupt, investors will likely suffer a loss. Some funds, such as the Allan Gray Money Market Fund, try to buffer against this risk by diversifying their issuers.

c) Liquidity risk

If, for example, a money market fund receives a request for extremely large withdrawal amounts from its investors, then it may force the fund to sell a type of financial instrument commonly used by money market funds called long-dated paper, which could incur a loss for the fund and its investors.

The impact of emerging diseases on group insurance products

<https://chro.co.za/article/do-employee-benefits-cover-the-coronavirus> writes:

Most group insurance policies would not have exclusions for viral infections and illnesses as exclusions mostly focus on scenarios like active participation in riots, terrorism, or wars.

For example, if an employee contracts Coronavirus, due processes in terms of employee benefits would follow. The employee would most likely take sick leave and then utilise their medical scheme should they be hospitalised. In the unfortunate event that Coronavirus leads to death, members' death benefits will be payable from their employee benefits arrangement.

This does not mean that coronavirus will never be excluded in the future. Insurers and reinsurers monitor these events and continue to actively manage risks that, in an extreme scenario, could be detrimental to policyholders and the sustainability of the broader insurance industry. Any changes to policy terms and conditions will be widely communicated.

But what about disability? If the virus is treated early, recovery should be fairly quick and within most schemes' waiting period for disability benefits. Based on the incidences in China, people can recover quickly from the virus if they receive timely treatment. For this reason, disability claims due to the virus are expected to be minimal.

As travel is part of many occupations, regular business trips are often unavoidable for many employees. Group insurance does not provide travel insurance; however, group insurance benefits are generally extended when people travel abroad. Insurers will typically limit cover. For example, employees will only be covered for the first twelve months of travelling outside of Southern Africa.

Employers must examine what occupational disability and business interruption plans are in place for group benefits. If contracting a virus results in a temporary disability and staff have used their sick leave, such products would pay.

The impact of government monetary and fiscal policies on long-term insurance

If the political environment and policies drive the country into a recession, actuaries find it difficult to price risks, such as rate increases and their impact on life policies.

If the policies drive a country to junk status, the increased downward pressure on a sovereign rating also places downward pressure on corporate credit ratings. Insurers (and financial companies in general) are vulnerable to weaker corporate and sovereign ratings when they look to international markets for funding.

2.7.4 The appropriateness of fund policy products for different types of clients or groups of clients

A soon-to-be retiree may focus more on capital preservation than high growth and use a defensive investment with a lower risk-return profile. A young investor will likely want the best growth over a long time frame with more risk and, thus, more return.

Money market fund

This fund is suited to investors who want a liquid investment that delivers a regular income and/or maximum capital protection but understand that their investment is unlikely to keep pace with inflation if held long-term.

Equity Fund

This fund is suited to investors seeking long-term capital growth through exposure to a broadly diversified portfolio of South African and international shares. These investors can tolerate South African and international stock market volatility and exchange rate fluctuations.

Balanced fund

This fund is suitable for investors wanting moderate to high long-term growth, with less volatility in the short term than pure equity. It is suitable as a stand-alone retirement investment.

Global equity fund

This fund suits investors wanting to diversify their portfolios by adding an international equity component or taking a specific view on global equity performance relative to other asset classes.

Stable Growth Fund

Suitable for you if:

- You are risk-averse and want to prioritise protecting your capital.
- You are ideally investing for at least two years.
- You want to achieve returns better than inflation but are comfortable with a lower potential return over time than you might earn in a unit trust that takes on more risk.
- You are comfortable with some market fluctuation within two years.
- You want a unit trust that complies with legal investment limits for retirement funds.

Suitability of group insured benefits:

- If one has medical issues or bad medical history, this is the right cover to belong to, as no medical checks are required for basic cover. Medical checks will be required when one desires cover that exceeds the basic limit the insurer offers the company.
- Group-insured benefit policies do not have waiting periods. Cover is effective the day one starts a contractual working relationship with an employer.
- If an employee is looking for policies that benefit their well-being without paying a lot for cover, group-insured benefit policies are the way to go.
- For women, if they join a medical scheme and are pregnant, medical aid will not pay. Group insured to cover for medical aid has no waiting periods on maternity benefits.

2.7.5 Fund and Fund Member Policies

The term “fund policy” is defined to mean a “contract in terms of which a person, in return for a premium, undertakes to provide policy benefits for funding, in whole or in part, the liability of a fund to provide benefits to its members in terms of its rules, other than such a contract relating exclusively to a particular member of the fund or the surviving spouse, children, dependants or nominees of a particular member of the fund and includes a reinsurance policy in respect of such a contract.”

A fund policy is, therefore, a policy that provides benefits to a retirement fund. It is normally taken out on a group basis. The regulations of the Long-term Assurance Act also describe a fund member policy. It is an individual policy entered into by the fund for the exclusive purpose of “funding that fund’s liability to the member” in terms of its rules.

2.8 Sinking Fund Policy

Learning outcomes

- By the end of this section, you should be able to:
- Describe the general characteristics, terms, and features of financial products in a sinking fund policy
- Explain the typical fee structures, charges and other costs associated with a sinking fund policy
- Identify the general risks associated with investing, purchasing or transacting in a sinking fund policy
- Discuss the investment and risk principles, options and strategies for a sinking fund policy
- Validate the appropriateness of a sinking fund policy for different types of clients or groups of clients

Insurance Act, 2017 defines a sinking policy as follows:



A “sinking-fund policy” is defined in the LTIA as: “[A] contract, other than a life policy, in terms of which a person, in return for a premium, undertakes to provide one or more sums of money, on a fixed or determinable future date, as policy benefits; and includes a

reassurance policy in respect of such a contract.”

A “sinking-fund policy” is best suited where the company wants to build a reserve to have money to replace equipment or other assets. It is a policy in which an insurer, in return for a premium, undertakes to provide one or more sums of money on a fixed or determinable future date. It is a policy similar to a pure endowment, except it does not have a life assured. The continuation of the policy is thus not affected by the death of any company member. Such a policy will not meet the requirements under section 11 (w) (ii); consequently, the premiums will not be tax-deductible. The proceeds will be tax-free if the premiums do not qualify for deduction under section 11 (w). If the policyholder dies before maturity, the policy benefits are payable to his estate.

2.8.1 The general characteristics, terms, and features of financial products in a sinking fund policy

Education policy

Education policies are not risk policies; they are purely investment policies. However, unlike fund policies, sinking fund policies have no life assured. The beneficiary is for ownership as opposed to proceeds. The funds set aside for education are put into different investment vehicles in the market. The minimum investment period for education policies is 5 years, making them suitable investment vehicles for a conservative investor.

Retirement annuity fund

A retirement annuity fund, in which you also make monthly contributions, is entirely independent of your employer. It allows you to choose what funds you invest this money in - limited by retirement fund regulations.

If you change jobs, it makes no difference to your RA, and it will continue going. You also get to choose what funds you invest your money in. Upon retiring or reaching 55, you will have access to one-third of your RA as a lump sum of cash, which is taxable, and the balance must be used to purchase an income product or annuity. If the total interest in the fund is less than R247 500, then you can take the full amount as a cash lump sum. Note that the growth and income within your fund while you are a member are tax-free, but when you access your funds, they will be taxed.

Compulsory vs voluntary annuity

A compulsory purchase annuity is bought with your retirement savings from a pension, provident or retirement annuity fund. Legally, you must buy a compulsory annuity with a minimum of two-thirds of the payout from your pension fund or retirement annuity fund savings. By contrast, you can buy a voluntary purchase annuity (VPA) at any time with your voluntary or discretionary savings (i.e. savings that you have accumulated separately from your pension, provident or retirement annuity fund). Both types of annuity pay you a guaranteed income.

A guaranteed life annuity is also known as an underwritten annuity or traditional annuity. It pays you a regular amount until the day you die, in other words, for your life. In most cases, when you die, the payments stop.

Features of sinking fund policies

- Recurring or single premium investment.
- Other insurers allow the policyholder to add ad hoc lump sum investments.
- Minimum year investment term.
- The policy will continue until its maturity date or earlier surrender.
- They are taxed the same way as endowment policies.
- No insolvency protection compared to the endowment policies, as no life assured is nominated as a beneficiary.

2.8.2 The typical fee structures and charges in sinking fund policies

Fund policies usually carry the following fees, depending on the amount of investment you take:

- Initial advice fees.
- On-going advice fees.
- A platform charge.
- Annual fees.

2.8.3 Identify the general risks associated with investing, purchasing or transacting in a sinking fund policy

Market performance and inflation

Your investment account's value depends on the underlying investments' market value for annuities. If markets fall or returns are poor, your capital could reduce or fail to keep pace with inflation. The account value increases with any additional transfers in positive investment returns and decreases with drawdowns, negative investment returns, and applicable charges.

High withdrawal from the fund

If the income you choose to draw from your living annuity is too high, your capital will reduce over time. This means that your future income could fail to keep pace with inflation or even that you outlive your savings.

2.8.4 Validate the appropriateness of a sinking fund policy for different types of clients or groups of clients

The choice of an investment plan for a child's education rests on some of the following risk and investment principles:

- If the investor wants their child to attend local or international institutions.
- How long does the investor want to put capital away?
- Whether they want to get the returns in rand value or the dollar value.

- The investor's age. Retirement annuities are more attractive to the young who are still far from retirement. In contrast, compulsory annuities suit those who have received their pension or provident funds and seek to reinvest them further for increased returns.

2.9 Reinsurance Policy

Learning outcomes

By the end of this section, you should be able to:

- Describe financial products' general characteristics, terms, and features in a reinsurance policy.
- Explain the typical fee structures, charges and other costs associated with a reinsurance policy.
- Identify the general risks associated with investing, purchasing or transacting in the reinsurance policy.
- Validate the appropriateness of a reinsurance policy for different types or groups of clients.

The Insurance Act of 2017 defines a reinsurance policy as follows:



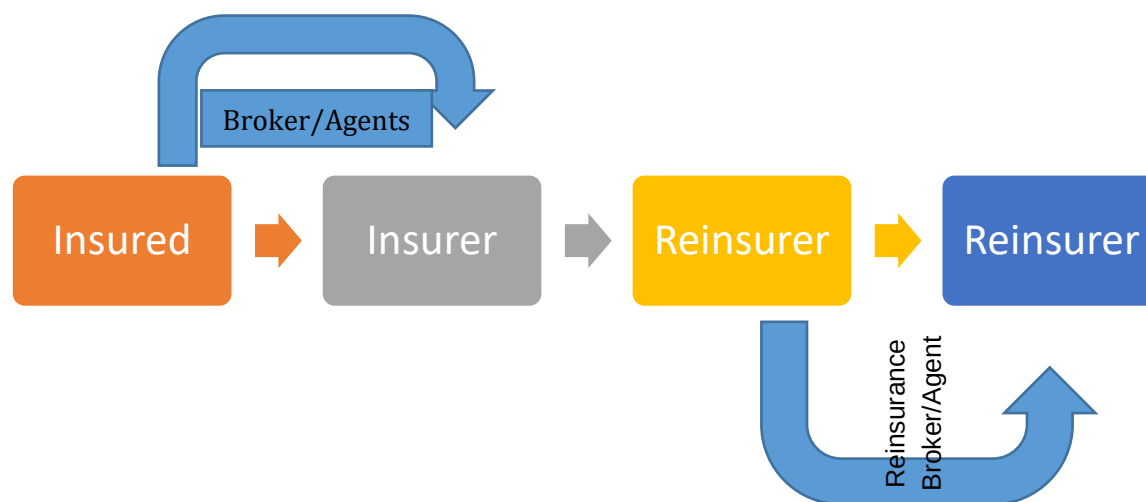
"Reinsurance policy" means – (a) in respect of a registered insurer, a reinsurance policy in respect of a long-term policy; (b) in respect of a licensed insurer, a life insurance policy written under the reinsurance class of life insurance business as set out in Table 1 of Schedule 2 of

the Insurance Act.

2.9.1 Describe the general characteristics, terms, and features of financial products in a reinsurance policy

Reinsurance is "insurance for insurance companies"; in other words, it is a "second level of insurance." It is an arrangement in which a company, the reinsurer, agrees to indemnify an insurance company, the ceding company, against all or a portion of the primary insurance risks underwritten by the ceding company under one or more insurance contracts.

Reinsurance graphical representation



Insurance is the transfer of risks from the policyholder to the insurer. As shown in the diagram, insurance can be purchased directly from the insurer or through intermediaries.

Reinsurance- an insurer cedes¹⁴ All or a portion of risks can be transferred to a reinsurance company. Reinsurance can be purchased directly from the reinsurer or through reinsurance brokers and agents, as shown in the diagram.

¹⁴ Cede – transfer risks from the insurer to the reinsurer

Retrocession – the transfer of risks from one reinsurer to another reinsurer.



Thoko is a director for her company and worries about what will happen to her company and business partners when she passes on. Thoko purchases life insurance from ABC insurers for R5 million.

ABC insurers only have the underwriting capacity to carry risks that do not exceed R2 million. They do not tell Thoko that this is over what they can carry, but they approach XYZ reinsurers and place the surplus cover of R3 million with them. Thoko does not have to know about this arrangement.

XYZ will pay the portion ceded to them in case of a claim, and ABC insurers will then pay Thoko's claim in full.

The role of reinsurance

- a) **Transfer risk**—Insurance companies can issue policies with higher limits because the reinsurer offsets some of the risks.
- b) **Financial stability**—Insurance companies' income can be more predictable by transferring highly risky insurance liabilities to reinsurers to absorb potentially large losses.
- c) **Keep less capital at hand** - By offsetting the risk of loss in insurance liabilities, insurance companies do not need to keep as much capital to cover potential losses. Thus, they can invest the capital elsewhere to increase their revenues.
- d) **Increase underwriting capacity**—Reinsurance enables insurance companies to underwrite more policies by transferring a portion of their liabilities to reinsurers. It enables insurance companies to take on more risk.
- e) **Reduce liability** - by lowering claimant pay-out during catastrophic losses. Natural disasters such as earthquakes and hurricanes can cause death, injury, and sickness claimed to be abnormally high. In such cases, an insurance company can potentially go bankrupt by having to issue payments to all the claimants. Insurance companies can remain afloat in such extreme events by shifting part of the insurance liabilities to reinsurers.
- f) **Increase capital** - Insurance companies can potentially purchase reinsurance coverage from reinsurers at a rate lower than what they charge their clients. Reinsurers use their models to evaluate the riskiness of policies. Therefore, reinsurers may accept a lower insurance premium from the insurance company if they deem it less risky.

Types of reinsurance

a) Treaty reinsurance

An insurer (the ceding company) agrees with one or more reinsurers to cede to them a portfolio of risks as defined in the respective reinsurance agreement or treaty.

The ceding company agrees to cede, and the reinsurers agree to accept all the risks written by the ceding company that fall within the treaty's terms, subject to the limits specified therein.

For example, if the treaty terms are to accept all life risk policies, the reinsurer cannot choose to reject part of the business ceded to it because they do not want it (might be of high risk, etc.).

b) Facultative reinsurance

The reinsurer must underwrite the individual "risk", making it costly and time-consuming. The reinsurer has the power or "faculty" to accept or reject all or a part of any policy offered to it.

For example, in a portfolio of life risk policies, the reinsurer can accept only term life policies and choose not to accept whole life policies for various reasons.

Treaty and facultative reinsurance agreements can be structured on a **"pro-rata" (proportional)** or **"excess-of-loss" (non-proportional) basis**, depending on the arrangement by which losses are apportioned between the two parties.

Proportional reinsurance - In a proportional agreement, most often applied to non-life property classes of business, the reinsurer and the primary company share the premium from the policyholder and the potential losses.

The reinsurer does not get involved more than the loss agreement unless the claim exceeds the pre-arranged limit.

1. Explain the typical fee structures, charges, and other costs associated with a reinsurance policy

- a) **Acquisition costs**—These costs are primarily related to the acquisition of new or renewal insurance contracts, e.g., commissions, and management expenses. Acquisition costs are often expressed as a percentage of earned premiums and referred to as the acquisition cost ratio.
- b) **Ceding commission**—A ceding commission is a **fee** paid by a **reinsurance** company to the ceding company to cover administrative **costs** and acquisition **expenses**.
- c) **Broker fee** (where a broker is involved).

2. Identify the general risks associated with investing, purchasing or transacting in the reinsurance policy

Exchange rates and the impact on long-term insurance products

Currency volatility associated with low economic growth could affect some insurers depending on their risk exposure and capital base. For instance, if risk exposure is domestic and (revenue-generating) capital is located largely offshore, shocks to the exchange rate could have a real and significant impact on investment revenues. Also, from an offshore perspective, weak confidence in a country's economy could divert foreign financiers' attention away from local companies, including insurers, who might need cash or alternate financing.

Currency clause

With the currency clause, reinsurance becomes expensive for local reinsurers as they battle to match the Rand value of the foreign currency previously agreed to in the clause.

3. Validate the appropriateness of a reinsurance policy for different types of clients or groups of clients

Facultative reinsurance will be suitable in the following instances:

- a) Facilitates reinsurance of risks where no treaty protection is available.
- b) Facilitates reduced exposure to risks where a higher degree of a hazard than normal exists.
- c) Facilitates capacity where the volume of business does not justify treaty arrangements, such as when new lines of business are written.
- d) Facilitates specialist technical assistance from another office because when you phone the reinsurer, they might give you more insight into the underwritten risk.
- e) Facilitates fronting of risks (when the insurance company cedes 100% of the risk to the reinsurer because it cannot insure the risk in its account. The risk could be too hazardous.
- f) Where the insurer has either accepted the entire risk in error or cannot withdraw his share.

When to use treaty reinsurance:

- a) When looking for an administratively cheaper reinsurance placement method.
- b) When you want to cut on time, facultative reinsurance tends to be time-consuming since risks are placed individually.
- c) If you seek a plan that pays a higher commission.

Other factors to take into consideration when deciding the need for reinsurance are as follows:

- Exposure of the portfolio to catastrophic risks like emerging diseases, etc.
- Size of the company.
- Number of lines that a business writes.
- Insurers expanding into new geographical regions often use reinsurance.
- Insurers exiting markets or lines of business.
- Regulatory and rating agency considerations.

2.10 The Long-Term Assurance Act

The Long-term Assurance Act of 1998 governs the Long-term assurance industry. This Act covers various aspects of the assurance industry and is divided into Parts I to IX. This unit discusses only Part VII, which deals with business practices, policies, and policyholder protection.

2.10.1 Parties to the Life Assurance Contract

In terms of the Long-term Assurance Act, a life contract is a contract in terms which an insurer, in return for an agreed premium, undertakes to:

- Provide policy benefits upon, and exclusively as a result of, a life event;
- Pay an annuity (pension) for a period.

The following parties can be involved in a life policy:

- There is the **policyholder**, i.e. the owner of the policy. The person takes out the policy with the insurer and initially owns it. He is the only person authorised to make changes to the policy.
- There is the **payer**. Usually, the policyholder pays the premiums, but a third party may pay the premiums on the life policy. The policyholder would then be responsible for ensuring the third party pays the premiums.
- There is the **life assured**, also known as the insured. This is the person whose life event, such as death, will determine the insurer's provision of benefits (the sum assured). If the policyholder differs from the life assured, he must have an insurable interest in that person.
- There is the person(s) to whom the benefits are payable. This person is referred to as the **beneficiary**. The policy's beneficiary can be the owner, the insured, or another nominated person.
- There is the **cessionary**. It is the person/ institution to whom rights in the policy have been partially or wholly ceded (see below).

Life contracts may be ceded, in full, to another person or a financial institution (e.g., a bank) as security against a loan. This process transfers part or all of the rights to the benefits to another party.

There are two types of cessions:

1. **Outright cession** occurs when the policyholder (or the cedent) cedes or transfers all his rights to the policy to a third party. This cession can be in the form of a donation or terms of an agreement of sale. The cessionary becomes the new owner of the policy.
2. **Security cession** occurs when the policyholder cedes the policy to a third party, usually a financial institution, as security for a loan. It is also known as a collateral cession. The policyholder does not cede all the rights to the policy to this cessionary. The cessionary may only keep the policy as security until the debt has been redeemed. If the debt is not redeemed before the death of the cedent, the financial institution may only retain a portion of the policy

equal to the outstanding balance of the debt. If any, the policy proceeds balance must be reverted to the original owner.

2.10.2 Protection of policies against insolvency

Section 63 protects against creditors' claims to certain policy benefits. The protection applies to policy benefits provided to a person under one or more assistance, life, disability or health policies in which:

- that person or the spouse of that person is the life insured; and
- which has or has been in force for at least three years.

The protection also applies to assets acquired exclusively with those policy benefits. The protection does not apply to a debt secured by the policy. If the protection applies, the benefits will not be available for the payment of his or her debts:

- (a) during his or her lifetime (it will not be liable to be attached or subjected to execution under a judgment of a court or form part of his or her insolvent estate); or
- (b) upon his or her death, if he or she is survived by a spouse, child, step-child or parent.

The protected amount in a deceased estate must be paid to the deceased's surviving spouse, child, stepchild or parent.

The protection also applies to benefits and assets acquired solely with the policy benefits for five years from the date the policy benefits were provided.

The person claiming such protection must prove on a balance of probabilities that the protection is afforded under the section. Furthermore, the protection will not apply if it can be shown that the policy in question was taken out to defraud creditors.

The person claiming protection under section 63 must prove on a balance of probabilities that the protection is afforded to him. In *Pieterse v Shrosbree NO and Others Shrosbree NO v Love and Others*,¹⁵ The Supreme Court of Appeal held that section 63 does not purport to divert the proceeds of an assurance policy from a nominated beneficiary to the insolvent estate of a deceased policyholder. The court reasoned that in the absence of section 63, on the death of a policyholder who has nominated a beneficiary to receive the policy's proceeds in the event of his death, the trustee of that person's insolvent estate would not have any claim to the policy proceeds. Nor does a trustee, by section 63, become a creditor of the nominated beneficiary. Section 63 does not vest the trustee of the insolvent estate of the deceased policyholder with any interest in and to the policy's proceeds.¹⁶

Section 64 of the Act provides that where:

- two or more long-term policies referred to in section 63 and held by the same policyholder are attached in the execution of a judgment or order of the court at the instance of a creditor or
- the owner of two or more long-term policies referred to in section 63 is declared insolvent by a court and
- Only a part of the aggregate realisable value is protected under section 63; the judgment creditor or trustee of the insolvent estate, as the case may be, must determine which policy or policies will be realised.

2.10.3 Policies on the life of a minor

Long-term assurance policies may be taken out on minors' and unborn children's lives. The amount of cover that can be taken is limited, depending on the age of the minor/child to be insured. The limitations that are in place, setting out the respective maximum cover amounts, are:

¹⁵ [2006] 3 All SA 343 (SCA); 2005 (1) SA 309 (SCA).

¹⁶ See also *Warricker and Another NNO v Liberty Life Association of Africa Ltd* 2003 (6) SA 272 (W); [2003] JOL 11155 (W).

- In the case of an unborn or a child under the age of six years: R20 000;
- In the case of minor children older than six but younger than 14 years: R50 000.

However, that value will apply if the total premiums paid plus interest exceed the above limits. These limits are in place to ensure that there is no financial incentive for anyone to harm children and relate to the primary purpose of assurance, which is to protect a person against financial losses. The death of a child causes no financial loss; thus, the cover limits relate primarily to funeral costs.

2.11 Income Tax

Section 29 of the Income Tax Act requires all long-term insurers to maintain five separate funds for income-tax purposes.

2.11.1 Tax: The Five-funds Approach

Tax is always payable on income or earnings (except for low-income earners). The proceeds of assurance policies are tax-free if they meet specific outcomes. Therefore, insurers pay tax in another way, namely in the five-fund approach, as outlined in the Income Tax Act. Assurance companies must keep policyholders' money in five separate funds per policy type. The underlying investment earnings and capital gains are subject to income tax and capital gains tax. Taxes are deducted from investment earnings before they are allocated to the policyholders.

The fund in which a policyholder's money will be invested depends on the policyholder and the policy type.

2.11.1.1 Defining the five-funds

- An **"untaxed policyholder fund"** (UPF) manages:
 - Policies owned by funds (pension, provident, retirement annuity or benefit fund);
 - Annuity contracts entered into by it in respect of which annuities are being paid;
 - Policies issued to non-taxpaying institutions (e.g. local authorities, charities, churches, etc., as set out in section 10).
- A policy owned by a trust consisting only of such persons also falls into the UPF.
- A **"company policyholder fund"** (CPF) manages the policies owned by companies. A non-UPF, non-IPF policy owned by a trust also falls into the CPF.
- An **"individual policyholder fund"** (IPF) manages policies owned by individual policyholders, i.e., natural persons. A policy owned by a trust consisting only of persons other than companies also falls into the IPF.
- A **"corporate fund"** (CF) in which it manages all the assets and liabilities owned by the insurer itself.
- **"The risk policy fund"** In this fund, assets with a market value equal to the value of liabilities determined concerning any risk policy must be placed.

The tax rates applicable to these funds are as follows (2024/25):

Fund	Tax rate	CGT rate
Individual Policyholder Fund	30%	18%
Corporate-Policyholder Fund	28%	22.4%
Untaxed Fund: Retirement Capital	0%	0%
Untaxed Fund: Tax-exempt funds	0%	0%
Risk policy fund	28%	22.4%

Corporate Fund (insurer's reserves)	28%	22.4%
-------------------------------------	-----	-------

Regarding the Income Tax Act, all first-hand policies are exempt from capital gains tax in the hands of the policyholder (owner). A policy will only become subject to capital gains tax in the hands of the owner if it is sold and becomes a second-hand policy.

2.11.1.2 Transfers between the funds

Within four months after the end of the assessment year, the policies in each of the funds must be valued again. If the market value of the assets in a fund exceeds the value of the liabilities in it, this "profit" must be transferred to the corporate fund. Should the market value of the assets be less than the value of the liabilities, then this "loss" must be made right by way of a transfer from the corporate fund.

These transfers are deemed to occur on the last day of the relevant assessment year. They are not part of the income or expenses of the policyholder fund to or from which they were made.

2.12 Premiums and Risk

Risks are assessed by insurers as follows:

A long-term assurance policy promises benefits based on some unknown future outcome. The unknown factors can be grouped broadly into demographic and economic factors. Demographic unknown factors relate to the risks of living or dying, becoming disabled, sick, etc., while economic unknowns relate to interest and inflation rates, investment returns, etc.

Developing a policy includes determining an appropriate premium for a given level of risk, with a given contractual definition and processes to support it.

Whether the premium charged for a policy is appropriate depends on the actual outcome of the demographic and economic factors versus what was allowed for in the premium. It is, however, also affected by the extent to which the underlying contract and processes have supported it. The most important of these processes relates to underwriting and assessing claims.

Determining an appropriate price is not just finding an expected future outcome and determining the required premium for it but instead "modelling the risk" to try to understand the financial outcome of charging a given premium for a variety of possible future demographic and economic outcomes, as well as the sensitivity of the result to each variable.

The process of determining a premium for a policy consists of:

- Setting assumptions (e.g. interest and inflation rates, expense levels, mortality rates, etc.).
- Determining the product structure (e.g. providing Life assurance, disability assurance, etc.).
- Determining the premium required to meet the required return on capital (e.g. Would R20 per month be enough to cover the risk?).
- Testing the sensitivity of the resulting profit to a wide variety of future outcomes (e.g. what if the person dies tomorrow? What if he lives for the full term of the policy? Etc.).
- An analysis of experience or an appropriate model of future experience is used to decide the initial assumptions.

Examples:

- Statistical analysis of experience is used for deaths and disabilities.
- The output from appropriate models is generally used for the impact of HIV/Aids on death/ disability.
- An analysis of actual company expenses is used to determine premium allowances for future policy expenses.
- The historical and current levels of major economic variables (e.g. inflation, interest rates, investment

returns) are used to set the assumptions for these variables.

- Some variables can be determined by these assumptions or are fixed (e.g. debit-order fees).

Several person-specific factors result in different risk levels (and therefore, in theory, imply significantly different premiums). These include:

- Age;
- Gender;
- Income;
- Education;
- Occupation;
- Smoker status;
- Geographical location;
- HIV status/ progression;
- Health status and medical history;
- Hazardous pursuits/ pastimes (e.g. diving, piloting, racing).

It is possible to ignore these factors at the individual level, provided you have an appropriate group of individuals cross-subsidising one another to a degree.

Some risk arrangements are structured in this manner, e.g. the group life cover on a pension fund.

Where premiums cannot be determined at the group level (either because no group exists or because group rating is inappropriate for a group), these differences have to be allowed for at the individual level:

- Premiums may have to be differentiated by one or more of these factors, and
- Terms and conditions may be imposed that restrict the cover, e.g. exclusion clauses or waiting periods, which eliminate the differences in risk.

Included in the premium are certain other running costs. The costs involved:

- **Administration costs:** These are the costs the company incurs in administering the policy.
- **Commission-related costs:** The assurance company will pay a commission to the agent or broker who sold the policy to the policy owner. These costs are usually negotiated between the intermediary and the client and could involve upfront and ongoing fees.
- **Issue costs:** The Company will incur costs in issuing the policy, such as the underwriting process and the issue of the policy document.
- **Management fees:** If the policy has an investment component, the funds must be invested and managed by asset managers, who will charge a fee based on the amount invested.

2.12.1 The non-forfeiture clause

A policy with life cover would remain in force even if the premium payer did not pay premiums as long as the policy has a cash value. It is achieved through the mechanism of the non-forfeiture clause.

The automatic non-forfeiture clause will be activated when a client with a policy with a cash value has not paid two premiums or more. The system automatically pays the premiums from the policy's cash/ surrender value. The premiums will be advanced as a compound interest-bearing debt against the policy.

Once the cash value has been depleted, the policy will be surrendered (terminated). New and other policies, such as whole life policies, have no cash value, so there can be no non-forfeiture clause. The policy will lapse in these cases, and the cover will fall away after two unpaid premiums.

2.13 Restrictions of life policies in terms of Section 54

Section 54 of the Long-term Assurance Act (read with the Regulations to the Act) regulates various aspects of long-term assurance products and policies. This means that the provisions of this section are relevant to life, disability, endowment, and sinking-fund policies.

Insurers may sell investment-based products for up to five years. Shorter-term investment products are considered the domain of banks. The five-year restriction applies to the maturity of policies. It does not affect the insurer's ability to provide risk-based benefits for death or disability. Its purpose is to differentiate investments between banks and insurers.

In terms of this provision, a policy must run for 5 years for the proceeds to be tax-free: the restricted period. However, suppose the premium is increased by more than 20% compared to the premiums paid during the previous two premium-paying periods. In that case, it will result in the policy entering a new, restricted term. This new, restricted term will again apply for 5 years. During a restricted period, the policy owner can only make one surrender (taking money out of the policy) and one loan (borrowing money from the policy) against the policy. The amount that can be surrendered or borrowed during a 5-year restricted term will be limited to the premiums paid into the policy plus 5% interest per year.

The restricted period only applies to changes made after the first year. Therefore, it is advisable to make changes within the first year or limit any premium increases to less than 20% from the second year onwards. This limit applies to automatic annual increases and the cost of additional benefits.

The restricted amount will not apply under the following cases:

1. On the death of the owner of the policy; or
2. If the policy owner is declared insolvent or his affairs have been placed under curatorship or judicial management.

Example:

Sipho, a new client, took out an endowment on 1 January 2007 with a recurring premium of R1 000 per month. In November 2007, he approached his financial advisor and requested that the premium is increased to R1500 per month. As he is still in the first year of his investment, he can increase his premium without restriction.

However, if Sipho had decided in January 2008 to implement the increase, he would have exceeded the 20% rule. If he still went ahead with the premium increase, a new restriction period of 5 years starting from 1 January 2008 would apply.

Example:

Premium paid in year 1: R100 000

Premium paid in year 2: R120 000

To prevent the policy from entering a new restriction period, an increase may not be more than $R120\,000 \times 20\% = R24\,000$ or R144 000 ($R120\,000 + R24\,000$) in total in year three.

2.14 Anti-Selection and Underwriting

2.14.1 Anti-selection

Anti-selection is when a client chooses a product to his advantage, which could be to the insurer's disadvantage. For example, where a company offers its staff additional voluntary life cover arrangements at a group rate which is cheaper than an individual rate, the people who pose a higher than average risk are most likely to take this offer up, i.e. those who are in poorer health than their colleagues and who stand a higher chance of dying early.

Suppose an insurer has incorrect pricing (premiums are too cheap) or less rigorous underwriting processes than its competitors. In that case, it will attract a higher proportion of higher-risk clients, which will ultimately mean higher claims ratios and possibly result in losses for the insurer.

Example:

Consider a hypothetical scenario where an assurance company did not differentiate its premiums by smoker status, even though smoking significantly increases the risk. The insurer may set the premiums based on some mix of the smoker and non-smoker mortality, i.e., assuming an average level of risk between smoker and non-smoker risk.

In theory, all smokers would take this cover as the non-smokers would subsidise their premiums, while the non-smokers would not take the cover as they would be subsidising! Most clients taking this cover would be smokers, so the premiums should have been set only to cover smoker risk. A smoker taking this cover could be said to be selected against the insurer or "anti-selecting".

2.14.2 Underwriting

All risk benefits, i.e. life, disability, dread disease, medical assurance, accidental death and/or disability and funeral benefits, are subjected to a risk-underwriting process. Once a client (a proposer) has completed and submitted an application form to an insurer for any risk-benefit, the new business area passes this on to the underwriting area. Underwriting determines the level of risk an individual poses to the insurer with which the individual intends to contract. The underwriter will consider various factors to determine and quantify the risk the company is willing to take on the individual life assured. These factors will greatly impact an individual's eligibility for the assurance product and the nature of the benefit (or cover amount) for which the proposer may qualify. The higher the risk an individual pose, the greater the costs that may need to be carried by the

individual. The underwriters focus on medical and non-medical underwriting factors in assessing the individual's risk.

- **Medical underwriting** is an assurance company's process to consider the risks related to the life insured's state of health. If a person is assessed to pose a higher risk than his peers in this process, he may be required to pay a higher premium for the same level of cover. It is called loading. Suppose the applicant poses a significantly higher risk in a particular area. In that case, the insurer may even impose a health exclusion, e.g. a person who has had a stroke may be excluded from any claims relating to this condition. The following factors are taken into account:
 - age at entry;
 - gender;
 - height and weight ratio;
 - smoker/non-smoker;
 - HIV status; and
 - previous and/or current medical conditions.
- There are factors other than non-medical underwriting that assurance companies pay attention to as part of the underwriting process. These include the following:
 - amount of cover/financial underwriting: the level of cover must be relevant to the person's circumstances;
 - individual rating: includes assessing the insured's income and qualifications, which impact his level of risk; and
 - hazardous activities: certain hobbies and pastimes are risky.

2.15 Non-disclosure

Non-disclosure is the failure of an applicant to provide (disclose) information to the insurer. The Act provides that the insurer can reject or reduce a claim if any material information was not disclosed or misrepresented that could have affected the insurer's assessment of risk. For example, if a person withheld the fact in a policy application that he suffered from heart disease, this would have a bearing on the level of risk the insurer took. If that person died due to a health-related incident, the insurer would be within their rights to reject or reduce the claim amount payable.

However, no policy will be invalidated, nor will the obligation of the long-term insurer be excluded or limited, nor any misrepresentation increases the obligations by the policyholder unless the misrepresentation materially affects the assessment of the risk in terms of the policy at the time of issue or the variation of the policy. It means that the insurer cannot deny liability by proving that the client made a misrepresentation unless the misrepresentation was material to the assessment of risk.

Example:

The insurers cannot refuse to pay a disability claim when they discover that their client did not update his residential address.

Example:

The insurer could refuse a disability claim if the client were untruthful about the fact that he works as a pilot, as this materially affects the risk assessment.

This section aims to protect policyholders from unscrupulous insurers who seek to escape liability under a policy by exploiting trivial misstatements that have no bearing on assessing the risk.

The current Act's provisions relating to the misstatement of age have also been incorporated into this section.

2.16 Requirements for Marketing Long-Term Products

To make long-term assurance products available to the market, the provider has to be registered or deemed to be **registered as a long-term insurer**, be authorised to carry on that kind of business and have to carry on business per the Act.

Persons (juristic or otherwise) who are not registered insurers must not use business names which indicate that they are in the assurance business, or even those who are registered insurers must not do anything to lead the public to think they are authorised to conduct classes of business when they are not so authorised.

The Act lists offences in the Schedules committed by either an insurer or someone else, which are subject to a maximum fine of R100 000 or 12-months' imprisonment (non-insurers only) or both for sure, presumably non-material offences, and a maximum fine of R1 000 000 or 10 years' imprisonment for more material transgressions.

Suppose the Commissioner does not receive the information he requested within a specified period from a person. In that case, he can impose a fine of up to R1 000 every day that the information is still outstanding, irrespective of any criminal proceedings instituted.

Policyholders usually complain directly to the insurer if unhappy with a decision, action is taken, or service rendered relating to any long-term assurance business. If the complaint has not been dealt with to the client's satisfaction, then the complaint may be addressed to the **Long-term Assurance Ombudsman** for consideration.

Suppose the complaint relates to the advice, actions, non-actions or service provided by an intermediary, such as a broker or agent. In that case, the complainant may lodge a written complaint to the intermediary concerned. Suppose the complaint is not resolved to his satisfaction. In that case, the complaint can be directed to the **Commissioner of Long-term Assurance** (Financial Sector Conduct Authority (FSCA) or the Financial Advisory and Intermediary Services Act (**FAIS**) **Ombud**. The Commissioner or Ombud will order the intermediary to provide a comprehensive report on the complaint within a specified time.

Suppose the Commissioner or Ombud finds that a breach has taken place. In that case, he may, after informing the intermediary concerned of his findings and giving the intermediary a reasonable opportunity to respond, order corrective steps to be taken within a specified time. The Commissioner or Ombud may also take any steps in connection with the breach that are available in the law, including restitution.

An intermediary who contravenes or fails to comply with the Act's provisions will be guilty of an offence and, on conviction, can be liable to pay a fine not exceeding R100 000; or imprisonment for a period not exceeding one year; or to both a fine and imprisonment.

2.16.1 Long-term Assurance Contracts

2.16.1.1 Minimum terms of the policy contract

As with any other contract, an assurance contract or policy is concluded when the parties (the proposer or client and the insurer) agree to be bound by specific terms and conditions.

On the one hand, the prospective policyholder must make an offer (proposal) and the insurer must accept it. The issue of the policy indicates the insurer's acceptance.

The terms by which the parties agree to be bound revolve around:

- The person insured;
- The risk insured against;
- The amount payable by the insurer on the occurrence of the event insured against or maturity date reached for investment policies;
- The amount of premium payable by the insured; and
- The period of assurance.

The terms of an assurance contract can be broadly classified as:

- **Terms required for the contract to come into effect:** e.g. true statements (disclosures) by the policyholder which result in a material alteration in the risk;
- **Terms required for the contract to remain valid:** e.g. that the policyholder remains a South African resident and pays premiums on every due date and
- **Terms required at the claim stage:** e.g. a claim must be submitted in writing on the insurer's prescribed form and with the relevant additional documentation.

Fitting into this broad classification, the Long-term Assurance Act prescribes **specific terms** that must be contained in the assurance contract. These terms are as follows:

- The insurer's undertaking to provide policy benefits shall be suspended until it has received the first (or only) premium or until arrangements to its satisfaction have been made for the provision of the premium by debit order, stop order, credit card, or other instrument approved by the Commissioner.
- Suppose a premium has not been paid on its due date. In that case, the insurer shall notify the policyholder of the non-payment, and the policy shall remain in force for a prescribed grace period (maximum of one month) or a more extended period as may be agreed between the parties. Suppose the overdue premium is not paid by the end of any such period. In that case, the policy shall provide sufficient value and be paid up (continue without further premium payments). If there is insufficient value, the policy shall be surrendered/ lapsed. The insurer must inform the policyholder of these events in writing.
- In the case of assurance contracts that are assistance policies, either party hereto may request that a policy benefit expressed otherwise than in a sum of money (for example, the provision of a funeral) be provided as a sum of money equal in value to the cost that they would have incurred had the non-monetary benefit been provided.
- The insurer shall not undertake to provide policy benefits exceeding the 20% rule (refer to the section dealing with the consequences of increasing premiums by more than 20%).
- An insurer shall not undertake to provide benefits in the event of the death of an unborn or a minor before under the age of 14 years, the value of which is (a) in the case of an unborn or minor under the age of 6, R20 000, or (b) in the case of a minor older than 6 years but under 14, R50 000;
- The following terms shall not be enforceable by an insurer if they are contained in an assurance contract:
 - The insurer is not responsible for the actions or statements of its representatives about the assurance contract;

- An admission by a policyholder that the insurer's representative was appointed to act on his behalf;
- The insurer will only pay benefits if payment is received in that regard by a re-insurer and
- If a policyholder waives any right that he may have under the legislation.

2.16.1.2 Also:

- An insurer shall not refuse to enter into an assurance contract with a person rendering military service by the Defence Act, 1957 (Act No. 4 of 1957).
- A minor who has attained the age of 18 years may, without the consent of his guardian, enter into or vary, or deal with an assurance contract under which he is the life insured and pay the premium due under the policy with money which he has earned or which is at his disposal, and a policy benefit under the policy shall be provided to the minor who may deal with it as he thinks fit without the consent of his guardian.
- An insurer may not cancel an assurance contract on any wrong statements made by a policyholder if such statements do not materially affect the risk under the contract. Benefits may, however, be adjusted to the correct age, where the age was wrongly given.
- An insurer may not cancel an assurance contract merely because a provision of any law has been broken. An assurance contract may, however, be cancelled where the policyholder misrepresented material facts.
- An assurance contract issued by an insurer who is not allowed to do so or by a person who is not an insurer shall not be valid, and the policyholder shall be in the same legal position as when a breach of contract was conducted by such insurer or person acting as an insurer.
- Any assurance contract entered into before the commencement of the Long-term Assurance Act, which does not comply with any provision of this Act, shall not be void or unlawful merely because of that.

2.16.1.3 Commission payments

The Long-term Assurance Act also restricts the amount of commission payable to an intermediary for the placing of the long-term assurance business. Changes are made to these limits from time to time.

PART VII
BUSINESS PRACTICE, POLICIES AND POLICYHOLDER PROTECTION
Business practice

44. Free choice in certain circumstances.

- (1) If a party to a contract in terms of which money is loaned, goods are leased or credit is granted, requires, whether as a condition thereof or otherwise, that a long-term policy or its policy benefits be made available and used for the purpose of protecting the interests of a creditor, the person who is so required to make that policy or those policy benefits available shall be entitled, and shall be given prior written notification of that entitlement, to a free choice—
- (a) as to whether he or she wishes to enter into a new policy and make it available for that purpose, or wishes to make available an existing policy of the appropriate value for that purpose, or wishes to utilise a combination of those options; and
 - (b) if a new policy is to be entered into—
 - i) as to the long-term insurer with which the policy is entered into and as to the intermediary (if any) who is to render services contemplated in section 49 in connection with the transaction;
 - ii) as to whether or not the policy benefits concerned are to be provided in an event other than the death or disability of the life insured; and
 - iii) as to whether or not the value of the policy benefits to be provided thereunder, when taken in the aggregate with the value of the policy benefits provided under any other policy which is also to be made available and used for that purpose, shall exceed the value of that debt or other obligation; and
 - c) if an existing policy is to be made available—
 - i) as to the intermediary (if any) who is to render services contemplated in section 49 in connection with the transaction; and
 - ii) as to whether or not a variation of the policy required for that purpose shall be such as to cause—
 - (aa) policy benefits to be provided in an event other than the death or disability of the life insured; or
 - (bb) the value of the policy benefits to be provided thereunder, when taken in the aggregate with the value of the policy benefits provided under any other policy which is also to be made available and used for that purpose, to exceed the value of that debt or other obligation.
- (2) The provisions of subsection (1) shall be deemed not to have been complied with unless the policyholder whose policy is to be made available has confirmed in writing before the policy is used for the purpose of securing the debt concerned or other obligation, that he or she—
- (a) was given prior written notification of his or her entitlement to the freedom of choice referred to in that subsection;
 - (b) exercised that freedom of choice; and
 - (c) was not subject to any coercion or inducement as to the manner in which he or she exercised that freedom of choice.
- (3) If the provisions of subsection (1) are not complied with, the security provided by the policy made available and used for the purpose shall be void and the policy benefits shall be provided to the person who made it available.
- (4) Subsection (1) shall not apply to a long-term insurer if it lends money to one of its policyholders upon the security of a long-term policy issued by itself.
- (5) This section does not apply if the long-term policy or its policy benefits as contemplated in subsection (1), is made available for the purpose of protecting the interests of credit under a credit agreement to which the National Credit Act, 2005, applies.

[Section 44(5) inserted by section 172(2) of Act No. 34 of 2005]

45. Prohibition on inducements

- (1) Unless done in accordance with the rules prescribed under section 62, no person shall provide, or offer to provide, directly or indirectly, any valuable consideration as an inducement to a person to enter into, continue, vary or cancel a long-term policy.
- (2) Subsection (1) shall not apply in the case of a long-term reinsurance policy unless and to the extent that the Authority so determines by notice in the Gazette

[Section 45 substituted by section 9 of Schedule 1 of Act No. 18 of 2017]

46. Policy to be actuarially sound

- (1) A long-term insurer shall not—
- (a) enter into any particular kind of long-term policy unless the statutory actuary is satisfied that the premiums, benefits and other values thereof are actuarially sound;
 - (b) make a distinction between the premiums, benefits or other values of different long-term policies unless the statutory actuary is satisfied that the distinction is actuarially justified; or
 - (c) award a bonus or similar benefit to a policyholder unless—
 - i) it is done in accordance with the principles and practices of financial management of the long-term insurer; and
 - ii) the statutory actuary is satisfied that it is actuarially sound and that a surplus is available for that purpose.
- (2) For the purposes of subsection (1)(c)(i) "principles and practices of financial management" means a statement approved by the board of directors of the long-term insurer setting out the discretion retained by the board of

directors and the parameters within which that discretion must be exercised in respect of long-term policies where the long-term insurer has to exercise its discretion in awarding a bonus or similar benefit.

47. Receipt for the premium paid in cash, and validity of policy³

- (1) When a premium is paid in bank notes or coins, the recipient thereof shall give to the payer a written receipt for it.
- (2)
 - (a) The receipt shall state the name, address and telephone number of the recipient, the policy number and the name of the long-term insurer on whose behalf the premium is received.
 - (b) Paragraph (a) does not apply to a receipt issued by a bank as defined in section 1 of the Banks Act, 1990 (Act No. 91 of 1990), or by a mutual bank as defined in section 1 of the Mutual Banks Act, 1993 (Act No. 124 of 1993).
- (3) For the purposes of the validity of a long-term policy, the payment of a premium under the long-term policy to a person on behalf of the long-term insurer shall be deemed to be paid to the long-term insurer under that long-term policy.

47A Collection of premiums by intermediaries

[Section 47A heading substituted by section 20(d) of schedule 1 of Act No. 18 of 2017]

- (1) No independent intermediary shall receive, hold or in any other manner deal with premiums payable under a long-term policy entered into or to be entered into with a long-term insurer and no such long-term insurer shall permit such independent intermediary to so receive, hold or in any other manner deal with such premiums—
 - (a) unless authorised to do so by the long-term insurer concerned as prescribed by regulation; and
 - (b) otherwise than in accordance with the regulations.
- (2) Subsection (1) shall not apply in the case of a long-term reinsurance policy unless and to the extent that the Authority so determines by notice in the Gazette.”.

[Section 47A inserted by section 10 of Schedule 1 of Act No. 18 of 2017]

48. Summary, inspection and copy of the policy

- (1) A person who enters into or varies a long-term policy, other than a fund policy and a reinsurance policy, shall be provided in writing or in another form prescribed by the Authority, by the long-term insurer concerned, with information, in the form of a summary, relating to at least the following matters, namely—
 - (a) those of the representations made by or on behalf of that person to the insurer which were regarded by that insurer as material to its assessment of the risks under the policy;
 - (b) the premiums payable and the policy benefits to be provided under the policy; and
 - (c) the events in respect of which the policy benefits are to be provided and the circumstances (if any) in which those benefits are not to be provided, and shall be provided with that information as soon as possible, but not later than 60 days after the parties enter into or agree to vary the policy.
- (2) The summary referred to in subsection (1) shall be prima facie proof of the agreement, but shall—
 - (a) not be deemed to be part of the policy;
 - (b) in the absence of evidence to the contrary, be deemed to be exhaustive of the matters which are material to the assessment of the risks under the policy.
- (3) The policyholder shall be entitled to be provided, upon request, with a copy of the policy.

49. Limitation of remuneration

No consideration shall be —

- (a) offered or provided by a long-term insurer or a person on behalf of a long-term insurer to an independent intermediary or any other person; or
- (b) accepted by an independent intermediary or another person, for rendering services referred to in the regulations, other than commission or remuneration contemplated in the regulations and otherwise than in accordance with the regulations

[Section 49 substituted by section 11 of Schedule 1 of Act No. 18 of 2017]

49A. Binder agreements

- (1) A long-term insurer may, in terms of a written agreement only, and in accordance with any requirements, limitations or prohibitions that may be prescribed by regulation, allow another person to do any one or more of the following on behalf of that insurer:
 - (a) Enter into, vary or renew a long-term policy on behalf of that insurer;
 - (b) determine the wording of a long-term policy;
 - (c) determine premiums under a long-term policy;
 - (d) determine the value of policy benefits under a long-term policy;
 - (e) settle claims under a long-term policy.

[Section 49A(1) substituted by section 12(a) of schedule 1 of Act No. 18 of 2017]

- (1A) Subsection (1) shall not apply in the case of a long-term reinsurance policy unless and to the extent that the Authority so determines by notice in the Gazette.

[Section 49A (1A) inserted by section 12(b) of schedule 1 of Act No. 18 of 2017]

- (2) A written agreement referred to in subsection (1) must—

- (a) set out which of the activities referred to in subsection (1) that other person may perform and the particular kinds of long-term policies in respect of which those activities may be performed;
 - (b) set out the particular kinds of long-term policies which may be entered into, varied or renewed by that other person;
 - (c) state if that other person is authorised to determine the wording of the policies referred to in paragraph (a), and if authorised, the extent to which and the circumstances under which the wording may be determined;
 - (d) state if that other person is authorised to determine premiums in respect of the policies referred to in paragraph (a), and if authorised, the gross premiums or the basis for the calculation of gross premiums that may be determined, and the extent to which and the circumstances under which the premiums may be determined;
 - (e) state if that other person is authorised to determine the value of policy benefits, and if authorised, the maximum value of the policy benefits that may be determined under each kind of long-term policy referred to in paragraph (a), and the extent to which and the circumstances under which the benefits may be determined;
 - (f) state if that other person is authorised to settle claims under the policies referred to in paragraph (a), and if authorised, the extent to which and the circumstances under which the claims may be settled;
 - (g) state the basis on which that other person will be remunerated for services rendered in terms of paragraphs (b) to (f), which basis must be consistent with any requirements, limitations or prohibitions as may be prescribed by regulation;
 - (h) oblige that other person to—
 - (i) disclose to policyholders of policies referred to in paragraph (a)—
 - (aa) the name of the relevant long-term insurer, and the fact that that other person is acting in terms of an agreement contemplated in this section; and
 - (bb) any remuneration payable to that other person in terms of an agreement contemplated in this section;
 - ii) include the name of the long-term insurer underwriting the long-term policy in any advertisement, brochure or similar communication which relates to the long-term policy referred to in paragraph (a);
 - iii) keep and maintain proper books of account and other records in respect of the policies referred to in paragraph (a) and allow the long-term insurer, its statutory actuary and its auditors full and unfettered access to those books of account and records; and
 - iv) make available to the long-term insurer, its statutory actuary and its auditors the policies referred to in paragraph (a) and any information relating thereto, including the names, identity numbers and contact details of policyholders, insured persons and beneficiaries, upon request;
 - (i) prohibit that other person to delegate, assign or subcontract any of the functions referred to in paragraphs (b) to (f) to another person; and
 - (j) state the circumstances under which the agreement will lapse or may be terminated, and the necessary steps that must be taken to ensure the effective and efficient termination of the agreement taking into account the interests of policyholders.
- (3) A written agreement referred to in subsection (1), subject to any requirements, limitations or prohibitions as may be prescribed by regulation—
- (a) may not authorise that other person to add an amount to any gross premium referred to in subsection (2)(d);
 - (b) may not authorise that other person to deduct any amount from any claims referred to in subsection (2)(f); or
 - (c) may provide or prohibit that person to directly or indirectly participate in the profits attributable to the policies referred to in subsection 2(a).
- (4) A person that entered into an agreement contemplated in subsection (1) with a long-term insurer may—
- (a) render the services contemplated in subsection (1)(a) to (e) in respect of any kind of long-term policy issued by that long-term insurer identified in the agreement only in accordance with any requirements, limitations or prohibitions as may be prescribed by regulation; and
 - (b) not render any of the services contemplated in subsection (1)(a) to (e) in respect of any kind of long-term policy issued by that long-term insurer not identified in the agreement.
- (5) Despite any term to the contrary contained in an agreement contemplated in subsection (1) the long-term insurer that entered into the agreement remains—
- (a) responsible for compliance with this Act;
 - (b) liable for any claims relating to policies included in the agreement, including any claims that may arise because of the failure of that other person to comply with the agreement; and
 - (c) the owner of any information and documentation relating to the policies contemplated in the agreement, which must, upon termination of the agreement, be returned to the long-term insurer.
- (6) Any party to a written agreement referred to in subsection (1) must make a copy of that agreement available to the Authority on request.

50. [Repealed] Undesirable business practice

[Section 50 repealed by section 96 of Act No. 45 of 2013]

Policies

- 51. Policy suspended until payment of the first premium
- 52. Failure to pay premiums

- 53. Option for payment of policy benefits in money
- 54. Limitation on provisions of certain policies
- 55. Limitation on policy benefits in event of the death of unborn or of certain minors
- 56. Voidness of certain provisions of agreements relating to long-term policies
- 57. Life policy in relation to person rendering or liable to render military service
- 58. Long-term policies entered into by certain minors
- 59. Misrepresentation and failure to disclose material information
- 60. Validity of contracts
- 61. Prescription of certain debt

51. Policy suspended until payment of the first premium

- (1) The undertaking of a long-term insurer to provide policy benefits under a long-term policy shall be suspended until the long-term insurer has received if there—
 - (a) is to be one premium, that premium; or
 - (b) are to be two or more premiums, the first of those premiums, or until arrangements to its satisfaction have been made for the provision of the premium by debit order, stop order, credit card or other instrument approved by the Authority generally by notice on the official web site.
- (2) Subsection (1) shall not apply to—
 - (a) a fund policy in the case of a registered insurer; and
 - (b) a Life assurance policy written under the fund risk class of Life assurance business as set out in Table 1 of Schedule 2 of the Assurance Act in the case of a licensed insurer.
- (3) Subsection (1) shall not apply in the case of a long-term reinsurance policy unless and to the extent that the Authority so determines by notice in the Gazette.

[Section 51 substituted by section 13 of Schedule 1 of Act No. 18 of 2017]

52. Failure to pay premiums

- (1) If a premium under a long-term policy, other than a fund policy or a reinsurance policy, has not been paid on its due date, the long-term insurer shall notify the policyholder of the non-payment, and the policy shall, notwithstanding anything therein to the contrary, in the case of a long-term policy under which there are to be two or more premium payments at intervals of—
 - (a) one month or less, remain in force for a period of 15 days after that due date;
 - (b) longer than one month, remain in force for a period of one month after that due date, or for such longer period as may be determined by agreement between the parties, and if the overdue premium is not paid by the end of any such period, the policy shall be dealt with in accordance with subsection (2).
- (2) In the case of a policy contemplated in subsection: (1) the remaining value of which, after the satisfaction of any claim of the long-term insurer which is secured solely by the policy benefits to be provided under the policy, is greater than half of the aggregate amount of the premium payments due thereunder during the period of 12 months commencing on the due date of the unpaid premium, the long-term insurer shall—
 - (a) inform the policyholder, in the medium prescribed by the Authority, of the amount of that remaining value and notify him or her that the policy will remain in force, in accordance with the rules of the long-term insurer, until—
 - (i) the policy no longer has any such remaining value, whereupon it will lapse;
 - (ii) the payment of premiums is resumed;
 - (iii) the provisions of the policy are amended, in accordance with the rules of the long-term insurer, so that it becomes a policy which is fully paid-up;
 - (iv) if the policyholder so requests, the policy is surrendered, in accordance with the rules of the long-term insurer, and so much of the remaining value as then remains is, subject to section 54, paid to the policyholder; and b) deal with the policy accordingly.
- (3) A long-term insurer shall have rules which to the satisfaction of its statutory actuary prescribe a sound basis on which, and the methods by which, long-term policy is to be valued and otherwise dealt with for the purposes of subsection (2).

53. Option for payment of policy benefits in money

- (1) Despite the terms of an assistance policy entered into before 1 June 2009, the policyholder is entitled to demand that a policy benefit which is expressed otherwise than as a sum of money must be provided as a sum of money, in which case the sum of money must be equal in value to the policy benefit that would have been provided by the insurer or any person acting on behalf of the insurer had the policy benefit been provided otherwise than as a sum of money.

[Section 53(1) amended by section 98(a) of Act No. 45 of 2013]

- (2) Where an assistance policy that provides for a policy benefit expressed otherwise than as a sum of money is entered into on or after 1 June 2009 that policy must—
 - (a) provide that the policyholder is entitled to demand that the policy benefit be provided as a sum of money in lieu of the benefit on the occurrence of the event insured against; and
 - (b) state the amount of the policy benefit that is to be provided as a sum of money, which amount must be equal to the value of the policy benefit expressed otherwise than as a sum of money.

[Section 53(2)(b) amended by section 98(b) of Act No. 45 of 2013]

- (3) Where a policy benefit expressed otherwise than as a sum of money is provided as a sum of money, the amount of that policy benefit may not exceed the maximum amount referred to in the definition of 'assistance policy' in section 1(1) of this Act.

54. Limitation on provisions of certain policies

- (1) A long-term insurer may not—
- (a) undertake to provide policy benefits, or provide policy benefits, under;
 - (b) provide consideration upon the surrender of; or
 - (c) make a loan upon the security of, a long-term policy contemplated in the regulations, otherwise than in accordance with the requirements and limitations set out in the regulations.
- (2) The requirements and limitations set out in regulations made under subsection (1) apply from the inception of a policy, if the regulation so provides, irrespective of the fact that the policy was entered into before or after the commencement of this Act or the regulations.

55. Limitation on policy benefits in event of the death of unborn or of certain minors

- (1) A long-term insurer shall not undertake to provide, or provide, policy benefits in terms of a long-term policy in the event of the death of an unborn, or of a minor before that minor attains the age of 14 years, the value of which, on its own or when added to the value of policy benefits or similar benefits which to its knowledge are to be provided in that event by a long-term insurer or a short-term insurer or a friendly society in terms of any policy, exceeds, in the event of the death—
- (a) of that unborn, or of that minor before he or she attains the age of six years, R20 000; or
 - (b) of that minor after he or she attains the age of six years but before he or she attains the age of 14 years, R50 000, or such other amount prescribed by the Minister: Provided that this section shall not apply to or prohibit the allocation of profit in respect of such policies on the lives of minors, which allocation does not exceed the profits allocated to other such policies on the lives of persons who are not minors.

[Section 55(1) substituted by section 14 of Schedule 1 of Act No. 18 of 2017]

- (2) Subsection (1) shall not apply in relation to a policy in terms of which, in the event of the death of the unborn, or of the minor before he or she attains the age of 14 years, the value of the policy benefits does not exceed an amount equal to the aggregate of all the premiums paid in terms of that policy, plus interest on each premium at a rate prescribed by the Minister, compounded annually.

56. Voidness of certain provisions of agreements relating to long-term policies

A provision of an agreement, the purport of which is that—

- (a) a long-term insurer is exempted from liability for the actions, omissions or representations of a person acting on its behalf in relation to a long-term policy;
- (b) the person who has entered into the long-term policy declares or admits that a person who acted on behalf of the long-term insurer in connection with an offer of that person to do so, or with the negotiations preceding the entering into it, was in fact appointed to act on behalf of the first-mentioned person;
- (c) the obligation of a long-term insurer under a long-term policy is dependent upon the discharging of an obligation of another person under a reinsurance policy or
- (d) a person who has entered into a long-term policy, or the life insured under a long-term policy, waives a right to which he or she, by or under this Act, is entitled, shall be void.

57. Life policy in relation to person rendering or liable to render military service

- (1) A long-term insurer shall not refuse to enter into a life policy on the grounds that the life insured is a person rendering or liable to render military service in accordance with the Defence Act, 1957 (Act No. 44 of 1957).
- (2) Notwithstanding anything to the contrary in a life policy contained, the policy benefits to be provided thereunder in the event of the death of the life insured in the course of or as a result of the rendering of military service in accordance with the Defence Act, 1957, shall not be less than an amount equal to the value for which the policy could be surrendered on the day of the death of the life insured, had the regulations not been made.

58. Long-term policies entered into by certain minors

A minor who has attained the age of 18 years may, without the consent of his or her guardian as if he or she has attained a majority, enter into or vary, or deal with a long-term policy under which he or she is the life insured and pay the premium due under the policy with money which he or she has earned or which is at his or her disposal, and a policy benefit under the policy shall be provided to the minor who may deal with it as he or she thinks fit without the consent of his or her guardian, as if he or she has attained majority.

59. Misrepresentation and failure to disclose material information

- (1)
- (a) Notwithstanding anything to the contrary contained in a long-term policy, whether entered into before or after the commencement of this Act, but subject to subsection (2) –
 - (i) the policy shall not be invalidated;
 - (ii) the obligation of the long-term insurer thereunder shall not be excluded or limited; and
 - (iii) the obligations of the policyholder shall not be increased, on account of any representation made to the insurer which is not true, or failure to disclose information, whether or not the representation or disclosure

has been warranted to be true and correct, unless that representation or nondisclosure is such as to be likely to have materially affected the assessment of the risk under the policy concerned at the time of its issue or at the time of any variation thereof.

- (b) The representation or non-disclosure shall be regarded as material if a reasonable, prudent person would consider that the particular information constituting the representation or which was not disclosed, as the case may be, should have been correctly disclosed to the insurer so that the insurer could form its own view as to the effect of such information on the assessment of the relevant risk.
- (2) On account of any representation made to the insurer which is not true, whether or not the representation has been warranted to be true, unless that representation is such as to be likely to have materially affected the assessment of the risk under the policy concerned at the time of its issue or at the time of any variation thereof.
- (3) If the age of a life insured under a long-term policy has been incorrectly stated to the long-term insurer, the policy benefits shall, notwithstanding subsection (1), be those which would have been provided under that policy in return for the premium payable had the age been correctly stated: Provided that if the nature of that long-term policy, or kind of long-term policy, is such as to render such arrangement inequitable, the Authority may direct the long-term insurer to apply such different method of adjustment to the policy benefits of that long-term policy, or type of long-term policy, as the Authority considers equitable in relation to the misstatement of age.

60. Validity of contracts

- (1) A long-term policy, whether entered into before or after the commencement of this Act, shall not be void merely because a provision of law, including a provision of this Act, has been contravened or not complied with in connection with it.
- (2) If a person has entered into a long-term policy with a long-term insurer who was, in terms of this Act, prohibited from entering or not authorised to enter into the long-term policy, or with another person who is not a long-term insurer but who has in terms of a long-term policy undertaken an obligation as insurer, that person, by notice in writing to such long-term insurer or other person, or the Authority by notice to such long-term insurer or other person and on the official web site, may cancel the long-term policy, whereupon that person shall be deemed to be in the same legal position in respect of such long-term insurer or another person as if the policy had been cancelled by that person on account of a breach of contract by such long-term insurer or another person.

[Section 60(2) amended by section 99 of Act No. 45 of 2013]

- (3) Any contract entered into before the commencement of this Act the entering into of which is contrary to this Act or which contains terms prohibited by this Act, shall not be void nor shall the performance of its terms be unlawful merely because of any such fact.

61. Prescription of certain debt

Debt consisting of interest on an unpaid premium, or on a loan granted by a long-term insurer on sole security of a long-term policy, or on an advance granted by a long-term insurer in respect of an amount which is to be payable under a long-term policy, shall, in the case of a long-term policy entered into after 31 December 1973, not prescribe before the liability of the long-term insurer under the long-term policy prescribes.

Policyholder protection

- 62. Protection of policyholders
- 63. Protection of policy benefits under certain long-term policies
- 64. Selection for the realisation of protected policies
- 65. Partial realisation of protected policies

62. Protection of policyholders

- (1) The Authority, by notice in the Gazette, may—
- (a) prescribe rules not inconsistent with this Act, aimed at ensuring for the purpose of policyholder protection that policies are entered into, executed and enforced in accordance with sound assurance principles and practice in the interests of the parties and in the public interest generally;
[Section 62(1)(a) substituted by section 15(a) of schedule 1 of Act No. 18 of 2017]
 - (b) vary or rescind any such rule; and
 - (c) determine the period which must elapse before a rule, variation or rescission takes effect after it has been published in the Gazette.
- (2) Without derogating from the generality of subsection (1)(a), rules may provide—
- (a) that provisions with a particular import may not appear in policy and that they shall be void if they do so appear;
 - (b) that the policy and particular information in relation to a policy shall be made known in a particular manner to prospective policyholder or policyholder, and what the legal consequences shall be if that is not done;
[Section 62(2)(b) substituted by section 15(b) of schedule 1 of Act No. 18 of 2017]
 - (c) that a policyholder may cancel a policy under particular circumstances and within a determined period, and what the legal consequences shall be if he or she does so;
 - (d) for norms and standards with which policies, long-term insurers or types of long-term assurance business must comply;
 - (e) for standardised wording, definitions or provisions that must be or may not be included in policies;
[Section 62(2)(e) substituted by section 15(c) of schedule 1 of Act No. 18 of 2017]

- (f) for principles and requirements relating to any advertisement, brochure or similar communication which relates to the business of a long-term insurer, or to a long-term policy;
 - (g) for principles and requirements relating to claims handling, complaints handling and dispute resolution applicable to long-term insurers;
 - (h) for principles and requirements relating to the manner and form in which policy benefits must be provided;
 - (i) for principles and requirements relating to misrepresentation in relation to a long-term policy;
 - (j) for requirements relating to the validity of a contract under a long-term policy;
 - (k) for principles and requirements relating to non-payment of premiums and grace periods in relation to a long-term policy, and related disclosures to policyholders;
 - (l) for principles and requirements relating to assurance product design and ongoing review of assurance product performance to ensure the fair treatment of policyholders;
 - (m) for principles and requirements relating to a long-term insurer's dealings with intermediaries;
 - (n) for principles and requirements relating to data management in order to appropriately identify, assess, measure and manage the conduct of business risks associated with its assurance business to ensure the fair treatment of policyholders; and
 - (o) for principles and requirements relating to the termination of policies
- [Section 62(2)(f - o) substituted by section 15(d) of schedule 1 of Act No. 18 of 2017]**
- (3) Rules referred to in subsection (2) may—
- (a) apply generally;
 - (b) be limited in application to a particular kind or type of policies, long-term insurers or long-term assurance business; or
 - (c) differentiate between different kinds of insurers, policies, contracts, and services.
- [Section 62(3) substituted by section 15(e) of Schedule 1 of Act No. 18 of 2017]**
- (4) [Section 62(4) deleted by section 290, item 11 in Schedule 4, of Act No. 9 of 2017 – effective 1 April 2018 (paragraph (h) of Notice 169 of 2018)]
- (5) Any rule promulgated by the Minister prior to the commencement of the Financial Services Laws General Amendment Act, 2013, must be regarded as having been prescribed under this section and remains valid and enforceable until repealed or amended by the Authority.
- [Section 62(5) substituted by section 15(f) of Schedule 1 of Act No. 18 of 2017]**
[Section 62 amended by section 100 of Act No. 45 of 2013]

63. Protection of policy benefits under certain long-term policies

- (1) Subject to subsections (2), (3) and (4), the policy benefits provided or to be provided to a person under one or more—
- (a) in respect of a registered insurer, assistance, life, disability or health policies; or
 - (b) in the case of a licensed insurer, policies written under the risk, fund risk, credit life, funeral, life annuities, individual investment or income drawdown class of Life assurance business as set out in Table 1 of Schedule 2 of the Assurance Act, in which that person or the spouse of that person is the life insured and which has or have been in force for at least three years (or the assets acquired exclusively with those policy benefits) shall, other than for a debt secured by the policy—
 - (i) during his or her lifetime, not be liable to be attached or subjected to the estate; or
 - (ii) upon his or her death, if he or she is survived by a spouse, child, stepchild or parent, not be available for the purpose of the payment of his or her debts.
- [Section 63(1) substituted by section 16 of Schedule 1 of Act No. 18 of 2017]**
- (2) The protection contemplated in subsection (1) shall apply to policy benefits and assets acquired solely with the policy benefits, for a period of five years from the date on which the policy benefits were provided.
- [Section 63(2) amended by section 101(b) of Act No. 45 of 2013]**
- (3) Policy benefits are only protected as provided in—
- (a) subsection (1)(b), if they devolve upon the spouse, child, stepchild or parent of the person referred to in subsection (1) in the event of that person's death; and
 - (b) subsection (1)(a) and (b), if the person claiming such protection is able to prove on a balance of probabilities that the protection is afforded to him or her under this section.
- (4) Policy benefits are protected as provided for in subsection (1)(a) and (b) unless it can be shown that the policy in question was taken out with the intention to defraud creditors.
- [Section 63(4) inserted by section 101(c) of Act No. 45 of 2013]**

64. Selection for the realisation of protected policies

If—

- (a) two or more long-term policies referred to in section 63, held by the same policyholder, are attached in execution of a judgment or order of any court at the instance of a creditor; or
- (b) the policyholder of two or more long-term policies referred to in section 63 is found to be or otherwise declared insolvent by a Court, and only a part of the aggregate realisable value of the policies is protected as contemplated in that section, the judgment creditor or the trustee of the insolvent estate, as the case may be, shall determine which policy or policies shall be realised, wholly or partially, in order to make available to him or her so much of the aggregate realisable value as is not so protected and to which he or she is entitled.

65. Partial realisation of protected policies

- (1) A judgment creditor or the trustee of the insolvent estate of a policyholder, who is entitled to a part of the realisable value of a long-term policy may, if he or she is in possession of the policy, deliver it to the insurer who is liable under the policy for the purpose of the payment to that creditor or trustee of the sum to which he or she is entitled.
- (2) If a judgment creditor or trustee referred to in subsection (1) is not in possession of the policy concerned, the person in possession thereof shall, at the request of the judgment creditor or trustee, deliver it to the insurer which is liable under the policy for the purpose of the payment to that creditor or trustee of the sum to which he or she is entitled.
- (3) On receipt of a long-term policy delivered to it in terms of subsection (1) or (2), the long-term insurer shall—
 - (a) at the request of the judgment creditor or trustee concerned, pay to him or her a sum equal to that part of the realisable value of the policy to which he or she is entitled, and
 - (b) deal with the remaining part of the realisable value of the policy in accordance with section 52(2).

2.17 Amended Long-Term Assurance Regulations

The amendments to the Long-term Assurance Regulations gazetted on 15 December 2017 became effective on 1 January 2018, with some later effective dates below. The corresponding amendments to section 49 of the Long-term Assurance Act 1998 (LTIA) also take effect on 1 January 2018.

The changes to the Long-term Assurance Act Regulations include changes to the remuneration and practices for intermediary services for investment and other policies, the remuneration for the binder and intermediary functions, changes to other aspects of the binder regulations, and amendments to the section 54 limitations.

Remuneration for binder holders

1. The long-threatened regulation relating to the remuneration of binder holders and intermediaries has appeared.
2. The general principles require that all binder remuneration:
 - must be reasonable and commensurate with the actual cost of performing the binder function, taking into account the nature of the function and the resources, skills and competence reasonably required to perform the binder function;
 - must not result in double counting;
 - conflicts or potential conflicts with policyholders' interests must be effectively mitigated;
 - payment must 'not impede the delivery of fair outcomes to policyholders' (which is an impossibly subjective test, but the intention is apparently to prohibit excessive remuneration at the cost of the client's benefits).
3. The remuneration for a non-mandated intermediary (not an underwriting manager nor an administrative FSP) who is a binder holder authorised to advise under the FAIS Act (or an associate of such an NMI) is a maximum of 9% made up of:
 - there is no fee at all for anyone who only determines wordings, premiums or benefits);
 - 5% for entering into, varying or renewing policies coupled with one or more functions of determining policy wordings, premiums or benefits (but limited to 3.5% if the NMI only enters into, varies or renews policies); and
 - 4% for settling claims.
4. Underwriting managers and administrative FSPs can still share profits attributable to the policies referred to in their agreement. An NMI who has entered into a cell structure arrangement with an insurer can receive dividends regarding the shares held.
5. If the NMI does not give advice, its remuneration is only subject to the general principles in paragraph 2 above. Still, it is difficult to see how you would justify more than 3.5% for entering, varying, or renewing a policy if no advice is given, save in exceptional cases.
6. The binder fee (of non-mandated intermediaries but not underwriting managers) must be disclosed to policyholders by the binder holder, and the disclosure must be required in terms of the binder agreement. There is no requirement to disclose profit shares or cell arrangement dividends.

Commission for risk policies

7. The remuneration for intermediary services relating to investment policies that commenced on 1 January 2009 and the remuneration for other policies have changed.
8. The commission regulations for policies other than investment policies (here called 'risk policies') make several changes that must be carefully considered by long-term insurers. We do not intend to make a detailed analysis here; we only highlight some significant issues.
9. The definition of 'administrative work' will be deleted from 1 January 2019.
10. The commission is now due on premiums 'payable' and no longer on premiums 'payable and received', but clawback provisions remain.
11. Extensive new provisions regarding replacement investment policies and replacement risk policies, including defined replacement investment events and causal events, are included. A new Part 5C contains the principles for calculating causal event charges.
12. The regulations now separate replacement risk policies from replacement investment policies. The special provisions concerning replacement risk policies cross-refer to the provisions in this connection in the amended Policyholder Protection Rules.
13. The definition of 'representative' limits the right of an employee of one insurer to sell the products of another insurer except for a class of policies for which its employer or mandatory does not underwrite or classes or types of policies determined by the Commissioner. The representative may, however, continue to perform intermediary services about a policy entered into before 1 January 2018 in terms of a written agreement with the other insurer concluded before 1 January 2017.
14. The commission tables in Annexure 1 and Annexure 2 include the following changes:
 - The amended commission table removes the commission of 22.5% for credit and credit life schemes 'with administrative work' from 1 January 2019.
 - A 7.5% commission cap for credit and credit life schemes is applied to effect Proposal AAA of the RDR. The FSCA's rationale is that administrative work carried out by the intermediary that falls outside the scope of commissionable services as an intermediary should be remunerated through other means (e.g. permissible outsourcing fees or binder fees, as appropriate).
 - Scale A for standard commission for group schemes and fund policies has new thresholds ranging from 7.5% for annualised premiums not exceeding R200 000 (previous R142 000) to 1.0% for annualised premiums above R2 million (previous R1.55 million).
15. The maximum once-off special commission for group schemes and fund policies is now R7 500 (R5 000).

Equivalence of Reward

16. The new provisions of 'Equivalence of Reward' are more uncertain than ever. Equivalence can be determined by the Commissioner by notice on the FSCA website whether any remuneration or consideration complies or does not comply with the principle. That is an impermissible delegation of authority because no provision is made for public consultation, no parameters are set, and no determination is said when it would apply.

Notification of arrangements with independent intermediaries or representatives

17. Suppose an insurer pays an intermediary or representative an amount for a function or activity that, in its opinion, does not constitute the rendering of services as an intermediary or a binder function. In that case, the Commissioner must be notified in writing at least 30 days before the insurer enters the arrangement. The format of the notification is to be determined by the Commissioner.

Associate

18. The definition of 'associate' concerning a mandated intermediary with whom an NMI may not conduct business or a mandated or non-mandated intermediary with whom the underwriting manager may not conduct business has been expanded. In addition to the FAIS definition of 'associate', the binder holder will be an associate of a juristic person who shares a significant owner or member of the governing body (for example, a board member or trustee) or another juristic person whose significant owner alternatively; governing body is an associate under the FAIS Act of a significant owner or member of the intermediary concerned.
19. The 'significant owner' is extensively defined but generally relates to a 15% threshold for shareholding, control, disposal of shares and board appointments.
20. For this purpose, the definition of 'juristic person' has been expanded to include companies, close corporations, cooperatives, trusts, a corporate association, a partnership and, extraordinarily, 'a club or other body of persons of whatever description' even if unincorporated which is probably too vague to be enforceable.

Who is an underwriting manager?

21. The definition of 'underwriting manager' has been expanded to include anyone having a legal relationship with the insurer (for example, secondment of employees or outsourcing of infrastructure like a call centre), whereby the underwriting manager's employees are effectively entering into varying or renewing policies for the insurer.

Binder arrangements

22. A binder holder may only be a non-mandated intermediary, underwriting manager or administrative FSP.
23. An insurer may only enter into a binder agreement if doing so will promote the delivery of fair outcomes to customers and will not result in the duplication of administrative efforts and costs or otherwise impede the insurer's ability to identify, assess, manage and report on the risks of poor customer outcomes. Transparency and effective oversight are, therefore, essential.
24. Significant governance and oversight obligations are placed on the insurer, who must have the necessary resources and ability to comply. Before and at all times after entering into a binder agreement, an insurer must:
- identify, assess, manage and report on the risks of poor customer outcomes;
 - ensure the adequacy of the binder holder's governance, risk management and internal control framework and ability to comply with applicable laws and the binder agreement;
 - ensure the fitness and propriety of the binder holder, including any specific technical expertise required to perform the binder functions;
 - ensure the validity, accuracy, completeness and security of any information provided by the binder holder;
 - ensure that the binder holder has the operational ability to achieve integration between the insurer's and binder holder's IT systems so that the insurer has access to up-to-date, accurate and complete data held by the binder holder as and when requested by the

insurer and when required by the binder agreement, or by regulatory requirements relating to data management including the Policyholder Protection Rules.

25. The insurer is obliged to regularly review the binder holder's performance and assess the binder functions' appropriateness and suitability for delivering fair outcomes to policyholders.
26. The insurer must implement appropriate contingency plans to address any shortcomings in the binder holder's performance or outcomes to policyholders.
27. Therefore, the insurer oversees the conduct of binder agreements and is accountable to the Commissioner for the binder holder's failure to perform and maintain integrity.
28. An underwriting manager for a long-term insurer is entitled to conduct business with a representative (a person employed by or with a mandate from) of a mandated or non-mandated intermediary who is a natural person. It is a significant change because it means underwriting managers can, on behalf of their insurer, conduct business with natural persons who are representatives or agents of the insurer as well as employees of other intermediaries to sell policies on behalf of the insurer for the benefit of the underwriting manager's portfolio.

Binder agreements

29. The additional immediate requirements for binder agreements are:
 - The requirement of non-mandated intermediaries (not underwriting managers) to disclose binder fees to policyholders;
 - The governance and oversight requirements;
 - The ongoing requirement to ensure that the binder holder is fit and proper;
 - Giving the insurer the right of access to any data held by the binder holder when requested by the insurer;
 - A right to take prompt and reasonable steps to rectify non-adherence to the binder agreement.

Later requirements for binder agreements

30. From 1 January 2020, binder holders will have to provide the insurer with up-to-date, accurate and complete data for funeral and assistance policies every month and all other policies daily to enable insurers to comply with their data management and reporting requirements and the Policyholder Protection Rules. Insurers must ensure that binder holders have the operational ability to comply.
31. For this purpose, a funeral policy is a life policy where the benefits relate only to services or costs associated with funerals.

Commencement

32. The amendments to the regulations take effect on 1 January 2018 except:
 - The definition of 'administrative work' is only deleted from 1 January 2019;
 - The special provisions regarding the replacement of risk policies take effect on 1 July 2018;
 - The commission changes regarding term cover take effect on 1 January 2019;
 - The provisions regarding a maximum 9% binder remuneration for non-mandated intermediaries not authorised to render advice (including the exemption provision) take effect:
 - From 1 January 2018, for any new binder agreements;

- From 1 July 2018 for a binder for agreements entered into between 1 January 2017 and 31 December 2017 (unless the remuneration is amended in the meantime);
- From 1 January 2019 for binder agreements entered into before 1 January 2017 (unless the remuneration is amended in the meantime);
- The requirement that the insurer must, before entering into a binder agreement, be satisfied that the binder holder has the operational ability and IT systems to provide access to data as and when requested comes into force on 1 January 2020;

The binder holder must provide accurate and complete data every month for funeral and assistance policies and daily for all other policies that come into force on 1 January 2020.

2.18 Impact of Legislation and tax on life insurance policies

Learning outcomes

By the end of this section, you should be able to:

- Explain the impact of the FAIS Act on representatives
- Explain the impact of FICA on life insurance
- Explain the impact of PPRs on life insurance
- Explain the impact of POPIA on life insurance
- Explain the impact of the Insurance Act on life insurance
- Explain the impact of FRSA on life insurance
- Explain the impact of LTI on life insurance
- Describe the types of tax that affect life insurance policies

Introduction

A representative is any person who renders a financial service for or on behalf of a financial services provider, in terms of conditions of employment or any other mandatory agreement but excludes a person rendering a clerical, technical, administrative, legal or accounting service, which service does not require judgment on the part of that person or does not lead a client to any specific transaction in respect of a financial product in response to general enquiries.

The rep's duties and obligations are affected by legislation in the industry.

2.18.1 Application of the FAIS Act

Duties of a representative as indicated in the FAIS Act 37 of 2002 Code of Conduct

	You have to act honestly and fairly, with due skill, care, and diligence, in the interests of clients and the integrity of the financial services industry. Disclose all terms and conditions of cover to the client.
	When representations are made or information provided to a client, it must be factually correct, provided in plain language, not misleading, adequate and appropriate given the client's level of knowledge, and timeous to afford the client reasonably sufficient time to make an informed decision. Do not use abbreviations; they mean nothing to the client.
	You should obtain appropriate and available information about clients' financial situations, financial product experiences, and objectives regarding the financial service required. If a proper analysis of a client is done, you will sell a different product to the same client. Policy duplication will be a thing of the past. This will also reduce the number of refunds the business makes due to misinformation.
	Take reasonable steps to ensure the client understands the advice and can make an informed decision. Explain clearly to the client the benefits of unnatural and natural death. Explain the requirements when the child is overaged and what it means to the policy.
	It would be best if you had effectively employed the resources, procedures, and appropriate technological systems to perform professional activities properly. You have been given resources to enable you to perform this duty.

A client may not sign an incomplete form.

Section 7(2) of the FAIS Code of Conduct states that *"No provider may in the course of the rendering of a financial service request any client to sign any written or printed form or document unless all details required to be inserted thereon by the client or on behalf of the client have already been inserted."*

This implies that you may not request a client to sign a blank application form that you will complete later on behalf of the client.

These **must never be** given as reasons to justify the submission of blank forms:



- I wanted the form on file so the client could complete a transaction when I phone them later.
- I wanted to save the client time and planned to fill in the form after the meeting.
- I sent the client a form to complete and sign, and then the client returned a blank or incomplete but signed form.
- A document should also not be dated after a client has signed it.



You may complete a form for a client, but the client must check the information and sign the form.



The best practice is to return a signed form to a client by e-mail so there is a record of communication with the client and then destroy the incomplete copy.

By obtaining clients' signatures correctly and ensuring all documents and forms are filled in correctly and completely, your clients can acknowledge your integrity. You will also be well-positioned to defend yourself should a client complain.

All alterations on application forms need to be signed; this verifies that the client made the amendment.

Once the client signs this form, the responsibility to furnish the insurer with the required information remains solely with the client.

Documentation required under FAIS to complete financial transactions

The FAIS Act requires that every communication with clients be recorded electronically or manually (for as long as the information will be retrievable when needed). A record of advice provides a rundown of the advice given to the client concerning their needs.

In www.masthead.co.za ("The importance of a Client Advice Record and Financial Needs Analysis,")

A documented record of advice and financial needs analysis is therefore not only important for the client but of great significance for a financial advisor who has been accused of non-compliance and is now required to prove that the advice rendered was adequate and appropriate for the client's risk profile and financial needs and circumstances.

The client must then be presented with a policy schedule (or contract of insurance) showing that an agreement for cover has been reached, as well as a policy wording detailing the terms and conditions of cover. The schedule and policy wording must be sent to the client within 31 days to allow them to decide whether they want to continue with the sale without incurring any charges (cooling-off period).

Non-compliance penalties

The penalties for non-compliance with the FAIS Act are steep. Offenders face fines of up to R10 million and/or imprisonment for up to 10 years, as well as the withdrawal of the FSP's licence or debarment of a representative. All staff in an FSP must be aware of the seriousness and possible implications if a client signs a blank or incomplete form and fulfils their duty to comply with this provision.

2.18.2 Impact of FICA

The Financial Intelligence Centre Act, 38 of 2001 (FICA), aims to combat money laundering and financing terrorist and related activities.

Verification of clients

Section 21(1) requires an accountable institution to **identify new clients** and **verify** their particulars before establishing any transaction or business relationship.

How do we identify clients?

1. Ensure the client identifies themselves by providing their 13-digit ID Number.
2. The client to fill in all personal information:
 - a. Name.
 - b. Surname.
 - c. Residential address.
 - d. Work address.
 - e. Contact number.
 - f. Email address.
3. The client is to provide policy numbers if need be.
4. Ensure the client provides ID numbers/birth dates for the dependents they add to their policy.
5. Clients must specify their relationship with the dependents they add.

Address - The client's home address is expected to be filled in full; clients in rural areas with no specific address can fill in their voting ward, a well-known tuck shop close to the client's house.

Verification of details

ID Numbers—The 7th digit on an ID number determines gender; any number 4 or less is for a female ID, and numbers 5 or more are male.

Please pay attention to these when members add dependents or supply their documentation and ID numbers of their dependents.

The client acting on behalf of another client.

FIC Act states that if the client is acting on behalf of another person, establish and verify

- (i) the identity of that other person; and
- (ii) (ii) the client's authority to establish the business relationship or to conclude the single transaction on behalf of that other person; and

If another person is acting on behalf of the client, establish and verify—

- (i) the identity of that other person; and
- (ii) that other person has the authority to act on behalf of the client.

Consequences of non-compliance with FICA

The FIC Act has two types of penalties for infringements or acts of non-compliance with the FIC Act.

The first is administrative sanctions (section 45C (3)) for non-compliance with the FIC Act, which includes:

- A caution not to repeat the conduct which led to the non-compliance referred to in subsection (1).
- A reprimand.
- A directive to take remedial action or to make specific arrangements.
- The restriction or suspension of certain specified business activities.

- A financial penalty not exceeding R10 million for natural persons and R50 million for legal persons.

The second type of penalty is the criminal sanction for contraventions of certain offences. The maximum penalty for these offences is 15 years or a fine not exceeding R100 million. Certain lesser offences carry penalties of maximum sentences of five years or a fine not exceeding R1 million.

2.18.3 Policyholder Protection Rules (PPR) Treating Customer Fairly (TCF)

PPRs apply to all new and existing policies.

Rule 1: Fair treatment of customers.

Rule 1 Introduces the Treat Customers Fairly outcomes and how their implementation in business ensures the fair treatment of customers.

- 1.1 Includes a potential member, where appropriate to the context.
- 1.2 An insurer must always act with due skill, care, and diligence when dealing with policyholders.
- 1.3 An insurer must:
 - 1.3.1 In any agreement with a policyholder, and in all communications and dealings with a policyholder, act honourably, professionally and with due regard to the fair treatment of the policyholder and
 - 1.3.2 At the start of any engagement initiated by the insurer, clearly explain the purpose thereof.

The TCF comprises 6 outcomes:

Outcome 1: Customers can be confident dealing with firms where TCF is central to the corporate culture.

Professionalism and transparency build customer confidence. These can only be found in a company that treats its customers respectfully and fairly.



Your role as a rep is to ensure consistency in the fair treatment of clients. All policy limitations and charges must be transparent. Disclosure around bundled products must enable customers to understand the different components of the bundle.

TCF culture: Regulation dealing with how TCF outcomes are dealt with within firms' governance structures, such as fit and proper requirements for management, audit, risk, and compliance requirements, board and committee structures, whistleblower protection rules, and management incentives.

Outcome 2: Products & services marketed and sold in the retail market are designed to meet the needs of identified customer groups and are targeted accordingly.



Ensuring that products are tailor-made to meet customers' requirements is important. Any product that does not meet a customer's needs cannot be considered fair.

When selling a plan to a member who wants to cover Extended family members, guide the client correctly in terms of extra cover they need.

An immediate family plan excludes extended family members; the client must purchase the relevant Extended family cover to enjoy the full cover.

Appropriately targeted design and marketing of products and services: Regulation dealing with product features, charging structures, product governance and approval processes, unfair terms, undesirable business practices, regimes for consumers such as products aimed at addressing inclusion, and marketing and advertising restrictions and standards.

Outcome 3: Customers are provided with clear information and kept appropriately informed before, during, and after the point of sale.



Disclosure requirements and their importance are already highlighted under the FAIS Act.

Disclosure of the product terms and conditions is important in ensuring that the customer makes an informed decision about buying a financial product.

Clear information: Regulation dealing with specific disclosure obligations, disclosure standards, plain language, language policies, electronic and telephonic communications, and misleading representations.

Outcome 4: Where advice is given, it is suitable and takes account of customer circumstances.



Consider the following before recommending a financial product to a client:

- The financial circumstances of the client
- The client's financial objectives
- The level of experience the client has regarding the required financial product

Use this information to build a risk profile for a client and match it to suitable products.

Before selling the client a policy covering the same event, ascertain that the policy offers the same benefits as what they have and covers exactly what the client needs.

Suitable advice: Regulation dealing with financial advisory obligations (primarily under FAIS), distribution models, legal relationships between intermediaries and product suppliers, conflicts of interest (under FAIS and more broadly), and advisor remuneration.

Outcome 5: Products perform as firms have led customers to expect, and service is of an acceptable standard and as they have been led to expect.



Products can only perform to the customer's expectations if we do things right the first time, which is at the sales stage. The only time a client fully benefits from the policy is when a loss occurs, and the insurer must pay out the claims with little or no inconvenience to the client.

When we sell a life policy to a client with accelerated benefits as per the client's expectations, the policy should pay out as expected when an unforeseen event like disability or any dread disease occurs (as per the initial terms and conditions of the policy).

Products perform as expected and acceptable service: Regulation dealing with product and performance monitoring, ongoing communication, reasonable benefit expectations, service levels, operational ability and capacity, outsourced suppliers, business continuity, record keeping, information security, fraud risk management, succession planning.

Outcome 6: Customers do not face unreasonable post-sale barriers imposed by firms to change products, switch providers, submit a claim, or make a complaint.

The complaints procedure must be explained to the client at the sales stage.

Please ensure that you explain the claims process to clients so that there is no delay. The claims process has already been explained under PPR Rule 1: Fair Treatment of Customers.

If submitting a claim requires, among other things, a police report in the event of accidental death, this should be explained to the client at the beginning of the contract.

No unreasonable post-sale barriers: Regulation dealing with access to information, complaints handling, claims handling, alternative dispute resolution, product flexibility, product portability, and termination charges.

Rule 9: No insurer or intermediary may permit a policyholder to sign a blank or incomplete form.

No insurer or intermediary may, in connection with any transaction relating to a policy, require, permit or allow the policyholder, potential policyholder, member or potential member or claimant or potential claimant to sign any blank or partially completed form necessary for the transaction, where another person will be required, permitted or allowed to fill in other required detail or conclude any such transaction where any such signing and providing of detail have occurred.

It has already been addressed under the FAIS Act Code of Conduct in Section 1.

Rule 11: Disclosure requirements

Disclosure of information must be made “In good time” before inception and throughout the policy. Any communication to a policyholder must be:

- Plain language, not misleading.
- Monetary value or the calculation method of premium, value, charge, fee, remuneration, and obligation must be explained to the client.

Explain features, T&Cs, benefits, exclusions, limitations, and duration.

2.18.4 Application of POPIA

The Act defines 8 Principles that must be addressed to comply with the Protection of Personal Information Act no. 4 of 2013 (**POPIA**).

Principle 1: Accountability

You must ensure that all the POPI principles discussed below are adhered to.

Principle 2: Lawful and fair manner

The client's personal information must be obtained lawfully and fairly. Ask for the client's permission to market other products to the client further through MHA and its associated companies.

Principle 3: Specific purpose

The information must only be obtained and recorded on MHA-specific forms to meet the purposes for which it was collected. Use the right forms for each request to ensure that you collect information required from a client for that specific purpose only.

Principle 4: Further Processing of Information

Our forms stipulate how the client's information will be processed further. Consent from a client must be sought for this. Please bring this to the client's attention and, after ensuring that they understand, let them sign and date the agreement to this.

Principle 5: The quality of information

The information must be relevant, up-to-date, accurate, and not misleading. See the picture below from Assupol regarding the non-completion of information on forms and how it will complicate processes for MHA in the future.

Principle 6: There must be openness and transparency

The clients must be aware that their information is going to be processed. Explain why such details are needed. For example, the Policy Amendment Form states this:

ID number of policyholders	• For identification processes • Helps monitor fraud
Contact details	• To send all correspondence (sending policy documents, any changes to the agreement, etc.) • Assists in cases of investigations. • Helps monitor fraud.
ID number of dependent	• For identification purposes. • Combating fraud.

Principle 7: Adequate safeguarding of personal information

All forms completed and submitted by clients to you must be kept safe from loss/destruction and away from unauthorised access to personal information provided by the clients.

Principle 8: Participation of data subject

Clients must be given access to all the personal information they give the insurer. Clients have the right to update and correct any wrongly captured information.

Consequences of non-compliance with POPIA

The following are the consequences of not being compliant:

- Administrative penalties (Fines up to R10 million and/or 10 years in jail per incident).
- Civil action ("distress" pays millions in damages to a civil claim action.)

- Enforcement penalties (Stop processing personal information.)

2.18.5 The application of the Insurance Act 18 of 2017 to long-term insurance

The Act brought with it changes to the Long-term Insurance Act (LTIA), Short-Term Insurance Act (STIA), and, more specifically, the Policyholder Protection Rules (PPR), creating new opportunities for existing insurers and providing for licensed micro-insurance products.

Changes	Impacted class of business
a) A 48-hour turn-around time for funeral pay-outs after receiving all claim documentation. b) Caps on the maximum benefit for funeral policies, whether provided by micro-insurers or traditional insurers, at R100,000. c) Micro-insurance and funeral policies may only provide risk benefits with no surrender value or investment elements.	Assistance policy
a) Waiting periods are restricted to a quarter of the contract term for death or disability due to natural causes; no waiting periods are allowed for policies covering accidental death or disability. b) Credit risk policies do not allow waiting periods. c) no waiting period may be imposed when a policyholder cancels a policy with one insurer in favour of a policy providing similar cover with another insured d) Exclusions for funeral and credit life classes of micro-insurance policies will not be allowed. e) Exclusions for suicide will be allowed for a period not exceeding 12 months from the inception of the policy, regardless of whether a micro-insurance policy or a funeral policy has been renewed during that period. f) No exclusions should be allowed for pre-existing health conditions for funeral policies and credit life insurance policies	Life policy Assistance policy
The Insurance Act introduced new authorisation classes for the life industry, namely: (i) Risk (ii) Fund risk (iii) Funeral (iv) Life annuities (v) Individual investment (vi) Fund investment (vii) Income drawdown (viii) Reinsurance	All classes

2.18.6 The Financial Sector Regulation Act 9 of 2017

The Financial Sector Regulation Act of 9 of 2017 created two new regulators: the Prudential Authority and the Financial Sector Conduct Authority. The Prudential Authority regulates the prudential aspects of banks and all non-bank financial institutions, and the Financial Sector Conduct Authority (previously known as FSB) regulates market conduct and the safety of financial consumers.

This new set-up saw the SARB's Banking Supervision Department dissolved and replaced with the Prudential Authority, and the FSB transformed into the Financial Sector Conduct Authority. While the conducting authority will be responsible for protecting consumers, it does not do so regarding credit. The regulation of credit and protecting customers against lending abuse continue to fall under the country's 13-year-old National Credit Regulator, which is responsible for enforcing the National Credit Act.

2.18.7 The Long-Term Insurance Act 52 of 1998

The purpose of the Act is to provide for the registration of **long-term** insurers and to control certain activities of **long-term** insurers and intermediaries and matters connected.

You will notice that some sections of the Act were deleted and changed into the Insurance Act 2017. Some parts of the Act, like an insurer's financial soundness, are no longer managed under this Act; they were all moved to the Prudential Authority, as discussed above.

2.18.8 Implications of tax on long-term insurance products

Impact of Income Tax, Capital Gains Tax and Estate Duty on Life Risk Policies

Life risk policies that pay out a predetermined sum to beneficiaries or policyholders in the event of a loss are subject to tax. The income received and interest earned are fully taxable; rebates and annual tax exemptions are considered when the calculation is done. The applicable income tax tables are used.

Application of Estate Duty



For example, if the estate's net value is R6 million, the estate duty payable is **R500 000** (R6 million – R3.5 million x 20%).

The impact of tax on sinking fund policies

The contributions made to the sinking fund policy will not be tax-deductible as it is an expense of a capital nature. The proceeds payable by the policy will be tax-free. The capital gains tax exemption for all long-term insurance policies will also apply to the sinking fund policy. So, if the policy pays out to the original beneficial owner or that owner's nominee, the policy will be free of capital gains tax. As with all long-term insurance policies, the sinking fund policy will be subject to taxation in the five-fund approach. If the policy is owned by a corporate entity, the funds are allocated to the Company Policyholder Fund, which has an income tax rate of 28% and a capital gains tax rate of 22.4%. Suppose the policyholder is a trust with natural persons as beneficiaries. In that case, the underlying funds will be held in the Individual Policyholder Fund, which has an income tax rate of 30% and a capital gains tax rate of 12%. Dividend withholding tax is levied at 20% in the Individual Policyholder Fund – the Company Policyholder Fund is exempt.

The sinking fund policy is generally owned by a business entity or a trust, and therefore, estate duty will not be relevant. However, if a policyholder is a natural person and he/she dies, the policy's value will be an asset in his/her estate for estate duty purposes. If the entity used an endowment policy (instead of a sinking fund policy), one or multiple lives would be insured. If multiple lives are insured and one dies, the policy will continue and not pay out. In this instance, there is no impact on estate duty. If the only life insured or the last surviving life insured dies, the policy will pay, and the proceeds will be deemed assets in the estate of that deceased life insured.

Articles on the impact of tax on life insurance products

Read the article below about the impact of tax on life insurance:

Are life insurance payouts taxed?

The short answer is that life insurance payouts are not taxable for income tax and capital gains tax purposes. However, they do impact your estate and estate duties.

When no beneficiary is nominated, the pay-out will form part of your estate, and the estate duty calculation will determine the tax payable. With no beneficiary nominated, the life insurance payout will increase the value of your estate, which could also increase executor fees payable.

If a beneficiary is nominated, the life insurance pay-out will be a deemed asset in your estate. The deemed asset will not increase the value of your estate for executor fees but will be considered for estate duty. If you do not nominate a beneficiary, your estate amount is bigger and could increase executor fees. However, it is important to note that the deceased estate is not liable for the full payment of estate duty due to SARS if the policy proceeds were paid to a beneficiary (other than the estate).

Estate duty will be apportioned between the beneficiary and the deceased estate. It means that if money is due to SARS as part of the estate duty, the beneficiary of a life insurance payout is liable to pay in their share. How is each share decided? The estate executor will determine how much the beneficiary will be responsible for paying towards the estate duty.

Source: www.miway.co.za

Is the interest on a payout taxable?

Yes, if you inherit a sum and it gains interest in the bank, the interest will be taxable in the hands of the beneficiary as it is earned on the capital received

How does the estate duty tax work?

It is quite a complex process. Essentially, you can deduct 3.5 million rands from the overall value of your estate. Of the amount left over, 20% is payable to SARS. This is known as estate duty. Of the 20%, the executor will determine what percentage the beneficiary of a life insurance payout needs to contribute.

Source: <https://www.glacier.co.za/mediacentre/media-category/media-releases/The%20Tax%20Advantages%20of%20Endowments>

Endowments offer an attractive tax-efficient option for people who want to save more than the maximum annual limit for tax-free savings accounts and those who have exhausted their annual tax allowances, such as tax-free interest income.

The recent increase in the CGT inclusion rate means:

- An 18% effective tax rate on capital gains for individuals in the highest income tax bracket and 36% for trusts.
- For an endowment policy, the effective CGT rate for these individuals and trusts is 12%.

Also, income tax is 30% for endowments as opposed to 45% when these individuals are taxed according to their marginal tax rates in other investment vehicles. This tax treatment also benefits other income categories (i.e., for everyone with a marginal tax rate above 30%).

Tabulated summary of the impact of tax on life insurance

INVESTMENT VEHICLE	CONTRIBUTIONS INCOME TAX DEDUCTIBLE	PERSONAL INCOME TAX ON BENEFITS / PROCEEDS	CAPITAL GAINS TAX	ESTATE DUTY
Shares trading (short term)	No	Yes	Yes	Yes
Shares investing (long term)	No	No	Yes	Yes
Bank investments	No	Yes	No	Yes
Unit trust	No	Yes	Yes	Yes
LISP	No	Yes	Yes	Yes
Life policy	No	No	No	Yes
Endowment policy	No	No	No	Yes
Sinking fund policy	No	No	No	Yes
Retirement annuity	Yes	Yes	No	Yes
Compulsory annuity	No	Yes	No	No
Voluntary annuity	No	Yes	No	No
Disability income replacement policy	Yes	No	No	No

2.19 Industry Codes

The applicable Industry Codes

Learning outcomes

By the end of this section, you should be able to interpret the following:

- The Global Forex Code of Conduct
- The FAIS General Code of Conduct
- The FAIS Specific Code of Conduct
- The FAIS Discretionary Code of Conduct

2.19.1 Global Forex Code of Conduct

¹⁷The Association for Savings and Investment South Africa (ASISA) has reviewed the content of the FX Global Code (Code) and acknowledges that the Code represents a set of principles generally recognised as good practice in the wholesale foreign exchange market (FX Market). ASISA confirms that its members act as market participants as defined by the Code and are committed to conducting FX Market activities (Activities) in a manner consistent with the principles of the Code. To this end, the members of ASISA have taken appropriate steps, based on the size and complexity of their activities, and the nature of their engagement in the FX Market, to align their activities with the principles of the Code.

The Global Code is organised around six leading principles:

- Ethics:** Market Participants are expected to behave ethically and professionally to promote the fairness and integrity of the FX Market.
- Governance:** Market Participants are expected to have a sound and effective governance framework to provide for clear responsibility for and comprehensive oversight of their FX Market activity and to promote responsible engagement in the FX Market.
- Execution:** Market Participants are expected to exercise care when negotiating and executing transactions to promote a robust, fair, open, liquid, and appropriately transparent FX Market.
- Information Sharing:** Market Participants are expected to be clear and accurate in their communications and to protect Confidential Information to promote effective communication that supports a robust, fair, open, liquid, and appropriately transparent FX Market.
- Risk Management and Compliance:** Market Participants are expected to promote and maintain a robust control and compliance environment to effectively identify, manage, and report on the risks associated with their engagement in the FX Market.
- Confirmation and Settlement Processes:** Market Participants are expected to put in place robust, efficient, transparent, and risk-mitigating post-trade processes to promote the predictable, smooth, and timely settlement of transactions in the FX Market.

2.19.2 FAIS General Code of Conduct

This Code applies to all services and advice in financial products not covered under the Specific Code. The Specific Code is only for short-term business.

The General Code applies in conjunction with the Discretionary and Administrative Codes.

It provides specific instructions across 14 key areas that upon clients:

1. Duties of the FSPs.
2. Information on product suppliers.
3. Information on FSPs.
4. Contacting clients.

¹⁷ www.asisa.org.za

5. Information about the financial service.
6. Furnishing advice.
7. Record keeping.
8. Custody of financial products and funds.
9. Risk management.
10. Direct marketing.
11. Advertising.
12. Complaints.
13. Termination of agreement or business
14. Other miscellaneous issues – waiving of rights, client confidentiality, insurance, signing of incomplete forms, etc.

2.19.3 FAIS Administrative Code of Conduct

This Code applies to FSPs that render intermediary services in respect of all financial products specified in the FAIS Act, on the instructions of a client or another FSP, and through the method of bulking.

The 9 provisions contained in the Code contain the following:

1. Prohibitions.
2. Duties of an Administrative FSP.
3. General functions.
4. Dealing with clients.
5. Termination of relationship with clients.
6. Record keeping.
7. Insurance.
8. Independent nominees.
9. Reporting clients.

2.19.4 FAIS Discretionary Code of Conduct

This Code applies to FSPs and their representatives who render a discretionary intermediary service. (CAT II)

There are 6 provisions under this Code:

- Prohibitions.
- Duties of a Discretionary FSP.
- Mandates.
- Reporting to clients.
- Insurance.
- Nominee companies.

2.19.5 ASISA standards¹⁸

Long-term insurance standards:

(ASISA Standard on Genetic Testing - currently under review)

ASISA Standard on Disclosure for Critical Illness Products - effective Jul 2014

ASISA Standard on Living Annuities - 3 Mar 2018

ASISA Standard on Living Annuities - Questions & Answers - 5 May 2017

ASISA Standard on Living Annuities - Submission Template - Feb 2018

¹⁸ Further reading <https://www.asisa.org.za/codes-standards-guidelines/standards/>

ASISA Standard: Government Payroll Deductions - 28 May 2019

ASISA HIV Testing Protocol - Jun 2019

Investment management industry:

Global Investment Performance Standards (GIPS) - www.gipsstandards.org

ASISA Hedge Fund Classification Standard - 19 Sep 2019

ASISA CIS in Hedge Funds Investment Management Fee Standard - effective 1 Mar 2019

ASISA Standard NAV Calculation for CIS Portfolios - Nov 2015

ASISA Fund Classification Standard - effective 30 Oct 2018

ASISA Guideline on the Completion of the Fund Classification Application - effective 7 Mar 2017

ASISA Fund Classification Application - effective 23 May 2017

ASISA Standard on CIS Performance Fees - effective 1 Jan 2017

ASISA Investments Reporting Template - effective 1 February 2020

ASISA Solvency Assessment & Management (SAM) Reporting Template - 11 Nov 2015.

Unit 2: Summary

The main pieces of legislation that govern life and disability assurance and related services are:

- The Long-term Assurance Act (Act 52 of 1998);
- The Pension Funds Act (Act 24 of 1956);
- The Income Tax Act (Act 58 of 1962);
- The Financial Advisory and Intermediary Services Act (Act 37 of 2002);
- The Financial Intelligence Centre Act (Act 38 of 2001); and
- The Promotion of Access to Information Act (Act 2 of 2000).

Long-term risk assurance focuses on the life events, such as the death or retirement of a person. It is non-indemnity assurance.

The long-term assurance business is the business of providing or undertaking to provide policy benefits under long-term policies. Therefore, this business intends to provide cover for an extended period, generally longer than 5 years.

Different classes of policies:

- Life policy;
- Assistance policy;
- Disability policy;
- Fund policy;
- Health policy;
- Sinking-fund policy.

Parties to a contract include:

- Insurer;
- Policyholder;
- Life Insured;
- Contribution payer;
- Beneficiary;
- Cessionary;
 - Outright cession;
 - Security cession.

Taxes are payable by the insurer on profits and capital gains in terms of the five-funds approach, namely:

- An "untaxed policyholder fund" (UPF);
- A "company policyholder fund" (CPF);
- An "individual policyholder fund" (IPF);
- A "corporate fund" (CF);
- "The risk policy fund".

Section 54 of the Long-term Assurance Act determines that a long-term assurance policy has a restricted period of 5 years, during which time only one loan and one surrender may be made against the policy. The maximum value of such a loan and/or surrender is premiums plus 5% compound interest per year.

If the premium is increased by more than 20% at any time, a new restricted period will commence.

The process of determining a premium for a policy consists of:

- Setting assumptions;
- Determining the product structure;
- Determining the premium required to meet the required return on capital; and

- Testing the sensitivity of the resulting profit to a wide variety of future outcomes.

Underwriting is the process of determining the level of risk that an individual poses to the insurer with which the individual intends to contract. Applications are subject to medical and non-medical underwriting.

The terms by which the parties agree to be bound revolve around:

- The person insured;
- The risk insured against;
- The amount payable by the insurer on the happening of the event insured against;
- The amount of premium payable by the insured; and
- The period of assurance.

Broadly, the terms of an assurance contract can be classified into the following:

- Terms required for the contract to come into effect;
- Terms required for the contract to remain valid; and
- Terms are required at the claim stage.

Unit 2: Self-Assessment

1. Explain the non-forfeiture clause in your own words.

2. Why was section 54 written into the Long-term Assurance Act?

3. When will a policy be in a restricted period?

4. What is insurable interest?

5. Name the five different funds that insurers must maintain for tax purposes.

6. What is anti-selection?

7. What is non-disclosure, and when and how can it affect a claim?

Unit 3

Application of structured long-term assurance portfolios



Apply knowledge and skill to explain the application of structured long-term assurance portfolios.



- 3.2 Life Risk Policy
- 3.3 Life Investment Policy
- 3.4 Fund Policy
- 3.5 Long-term reinsurance policy
- 7.9 Retail pension benefits (Retirement annuities)



You will need to achieve the following:

- Analysing Term Products to determine the cover;
- Analysing Conventional Life assurance products to determine the cover;
- Analysing Universal Life Products to determine the cover;
- Analysing Retirement Annuities to determine the structure;
- Analysing Investment-Linked Products to determine the cover;
- Analysing Long-Term reinsurance policy;
- Interpreting different supplementary benefits available with individual life policies.



- The South African Financial Planning Handbook (Latest version), M. Botha, L. Du Preez, W. Geach, B. Goodall, L. Rossini, (LexisNexis);
- Fundamentals of Financial Planning (Latest version), B. Goodall, Laura du Preez, Lee Rossini, Marius Botha, Walter Geach, Jackie Palframan, Johann Cloete. (LexisNexis).



Purpose

It is essential that you can distinguish the differences between the various product types to advise your clients correctly.

Who invests in life assurance products?

The clients of a life assurer may be any of the following:

(a) The individual client

Clients invest in life assurer to meet their needs. They may require life and disability cover or a pure investment need. The various products available to meet the needs of clients are discussed below.

(b) Another life assurer

One life assurer may invest in the underlying portfolio of another assurer. It gives the former assurer exposure to the growth within that organisation.

(c) Pension funds

Pension funds utilise assurance to minimise their risk. They place large sums with the assurer, who, in return, invests according to their strategy.

(d) Collective investment schemes

Collective investment schemes invest in the underlying shares of an assurer to gain exposure to that market.

Types of life assurance products

The various types of life assurance products available to the client are:

- term assurance;
- decreasing term assurance;
- conventional life policy;
- the universal life policy;
- retirement annuities;
- investment-linked products;
- whole life assurance;
- reinforced whole life assurance;
- pure endowments; and
- endowment assurance.

Each of these products mentioned above is now discussed in more detail:

KO1: Analysing Term Products to determine the cover

3.1 Term assurance

Term assurance refers to a product with a specific term, where the assurance falls away once the term expires. The period the policy will pay a claim is set, and the sum assured is only paid at death. The client does not have an investment account, as these policies are issued without profits.

There is a difference between the terms 'with profits' and 'without profits'. With-profits refers to policies where the client invests a higher premium, part of which is used to earn investment growth.

Without profits refers to policies where no investment accounts are created. Term assurance policies are the only without-profits policies today.

Before the amendment to section 11 (w), the premiums paid by an employer or company in respect of a "term policy" on the life of an employer or director were deductible from the employer/company's income. Section 11 (w) of the Income Tax Act, as it read before 1 January 2011, provided a deduction in respect of a policy where "the only benefit payable under the policy is a benefit payable within a period fixed in such policy upon or because of the death or disablement of the employee or director whose life is insured under the policy, or the policy is a disability policy as defined in section 1 of the Long-term Assurance Act."

It was commonly referred to as a term policy. Suppose it has no investment element and it is a pure risk policy. In that case, the premiums of such a policy will provide all the other requirements of the "new" section 11 (w) are met and continue to qualify for a tax deduction when the newly amended section 11 (w) takes effect.

As the name denotes, term policies provide risk cover for a particular term. They are generally used as security for debt over a specific term, such as a home mortgage bond or for key-man assurance.

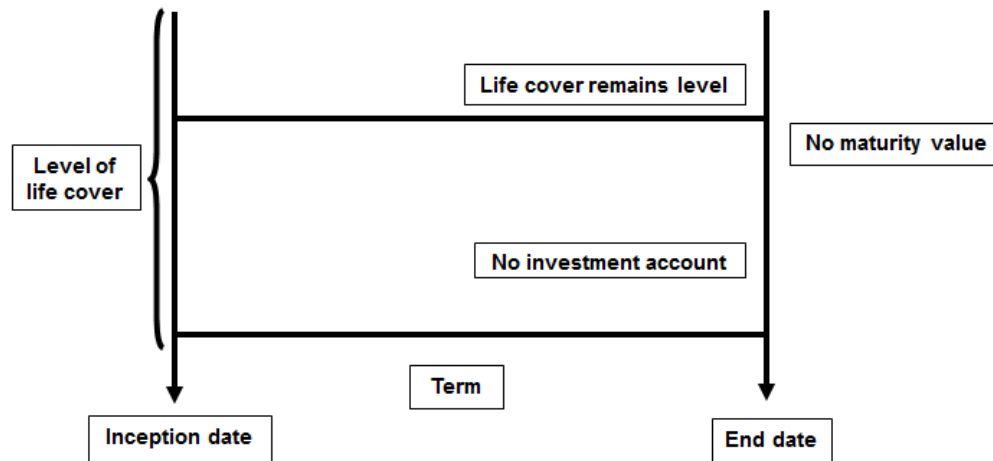
There are two types of term policies:

1. Level-term policy.
2. Reducing/ decreasing-term policy.

3.1.1 Features of a term policy

- Provides risk cover for a term.
- Extra benefits can be added, such as disability and dread disease.
- A level term assurance policy provides the same amount of cover for the term.
- A reducing/ decreasing-term policy provides a reducing risk cover amount over the term at a pre-determined rate. Usually, this type of assurance is ceded to a bank as security for a mortgage bond. The cover should decrease at the same rate as the outstanding amount on the mortgage bond.
- Term policies do not have investment accounts.
- They offer no cash or loan values.
- The term and level of life cover are determined at inception.
- The death claim value equals the value of the life cover.
- A claim is payable only if death occurs within the term.
- If the life insured outlives the term, the policy will cease.

3.1.2 Graphic example of level-term assurance



Benefits

- Provision of lump sum payment if the insured event occurs within a specified term.
- The sum assured for a level-term assurance policy is fixed for the whole term.
- For a decreasing term assurance policy, the sum insured decreases over the term at a fixed rate.
- It can be structured to fit the debt profile, therefore minimising cost.

Cost

The administrative costs associated with a term policy are the same as those for the whole-life policy. Still, overall premiums are lower for the same levels of cover due to the limited term of cover.

Term

The term is fixed according to the insured's needs. The maximum term is generally 20 years.

Eligibility

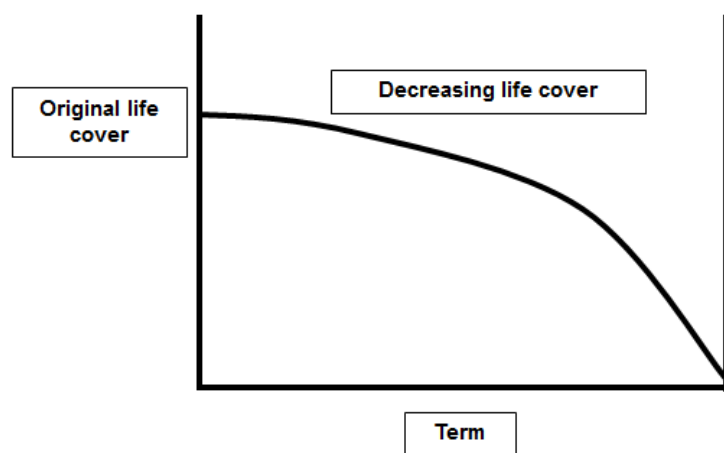
The same rules apply to term assurance as they do for whole-life policies.

Whole-life and term policies payout at death, regardless of the cause (unless the life assured commits suicide in the first two years of the policy – no benefit is payable in this case).

Decreasing term assurance

A decreasing term assurance policy is also a term assurance policy, but the sum assured decreases as the policy continues. These policies are used when a loan is required to be repaid over a specified period. The sum assured decreases as the loan amount decreases, and the amount borrowed is repaid if the client dies within the loan period.

3.1.3 Graphic example of a decreasing term assurance



KO2: Analysing Conventional Life assurance products to determine the cover

3.2 Whole-life policies

Universal life policies have largely replaced the whole life, but the current trend is back to the original whole life policy. The premium stays the same during the policy term. The annual premium at the beginning of the policy is adequate to cover the year-to-year expenses and risks. A surplus is created, covering the higher cost as the client ages. The primary purpose of a whole life policy is protection. The policy will pay on the death of the life assured to benefit his beneficiaries. The policy proceeds are then invested in providing the family with an income.

3.2.1 Features of a typical whole-life policy:

- The life cover amount is payable at death only, irrespective of when death occurs. Other risk benefits, such as disability and/or dread disease, can also be added to the policy.
- The level of life cover is determined at the policy's inception.
- Whole-life policies do not usually have investment accounts.
- There are no cash or loan values where there is no investment account.
- A client has two main choices of cover patterns. These choices are common to all life cover products:
 - **Level cover** results in the cover of the policy being fixed and remaining at that fixed level for the duration of the policy. A policy with level cover is generally suitable where the life cover is needed to cover the liability of a specific amount, for example, bond cover.
 - **The escalating cover** makes provision for the cover to escalate every year. It allows for the amount of cover to keep up with inflation. The cover will automatically increase at a fixed rate each year on the policy anniversary. The corresponding premium will also increase. The policy owner can accept or reject the annual increase but will forfeit future increases altogether if he skips more than two in a row (some insurers have different rules). Assurance companies usually offer one or more of the following options:
 - Compulsory increases of 5%, 7.5% and 10% (or anything in between).
 - Options are linked to the South African Consumer Price Index (the average increase in the price of a basket of consumer goods).

- Options linked to the Rand/ Dollar, Rand/ Sterling or Rand/ Euro exchange rate or the Rand Depreciation Index.
- The level cover is less expensive than the escalating cover. It is because the risk to the insurer increases each year that the cover on the policy increases.
- Premiums can be paid monthly or annually.
- The client has a choice of premium patterns. These choices are common to all life policies:
 - A level premium which will remain at a constant level for the entire term of the policy; or
 - An escalating premium will escalate annually at a scheduled, pre-determined rate on the policy anniversary. Companies usually offer one of the following options:
 - Compulsory increases of 5%, 7.5%, 10% or 15% (or anything in between); or
 - Options are linked to the South African Consumer Price Index.
- There is no pre-determined term for the policy since it is for life.

Benefits

- Provision of a lump sum payment at an unknown future date of death.
- A lump-sum payment is fixed and certain and accrues tax-free to the beneficiary.

Cost

The premium is determined according to the structure and amount of cover selected and the life assured's level of risk, e.g. age, smoking habits, gender, income, occupation, health and education.

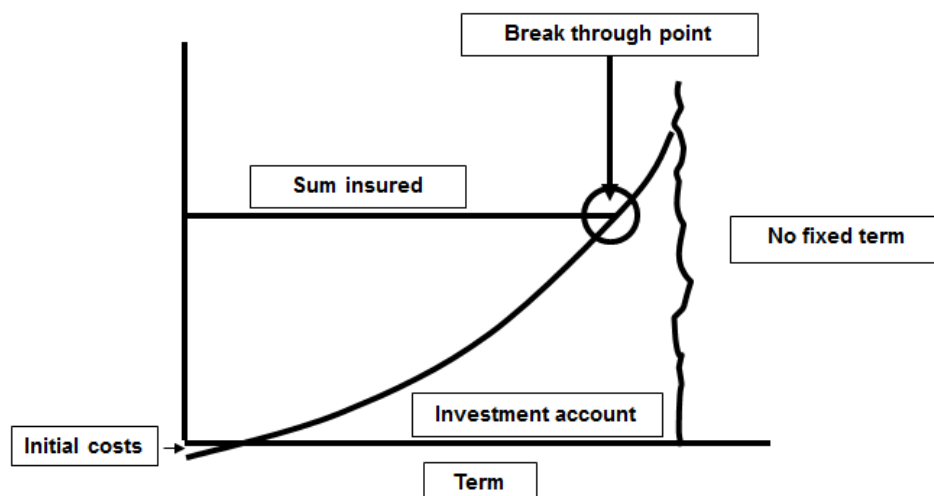
Term

Although whole-life policy contracts run for as long as the insured is alive, most contracts contain a guarantee period after which premiums can be reviewed.

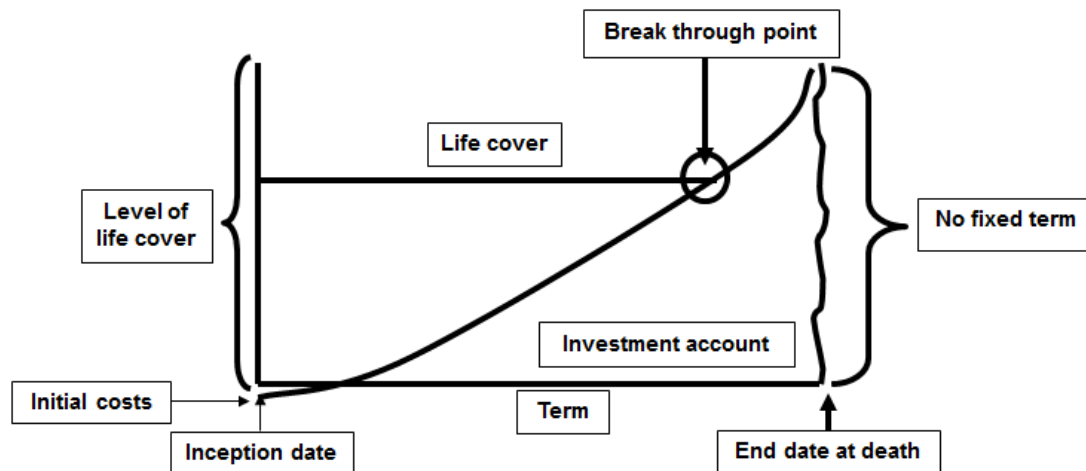
Eligibility

The specific assurance company will provide these products' age limits and underwriting requirements. Due to underwriting requirements, specific individuals may not be eligible for life cover due to their state of health or age.

3.2.2 Graphic example of a whole-life policy



3.2.3 Graphic example of whole life with an investment account

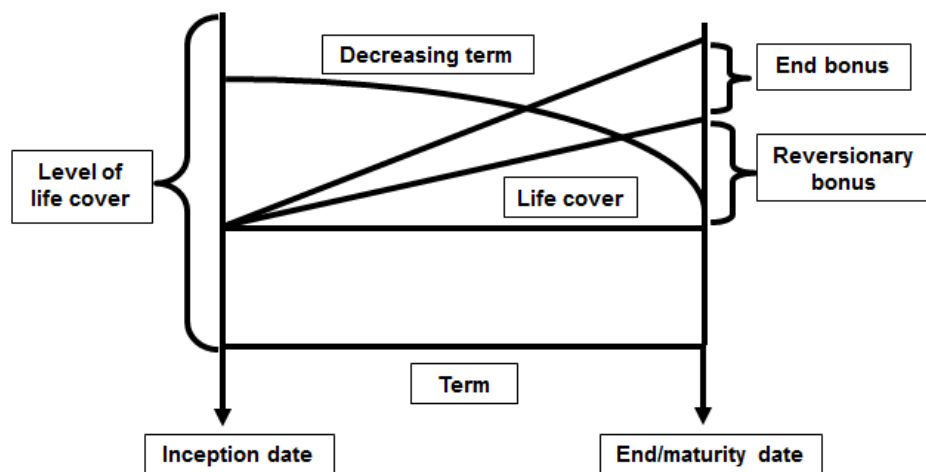


- The level of life cover is determined at inception.
- No pre-determined term, as it is for life.
- The investment account, starting at zero, will grow over time using bonuses added by the insurer.
- The breakthrough point is when the selected life cover equals the investment account.
- At death, the higher the life cover or investment account will be payable.

3.2.4 Reinforced whole-life assurance

Reinforced life policies came about as a need for cheap life cover arose. This policy links a whole-life policy with profits to a decreasing term assurance policy. The bonus declarations are added to the basic whole life cover, which is the same as the decrease in value of the decreasing term cover. Thus, the cover remains the same until the bonuses grow to more than the original cover needed.

3.2.5 Graphic example of a reinforced whole life/endowment assurance



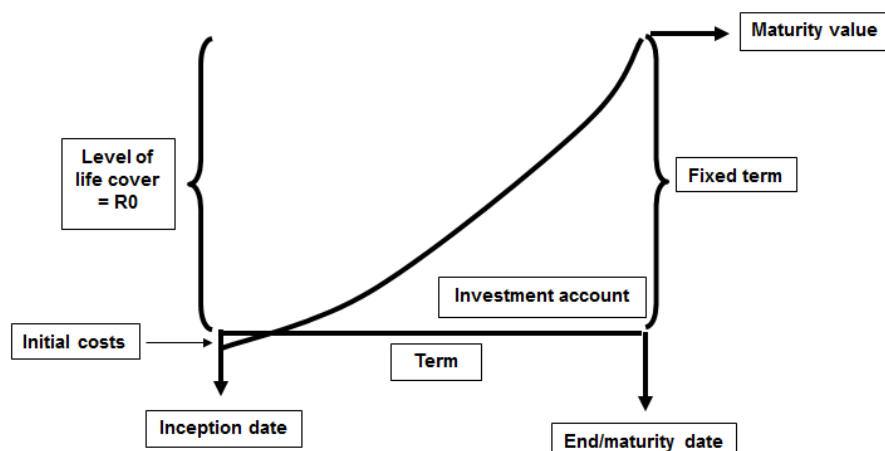
- Term and level of cover are determined at inception.
- The decreasing term was added to reinforce the original life cover.
- No investment account as the policy shares in profits.

- The reversionary bonus is calculated on the original life cover.
- End bonus is calculated on reversionary bonus and only payable at death or maturity.

3.2.6 Pure endowments

Pure endowments pay out an amount on a specific date in the future. These policies do not have life cover and will pay regardless of death. The beneficiary on the policy is entitled to a refund of the premiums paid, plus the value of any investment growth or a fixed interest rate on the premiums paid. Life assurer makes this decision. The minimum term of these investments is five years, after which the client may either surrender or make tax-free withdrawals.

3.2.6.1 Graphic example of a pure endowment

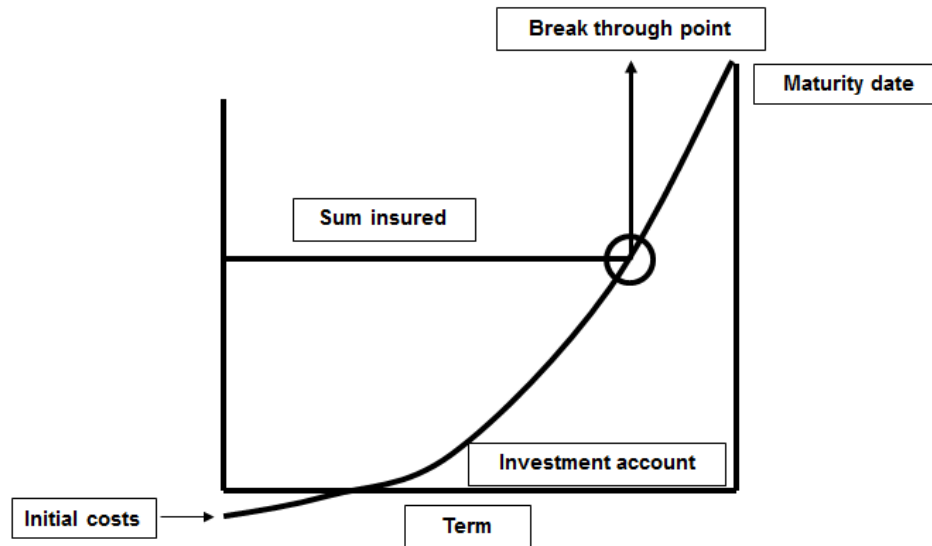


- Term determined at inception.
- No life cover.
- The investment account starts at zero and grows with bonuses added.
- The maturity value (investment account) is payable at the end of the term.
- At death, the value of the investment account is payable.

3.2.7 Endowment assurance

An endowment assurance policy combines life assurance that pays out at death and investment that provides growth. These policies are mostly with growth policies and provide the client with cover at death plus an investment return. The return depends on the bonus declared and the policy's term. The value of the investment account will be paid to the client at maturity and has nothing to do with the value of life cover. It is based purely on the value of the bonuses declared in a with-profits policy.

3.2.7.1 Graphic example of an endowment assurance



KO3: Analysing Universal Life Products to determine the cover

3.3 The universal life policy

In the 1980s, life insurers moved away from the old conventional type of life products and developed the “universal life policy”. This policy provided a combination of life cover (risk benefits) and a savings element. Pure endowment policies were no longer fashionable because of the increasing popularity of unit trust funds. To further their cause, unit trust funds started to use the slogan “buy term and invest the rest”. Life insurers countered this by becoming more innovative in their product design. The main reason for developing the universal life policy was that Life assurance did not want to lose out on the market share in the investment industry.

The “universal life policy” primarily consists of two components, namely a life cover and disability (risk) element and an investment element. In respect of a given premium, the policyholder can select the amount of risk cover (death and disability) he wants and how much of the premium is to be allocated to the policy's savings component.

The universal life policy provides the client with complete flexibility, whereby he invests in an investment account and receives the level of cover required. The client pays one premium to the assurance company. The premium is split into the following:

- the cost of life cover;
- the investment portion; and
- fees (commission to an intermediary, up-front expenses for underwriting, cost of issuing policy and general expenses to cover administration costs).

The cost of the life cover is calculated on a month-by-month basis and deducted from the investment account. The balance – fewer fees – is then invested on behalf of the client. The cost of life cover increases with age, as older people tend to get sick more often. Within the universal life policy concept, the cost of life cover decreases as the investment account grows. When the

investment account is higher than the amount of life cover required, no further premiums are required to be paid.

To ensure the policy owner has some degree of certainty in respect of his premium, most universal life policies have a guaranteed period, after which a renewal date is specified. At renewal, the policy owner is informed of the status of the policy and an increase in the premium may be required. Should the investment account not be able to provide adequate funding, the policyholder may need to either reduce the amount of life cover required or supplement the premium to cover the higher cost.

The policyholder can choose a position anywhere between:

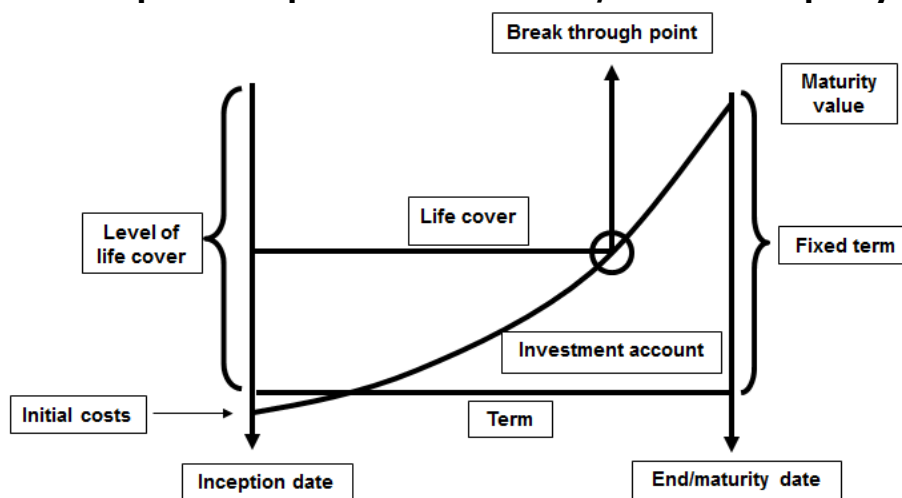
- minimum life cover where just about the entire premium is allocated to the savings element; and
- maximum risk cover where the risk element is as large as possible, with only a small portion of the premium allocated to the savings element.

The investment element of the policy increases annually.

Universal life-cover products are outdated, but many clients still own these products. A universal policy consists of a life cover (risk) portion and an investment (or savings) portion. Premium and cover levels are specified at the inception of the policy. The premium is higher than a normal whole-life policy, as a portion is allocated towards investment. The balance of the premium that is not directly attributable to funding the cost of the life cover and expenses is invested. A set amount of life cover is chosen. At any given stage, this set amount of cover includes the value of the investment account.

As the investment grows, less money is needed to provide for life-cover costs. If a person dies in the earlier years, he will be paid out the total life cover amount. However, at a certain time, the investment account eventually exceeds the value of life cover. It is called the breakthrough or breakout point. After that, if the life assured dies, the higher the value, the value of the investment account is payable. If the policy owner wants to terminate the policy, the investment portion will be available. These policies have a value, and the policyholder can take a loan or cash withdrawals. The client chooses an investment portfolio at inception and can switch investment portfolios while the policy is in force.

3.3.1 Graphic example of a universal life/ endowment policy



- Life cover and term are determined at inception.

- The life cover and investment account will be equal at the breakthrough point.
- At death, within the term, the greater of the life cover or investment account will be payable.
- The maturity value (investment account) will be payable if the life insured outlives the term.

These policies were popular at one stage because they delivered value on termination. Whole-life and term assurance policies provide no investment values; today, they are pure risk policies. In the past, clients wanted a return on their policies if they did not die within a particular period. However, how the life cover levels versus the investment portion were split and calculated was not transparent. Even if one asks an insurer to provide the split between the investment account and the cost of risk on a universal policy, their actuarial staff has to be asked to calculate this. Also, as investment policies became more sophisticated and offered more extensive ranges of investment portfolios, insurers developed specialist systems to cater for them. They separated the administration of risk-benefit policies (Life assurance and so on) into one system and administered the investment policies (endowments and sinking funds) under another system.

3.3.2 Pure risk products

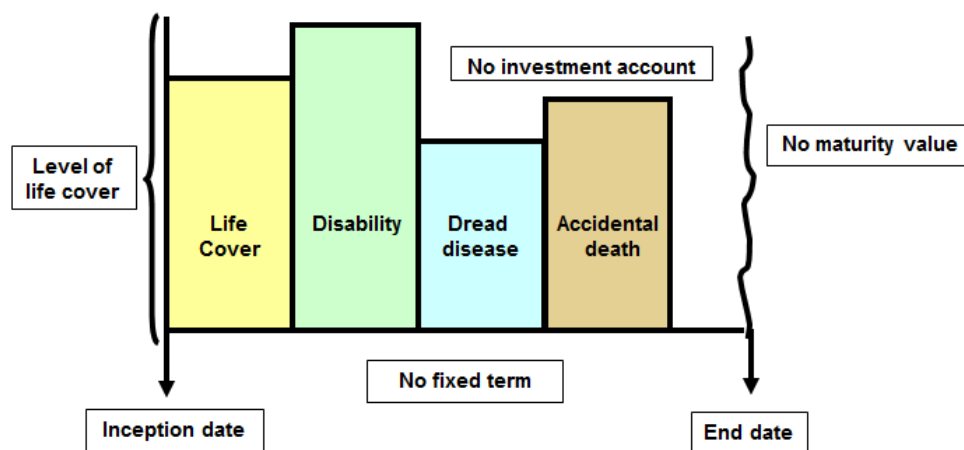
In the late 1990's new generation of pure risk, policies were developed. These new generation pure risk policies offer life cover and all the other risk benefits previously available as rider benefits¹⁹. These rider benefits have become more flexible. Examples of some of these new benefits are occupational disability benefits, which are no longer connected to the life cover, and functional impairment benefits, which are offered as an alternative to the traditional occupational disability benefits. These benefits cover an extensive list of impairments listed in the contract. A combination of disability and impairment cover can also be used.

Rider benefits can be accelerated or can be free-standing. Thus, it is now possible to get a free-standing disability cover, independent of the amount of life cover. If the policyholder becomes disabled and his disability claim is paid, his life cover stays intact without being reduced.

The new generation of risk products also allows more than one life to be insured per policy. Each life can be covered for a different amount.

Pure risk policies typically guarantee that premiums will not be increased for a guaranteed term. At the end of the guarantee term, the insurer has the right to increase the premium.

3.3.2.1 Graphic example of pure risk products



¹⁹ A rider is an addition to or qualification of the provisions of the policy.

3.3.3 Pure savings products

The new generation of pure savings and investment products is far more flexible. The policyholder can choose from a wide variety of investment portfolios.

KO4: Analysing Retirement Annuities to determine the structure

An RA is nothing more than a one-person pension plan. You apply to join an RA fund, which the Registrar approves of Pension Funds and the tax authorities.

No employer/ employee relationship is required to qualify for membership. RAs are the main savings vehicle for self-employed persons to accumulate tax-efficient retirement funds.

They are also popular as a top-up plan for salaried employees who belong to pension funds to close the income gap at retirement.

Smaller employers often choose RAs for their staff over traditional pension schemes, avoiding the administration and responsibility involved in operating the latter schemes.

The Income-tax Act defines a retirement annuity fund as follows:

“retirement annuity fund” means any fund (other than a pension fund, provident fund or benefit fund) that the Commissioner approves in respect of the year of assessment in question and, in the case of any such fund established on or after 1 July 1986, is registered under the provisions of the Pension Funds Act, 1956 (Act 24 of 1956); provided that the Commissioner may approve a fund subject to such limitations or conditions as he may determine, and shall not approve any fund in respect of any year of assessment unless he is in respect of that year of assessment satisfied—

(a) that the fund is a permanent fund *bona fide* established for the sole purpose of providing life annuities for the members of the fund or annuities for the dependants or nominees of deceased members; and

(b) that the rules of the fund provide—

- (i) for contributions by the members, including contributions made by way of transfer of members' interests in approved pension funds, provident funds or other retirement annuity funds;
- (ii) that not more than one-third of the total value of the retirement interest may be commuted for a single payment and that the remainder must be taken in the form of an annuity (including a living annuity), except where two-thirds of the total value does not exceed R50 000;
- (iii)
- (iv)
- (v) that no member shall become entitled to the payment of an annuity or lump sum benefit contemplated in paragraph 2 (1) (a) of the Second Schedule before reaching normal retirement age;

- (vi)
- (vii)
- (viii)
- (ix)
- (x) that a member who discontinues his contributions before his or her retirement date shall be entitled to–
- (xi) that upon the winding up of the fund a member's withdrawal interest therein must –
- (xii) that save–
- (xiii) that the Commissioner shall be notified of all amendments of the rules; and
- (c) that the rules of the fund have been complied with.

While retirement annuity funds do not require an employer/ employee relationship, they must nevertheless be a permanent *bona fide* fund established to provide annuities to members and their dependants.

Like pension funds, retirement benefits are restricted to a maximum lump sum of one-third, with at least two-thirds required to purchase an annuity.

Historically, the definition of retirement annuity funds contained lock-in provisions, whereby the member could not access any benefits before age 55, and then only a retirement benefit as contemplated above. Also, members could not belong to such a fund beyond 70.

On 22 July 2008, the Taxation Laws Amendment Act 3 of 2008 amended the definition of "retirement annuity fund" to provide that:

- the upper age limit of 70 be removed;
- where the entire benefit is less than an amount determined by the Minister (currently R7 000), the entire amount can be withdrawn as a lump sum;
- where the member is emigrating, the entire benefit can be taken as a lump sum (subject to exchange control); and
- where the retirement benefit does not exceed R75 000, the entire amount can be taken as a lump sum.

3.4.1 Some cautionary notes on retirement annuity funds

Many retirement annuity funds were established as underwritten funds. This means that the fund does not have its bank account, an insurer conducts the administration, and all investments are made under assurance policies. The administering insurer issues a policy to the member which sets out the terms of investments they are entitled to in the fund. The fund rules set out the membership terms and how benefits are paid.

Members of a retirement annuity fund do not always fully understand the relationship between a retirement annuity fund, the assurance company (which underwrites the policies and at the same time acts as the administrator of the fund), and the life insured (a member of the fund). The misunderstanding starts when a person becomes a member of a retirement annuity fund. The member is, at inception, asked to complete an application form for policy, and they then think they own the policy. The following further adds to this misconception:

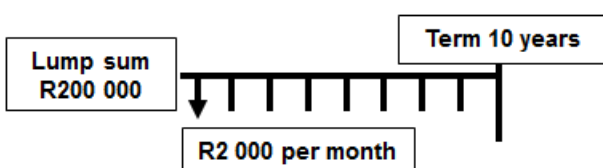
- In the marketing process, too, much emphasis is placed on the policy and very little, if any, on fund membership.
- In most cases, the member is given a document containing the policy's essential features (the contract is between the fund and the insurer) but not a copy of the fund rules. However, a summary of these rules is interwoven with the policy's salient features.
- Contributions are paid directly to the insurer and not to the fund.

The legal relationship between the parties to a retirement annuity contract must be fully understood. When a person applies for a retirement annuity policy (underwritten fund), the following happens:

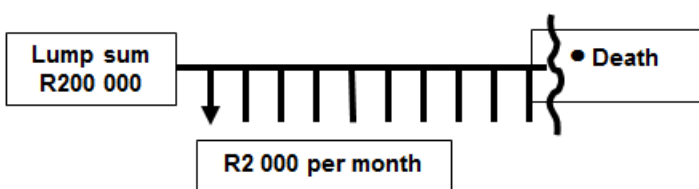
- the applicant applies for membership in the particular retirement annuity fund; and
- at the same time, they apply, on behalf of the fund, to the assurance company for a policy on their life.

As soon as the assurance company accepts the application for the policy, the life insured becomes a member of the fund. The fund owns the policy and is not owned by the member. The fund insures its responsibilities to the member with the policy. Therefore, the rules of the fund provide that the benefits offered by the fund are the same as those offered by the policy. Thus, referring to the member or life insured as the policy owner is wrong. The fund owns the policy.

3.4.2 Graphic example of a term certain annuity



3.4.3 Graphic example of a life annuity



3.4.4 Tax savings on retirement annuity products

You know that contributions to an RA are tax-deductible up to a specified maximum, but do you know that an RA may allow you to save tax in 10 different ways?

These tax concessions apply to all natural persons, including each married spouse, in their own right and are as:

- **Contributions are tax-deductible up to a certain maximum.** All contributions to pension, retirement annuity and provident funds can now be deducted from the individual's taxable income. The deduction is capped at a rate of 27.5% of the greater of remuneration and taxable income. In other words, if say, your total pension fund contributions for the year were R100 000, your taxable income was R200 000, and your remuneration was R300 000, then your deductions would have been limited to 27.5% of R300 000 (since R300 000 is greater than R200 000). Thus, your deductions would have been limited to R82 500.
- From our example above, you would notice that R17 500 (R100 000 - R82 500) were not allowed for a deduction in the relevant tax year. However, the deductions not allowed are carried over to the following tax year and deemed as contributions for that tax year. In other words, for the next tax year, your pension contributions were R100 000, your taxable income R300 000 and your remuneration R400 000. Thus, your allowed deduction would be $R400\ 000 \times 27.5\% = R110\ 000$. You only contributed R100 000, but now you can also deduct R10 000 of the R17 500 from the previous year, thus a total deduction of R110 000. The remaining R7 500 is now carried over to the following tax year.

- **Disallowed contributions can be carried over to the next year of assessment** and, if unused during the total contribution period, can be offset at retirement to increase the tax-free portion of the lump sum, the annuity or other income.
- **The inside build-up of the fund is currently taxed at 9%** on gross interest. It benefits anybody who pays income tax! If you have an all-equity RA, no tax will be paid on the build-up, as dividend income and capital appreciation are tax-free. It is like having a tax-deductible share portfolio. Currently, RA's are NOT subject to CGT.
- **Your lump sum on death or retirement is tax-free up to R550 000.**
- The balance of the tax-free lump sum is **taxed at very favourable rates.**
- Any benefits paid out by an annuity are free of estate duty on death. (This provides a planning opportunity for the wealthy estate owner to make a large single-premium contribution to an RA to reduce his or her estate for duty purposes.)
- If you leave your employer and receive a withdrawal benefit from your pension or provident fund, you can **preserve your retirement benefit by transferring it tax-free into an RA fund.**
- **At retirement, you can choose between a conventional or equity-linked living annuity.** Assuming your risk profile justifies the decision, by choosing the equity-linked living annuity, you can manage the income you receive (between 2.5% and 17.5% of the capital amount each year) and consequently manage your income tax position.
- Most people experience a big increase in medical expenses once they retire. Thankfully, once you have reached age 65, your medical expenses become fully tax-deductible. An RA can be used to **build up a tax-efficient fund for post-retirement medical expenses.** Although the annuity is fully taxable at retirement, to the extent it is used to cover medical expenses, it is deductible again. It is, therefore, in essence, tax-free.

Example: How Retirement Annuities Work

Say your non-pension-funded taxable income is R300 000 per year.

You can contribute a maximum tax-deductible contribution of 27.5% of this income or R82 500 per year or R6 875 per month.

Your marginal tax rate on this contribution is 35%. That is R2 406.25 per month.

This amount is what SARS is giving you back (by way of a tax deduction) for saving into an RA! Alternatively, if you look at it another way, for every R1 you invest, SARS is contributing 35 cents to your account.

Therefore, you contribute only R4 668.75 from your pocket (R6 875 less R2 406.25). The rest comes from SARS.

KO5: Analysing Investment-linked Products to determine the cover

3.5.1 What is an INVESTMENT-LINKED ASSURANCE PLAN?

An investment-linked plan is a life assurance plan that combines investment and protection. The premiums you pay provide you not only with Life assurance cover but part of the premiums will also be invested in specific investment funds of your choice. You can allocate your assurance premium towards protection and investment as a policyholder.

3.5.2 How does it work?

A portion of the premium payment is used to purchase units in the investment-linked funds managed by the assurance company. The protection coverage is provided by paying the risk charges via deducting units from the investment funds.

3.5.3 What are the main features?

- Low premium.
- Buy investment units in the fund of your choice.
- You have a choice of funds to invest in.
- Enjoy the benefits of Life assurance protection.
- Withdraw cash as and when necessary.
- You are allowed to switch from one fund to another.
- Option to top up the investment anytime.
- Assurance charges are deducted monthly from the units held.

3.5.4 How do I track the performance of my investment?

Your investment updates can be tracked in daily newspapers, such as Beeld and The Star. Look in the business section; you will see the Investment-Linked column.

3.5.5 Why should I buy the product?

The product allows you to participate in an investment scheme with only a small investment so that you:

- Have access to professional investment experts in the assurance company.
- Benefit from diversification through the spread of investments, which reduces the investor's risk exposure in case the value of some of its investments drops.
- Enjoy the benefit of assurance protection.
- Have flexibility in your investment through a top-up and switching.

3.5.6 Benefits of investing in investment-linked policies

As the investment performance of an investment-linked policy is directly linked to that of the underlying investment fund, it inherits all of the benefits and risks of an investment fund.

Compared with other life assurance products, an investment-linked policy's primary advantage lies in the potential return on investment and flexibility. This flexibility allows an appropriate assurance programme to be tailored to each policyholder. Some of the benefits are outlined as follows:

- a) **Wide Spectrum of Investment Choices:** The policyholder, in addition to the death benefit cover, will have the opportunity to devise his/ her investment portfolio based on the number of funds available to suit his/ her investment objective. The policyholder can design his/ her investment strategy and invest in the different investment funds offered by the assurance company to balance his/ her risk/return preference. He/ she can also choose to switch between different funds to fit his/ her own investment needs during different stages of his/ her life cycle or take advantage of the prevailing market condition.
- b) **Flexible Premium:** One of the most attractive features of investment-linked policies is that the policyholder has the option to vary the premium, that is, to increase or decrease the number of regular premiums to be paid, as well as to add top-ups to the policy from time to time. A flexible premium enables the policyholder to pay higher amounts when his/her cash flow is steady. Provided that the balance in the investment account is sufficient to cover fees and related investment charges, the policyholder can also reduce, or stop altogether, payment of premium in situations where his/ her cash flow is insufficient, e.g. when he/ she loses his/ her current job.
- c) **Variable Sum Assured:** Besides the flexibility of varying premiums, a policyholder can vary the sum assured. In the regular premium investment-linked policies, a policyholder can choose his/ her sum assured, within certain limits, for any given premium. After the completion of the contract, he/ she can still adjust the sum assured up or down (again within certain limits) according to his/ her new circumstances. Typically, such variations are subject to one change per year and underwriting requirements. Compared to traditional whole-life assurance, this is a convenient and lower-cost version that increases the sum assured. The reason is that most whole-life policies do not allow the increase of the sum assured; thus, a new policy will have to be issued for the additional amount.
- d) **Variable Death Benefit:** There are three standard options for the death benefit. The policyholder can choose a level death benefit option, an increasing death benefit option, or only 1% of the policy account value for the concept of Death benefits. It should be noted that a healthy and successful investment portfolio will increase the policy's death benefit in the long run.
- e) **Partial Surrender/Withdrawals Allowed:** The policyholder is usually allowed to withdraw for a specific minimum amount, provided that the remaining balance is sufficient to cover fees and related assurance charges. This withdrawal is achieved by cashing in the units necessary for the withdrawal amount. Compared to traditional life policies, the benefit of investment-linked policies is that the policyholder, in times of need, can withdraw units/cash from the policy without having to take out a policy loan where interest costs will be incurred or having to surrender the policy to obtain its cash value and thus losing the protection.
- f) **Capture the Benefits of Investing in Investment Funds:** A couple of apparent benefits from investing in investment funds include access to professional fund management expertise and a diversified portfolio through limited capital requirements.

KO6: Interpreting different supplementary benefits available with individual life policies

3.6 Supplementary benefits

Now that we understand the different types of policies available, we need to discuss the various options available to the client within the structure of life assurance. The reasons one client takes out life assurance may differ from those of another, and we must consider various supplementary benefits to satisfy each client's needs.

The various supplementary benefits include:

- a waiver of premium;
- capital disability;
- critical illness cover/ dread disease benefits;
- accident benefits;
- guaranteed insurability;
- funeral benefits;
- permanent health assurance;
- hospital cash plans; and
- major medical cover.

These benefits are available on most policies except the whole life policies, where the benefits fall away at 60 or 65. The supplementary benefit is not always an additional amount, but sometimes payment of the full benefit, for example, in the case of capital disability and dread disease. These supplementary benefits are designed predominantly to cover risk issues; if the benefits are not used, the client forfeits them. This way, the life assurer builds a reserve to pay out the clients who suffer loss. It is important to note that disability benefits are not paid out in the event of suicide, alcohol abuse, criminal acts, war or dangerous sports.

The trend is for consumers to buy death, disability and permanent health assurance separately, often in stand-alone policies, and use a different vehicle for savings.

Let us now discuss these supplementary benefits in more detail.

3.6.1 Waiver of premium

If the life assured becomes disabled, the waiver of premium benefit allows the policy to continue without any further premiums being paid. The premiums are not payable, or the assurer pays them on behalf of the life assured.

3.6.2 Disability cover²⁰

Traditional disability cover pays benefits to a person who is so disabled by illness or injury that he can no longer work and earn an income. Payment may be either a lump sum (sometimes called a capital disability benefit) or a monthly income benefit, depending on the contract's provisions. Benefits may be a temporary or permanent disability, as defined in the contract. Benefits may be provided under an individual or group scheme policy, for example, where an employer takes out a group disability policy to cover its employees. Some less expensive disability policies pay out only on the occurrence of the loss or the loss of the use of, for example, limbs, eyes or ears.

²⁰ Nienaber and Reinecke: Life assurance in South Africa: A Compendium. 364. LexisNexis

Impairment cover is the term used to describe a “new generation” form of disability product. Benefits are paid if an insured suffers from one or more of a list of defined medical conditions and specified degrees of impairment or inability to perform specified daily life activities rather than according to whether the person can work. Therefore, the ability or inability to work and earn an income is not relevant in impairment products.

Some insurers have, in recent years, developed new products for disability cover, which aim specifically to depart from the traditional definitions of the ability to perform any occupation. Benefits are paid if an insured suffers from one or more of a list of defined medical conditions and specified degrees of impairment (sometimes structured in tiers of benefits according to the phase of the disease) or inability to perform specified activities of daily living rather than according to whether the person can work. Such cover is termed impairment cover. A selling point is that it is supposedly clear from the outset what conditions are covered. Suppose the insured suffers one of the defined conditions, which usually covers all the bodily systems. In that case, he can rely on payment according to the degree of impairment defined in the policy and does not have to prove that he cannot carry on his own or a similar occupation.

When deciding on a particular type of disability product, or when a policy owner adds this benefit as an ancillary benefit to a policy, he must understand exactly how that particular disability event is defined. Each insurer has its definition of disability, and different definitions apply to different products. For example, some product benefits are related to occupational disability, i.e., the insured's ability to perform an occupation. Another product may cover disablement from the perspective of performing daily living tasks, not the ability to work. A client could own more than one disability policy and become disabled and only qualify for benefits in terms of the definition of one of the policies. If the definitions of the various types of disability are misunderstood, the policyholder can falsely believe that all his disability risks are covered.

There are three primary forms of disability cover available:

1. Occupational disability;
2. Functional disability; and
3. Physical disability.

Various combinations of the above types of disability cover have been packaged into different products, such as a comprehensive disability benefit by the different insurers.

3.6.3 Occupational disability

Two main types of disability benefits fall under occupational disability:

1. The monthly income protection policy; and
2. Capital disability benefit.

3.6.4 Monthly income protection disability benefits

Features

- The cover is in the form of a monthly benefit.
- Income disability benefits are available as stand-alone benefits.
- Benefits are payable in the event of total, partial or temporary disablements.
- A choice of waiting periods is available (depending on the insurer and the client's occupation), and these can range from seven days to two years, but one- and three-month waiting periods are most common.
- The term and level of disability cover are determined at inception, and benefits must relate to the insured's earnings (specific maxima may apply).

- If the life insured outlives the term, the policy will cease.
- A client has a choice of level or escalating-cover patterns.
- The level cover is less expensive than the escalating cover.
- Premiums can be paid monthly or annually.
- The client has a choice of level or escalating premium patterns.
- An escalating premium is more affordable at the inception of the policy.
- Annual increases, called an escalator, in the benefit may be selected so that once a person receives the disability benefit, it remains in line with inflation.
- Premium levels may vary depending on the waiting period chosen, the level of cover, and the insured's occupation.
- Ongoing health reviews will be requested.
- The benefit may reduce after two years, depending on the product.
- Premium payments towards the disability benefit must continue during the waiting period. Once the income benefit starts, the premiums will no longer be paid towards the benefit.
- Benefits are taxed as income.

Benefits

- Provision of a regular monthly income payment if the insured event occurs within a specified term.
- Benefits are payable in the event of total, partial or temporary disablement.
- The payment will commence once the waiting period has expired.
- If the policy has an escalator, disability benefit levels will increase each year.

Cost

The monthly income disability benefit product is more expensive than other disability products, as it is the most comprehensive. It covers total, partial, and temporary disablement and may be payable for decades, depending on the insured's age. It offers the best benefits to clients in terms of disability cover.

Term

The fixed term usually expires at the insured's selected normal retirement age.

Eligibility

Each insurer will provide the age limits and underwriting requirements for these products. Due to underwriting requirements, specific individuals may not be eligible for life cover due to their state of health.

3.6.5 Lump sum/capital disability benefits

Features

- The disability cover amount will be payable on the disablement of the client in terms of the relevant requirements of the product provider concerned.
- Lump-sum disability benefits are usually available as stand-alone or accelerators to a stand-alone life cover benefit.
- The level of life cover is determined at the policy's inception.
- A client has a choice of cover patterns. The cover can either be levelled or escalated.
- The level cover is less expensive than the escalating cover. The policy's cover increases each year as the company's risk increases.
- Premiums can be paid monthly or annually.

- The client has a choice of premium patterns. The premiums can either be levelled or escalated.
- An escalating premium is more affordable at the policy's inception. The policy owner's income is expected to keep pace with inflation, so the premium increases every year would be affordable.

Benefits

- The cover is in the form of a lump sum.
- Benefits are payable only in the event of total and permanent disablement.
- Benefits are often attached to a life cover policy.
- The client must survive a 6-month waiting period before receiving payment of the disability benefit. The reason why waiting periods are imposed is to make it clear from the insurer's point of view that the disability is, in fact, total and permanent.
- If the life insured outlives the term, the policy will cease.
- Payments are often made in 60 equal instalments.
- Benefits often taper in the five or ten years before retirement age; if a five-year tapering applies, the sum assured is reduced by 20% per year, and when a 10-year tapering applies, benefits are reduced by 10% each year.
- Lump-sum payments are fixed and certain and accrue tax-free to the assured.

Cost

The premium (and therefore the cost) is determined based on the insured's risk factors, such as age, smoking habits, gender, income, and occupation.

Term

The contracts run for a particular term up to the selected retirement age, which is a maximum of 65 years. Most contracts contain a guarantee period for the payment of premiums. During the guarantee period, the premium level remains constant. After the guarantee period, the premiums can be reviewed.

Eligibility

Each insurer will provide the age limits and underwriting requirements for these products. Due to underwriting requirements, specific individuals may not be eligible for life cover due to their state of health.

3.6.6 Definitions of occupational disability

Following are examples of the typical definitions of disability that apply mainly to capital disability and income protection policies. It must be emphasised that this is not a complete list, as there are variations to these definitions within the industry.

- **Own occupation disability (OOD):** This benefit will become payable if the insured, as a result of injury, disease or surgical illness, is, and has been for a period of not less than the waiting period, totally and permanently (or, in the case of income protection benefits, also partially or temporarily) incapable of performing the functions of his own occupation. Under this definition, the details of the insured's particular occupation must be recorded at the outset. Not all occupations will be eligible for cover.
- **Own or similar occupational disability (OD):** This benefit will become payable if the life insured, as a result of injury, disease or surgical illness, is, and has been, for a period not less than the waiting period, totally and permanently (or in the case of income protection benefits, also partially or temporarily) incapable of performing the functions of his own occupation, or a similar occupation, and any other occupations for which he may be qualified due to his knowledge, training and expertise.

- **Any occupation:** This benefit will become payable when a state of total disability exists, where the life insured, as a result of injury, disease or surgical illness, is totally and permanently (or, in the case of income protection benefits, also, partially or temporarily) incapable of performing the functions of any occupation. Evidence of total disability may be the loss of both hands or feet or total and permanent blindness.

In terms of policies which provide monthly income benefits, the same definitions may apply.

However, there are two main differences:

- a. Income-benefit policies offer different waiting periods (between disability event and benefit payment).
- b. Benefits under income policies are payable in the event of temporary and/or partial disability and total disablement.

3.6.7 Functional disability

Functional disability refers to the level at which an individual can perform daily tasks, e.g., bathing, dressing, going to the toilet, and feeding himself. This benefit is payable after a set waiting period and only pays if the insured is permanently prevented from performing ordinary actions and functions concerning his care or personal affairs. This type of benefit is usually calculated on a points scale, where the inability to perform specific tasks is linked to a specified number of points, determining the level of benefit paid.

Example:

Lebo has had a stroke and is partially paralysed. She cannot dress, feed or bathe herself. These inabilities will be rated according to a functionality scale, which will be applied to the sum assured to determine how much she will be paid out.

3.6.8 Physical disability

Physical disability refers to the insured suffering from an actual physical impairment, e.g. loss of use of one or more limbs or senses. It can include paraplegia, blindness, loss of limbs, burns, deafness and facial disfigurement. Benefits are payable on a severity scale, up to 100% of the sum assured selected.

Physical and functional impairment policies are cheaper than capital disability policies. Many insurers now offer a combination of these benefits so that the client is covered for partial and total disablement.

3.6.9 Critical illness cover²¹

Also known as dread disease cover, trauma cover, living benefits, or survival benefits, critical illness cover compensates an insured suffering a significant setback in health through severe illness or trauma, which has a significant impact on his quality of life and possibly life expectancy and often results in financial difficulties. The cover is for a limited number of health events clearly defined in the policy. This cover may be sold as a stand-alone product. Still, the common situation is that it is sold with basic life (death) cover and is often an accelerated payment of the basic sum insured or part thereof. So, for example, an insured with critical illness cover for cancer may, if his diagnosis falls within the definition of cancer in the policy, be paid out in life the sum insured that would otherwise only have been payable on his death.

²¹ Nienaber and Reinecke: Life assurance in South Africa: A Compendium. 366. LexisNexis

When first introduced in South Africa in the 1980s, this cover was only for heart attack, stroke and cancer. Still, subsequently, the range of conditions covered by products in the marketplace has been considerably extended to conditions such as renal failure, motor neurone disease, blindness, total deafness, multiple sclerosis, Parkinson's disease, Alzheimer's disease and others, and also to the undergoing of specific surgical procedures such as coronary bypass surgery, heart valve replacement, organ transplant, angioplasty, and so on. Tiered structures have also been introduced, allowing less than 100% payments for less severe or incremental payments as conditions deteriorate.

Diseases and medical condition categories include (this list varies from insurer to insurer):

- Cancer and Leukaemia;
- Cardiovascular system;
- Cerebrovascular incident (stroke);
- Multiple sclerosis;
- Motor neurone disease;
- Parkinson's disease;
- Alzheimer's disease and progressive dementia;
- Other central nervous system disorders;
- Renal failure;
- Respiratory failure;
- Chronic liver failure;
- Aplastic anaemia;
- Inflammatory bowel disease;
- Chronic pancreatic disease;
- Muscular dystrophy;
- Paralysis;
- Systemic lupus erythematosus;
- Rheumatoid arthritis;
- Loss of hearing;
- Loss of sight;
- Traumatic brain injury;
- Coma;
- Major burns;
- Loss of and loss of use of limbs;
- Accidental HIV infection; and
- Advanced AIDS.

The dread disease product can either be bought as a stand-alone option, or it may be added to an existing life policy. Insurers also offer a choice between a basic or comprehensive list of illnesses covered. The benefit will be paid out on a diagnosis, subject to the product-specific rules of the particular insurer. The benefit level paid for a claim in a specified category will also depend on the severity suffered. The policyholder may select structure variations to these benefits; the more comprehensive the cover is chosen, the more expensive the benefit will be.

As this is not Indemnity assurance, it is designed to supplement a person's medical scheme cover, not replace it.

Features

- Benefits are available as stand-alone or an accelerator to a death benefit.
- Benefits range from a core to a comprehensive and/or childhood illness cover.
- The benefit is available to cover the client for life or a particular term.
- The dread disease/ severe illness cover can be level for the duration of the benefit term or have an escalation built into it. This scheduled increase will result in the cover increasing on an annual basis. This escalation is useful when the client wants to ensure that the cover amount keeps its value and keeps pace with inflation.
- The client can choose the premium pattern, which can be level or increased annually.
- The client has several benefit and structure options.
- The benefit will cease either when the policy's expiry date has been reached (where applicable), when the sum assured has been exhausted, or when the life assured dies.

Benefits

- Payment of a claim will be made on the policy schedule's occurrence or diagnosis of a disease or medical condition.
- Payment levels will depend on the severity of the disease or medical condition, and progressive payments can be claimed for up to 100%) of the sum assured.
- The cover proceeds can address any lifestyle adjustments required due to the severe illness or in any other way that the policyholder chooses.
- The benefit proceeds accrue tax-free to the insured.
- Certain dread diseases/severe illnesses have a set waiting period of between 14 and 30 days. It means that the client would need to survive for this period without life support after suffering a severe illness to claim. Life support, in general terms, is the use of machines or electronic equipment in hospitals to keep someone who has suffered heart or lung failure alive. The reason for imposing a waiting period is to ensure that the insurer pays out the correct benefit, whether for dread disease or death.

Eligibility

- All lives are eligible, subject to underwriting and age limit requirements.
- Where the dread disease benefit is sold as an accelerator to a stand-alone death benefit, the value of the dread disease benefit cannot exceed the value of the death benefit.

3.6.10 Accident benefits

Accident benefits payout in an accidental injury, such as a motor vehicle accident. The benefit may be as much as the sum assured or part thereof. Sometimes, this benefit also covers serious injury, such as losing a leg due to an accident.

3.6.11 Guaranteed insurability benefit

This benefit entitles the insured to buy additional life coverage, not exceeding the existing life cover, without proof of medical health. However, should the life assured have Aids, for example, the life office will cancel all future policies.

3.6.12 Funeral benefits

There are legal limits on the amount of cover that can be bought for children:

- Child under the age of six – a maximum of R20 000; and
- Child between the ages of six and 14 – a maximum of R50 000.
- For anyone older than 14, insurers apply their cover limits.

This benefit is paid out as soon as the life assured dies. The cover may benefit the life assured or his immediate family.

3.6.13 Permanent health assurance

If serious illness prevents him from working, permanent health assurance benefits are paid to the life assured. The life assured receives a monthly payment restricted by the amount of his salary. Limitations are placed on the amount of these benefits by ASISA to minimise abuse. The limits are 75% of the assured's monthly taxable earnings before the claim or, if a lump sum is paid, no more than 90 times the assured's monthly taxable earnings immediately before the claim. There is a provision for monthly payments to increase annually at the same rate as the Consumer Price Index (CPI). Depending on the conditions stipulated in the original documentation, a waiting period is between 7 days and 24 months before payment is made.

3.6.14 Hospital cash plans

Each life company has its product with its own different set of rules, but the basis of hospital cash plans is to provide the insured with a daily amount while in hospital. Most plans include the hospitalisation of dependents. These plans do, however, have several exclusions that must be noted, namely –

- Pre-Existing conditions for the first two years;
- Aids and other sexually transmitted diseases;
- maternity confinement;
- cosmetic surgery;
- hospitalisation due to abuse of alcohol and drugs; and
- attempted suicide and self-inflicted injuries.

3.6.15 Major medical cover

Due to the high cost of medical care and medical aid contributions, the assured may take out additional assurance to cover his shortfall. This benefit is not linked to the life cover and is seen as separate. Payment of the benefit cannot be linked to the actual cost of the medical treatment, as that cost is the responsibility of the medical aid.

3.6.16 Credit life assurance

A credit life assurance policy pays the outstanding debt of a loan in the event of the debtor's death.

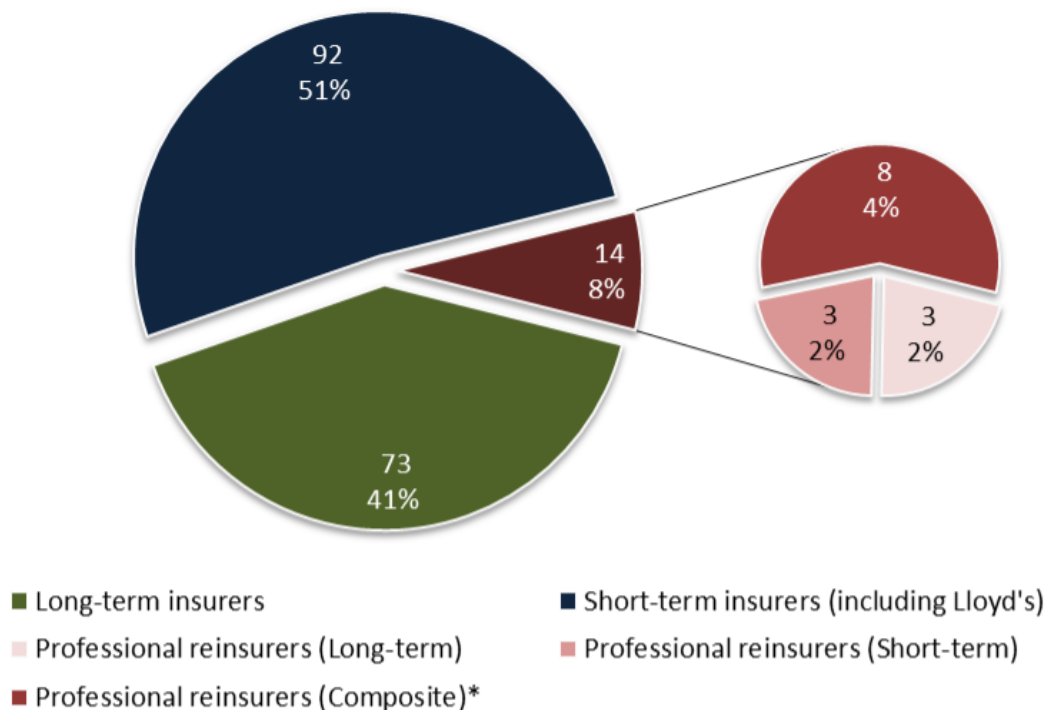
The premiums are slightly lower than decreasing life assurance, as no individual policies are issued.

These policies do not have an age limit, and proof of health is not required. Claims are paid directly to the finance company. This type of assurance has become popular in vehicle finance.

KO7: Analysing Long-term reinsurance products to determine the cover

The reinsurance market

- **Participation in the reinsurance market.** Participation of foreign insurers in the South African market will be broadened by allowing them to operate on a branch basis, thereby improving reinsurance capacity, competition and the spread of reinsurance risk. A new framework will replace the "approved" and "non-approved" reinsurance currently applicable to cross-border business with foreign reinsurers. Different prudential requirements will apply to locally incorporated reinsurers, branches of foreign reinsurers, and Lloyd's to reflect their different prudential risks. The treatment of reinsurance for the solvency assessment of a cedant (re)insurer will also differ depending on whether a business is conducted with a locally incorporated reinsurer, branch of a foreign reinsurer, Lloyd's, or with a foreign insurer on a cross-border basis, to create a level playing field that reflects the different prudential risks that arise from different modes of reinsurance.
- **I am conducting a reinsurance business.** No composite reinsurers will be allowed. To avoid fronting, there will be a maximum limit that any insurer or reinsurer may retrocede to another insurer or reinsurer. Linked assurance will not be allowed to be reinsured.
- **Governance, Capital adequacy and Reporting.** Specific requirements for governance, capital adequacy and reporting will be applied to branches of foreign reinsurers and Lloyd's South African representative office.
- **Treatment of reinsurance for solvency assessment of direct insurers.** For the financial soundness calculation, the credit rating of the reinsurer will be adjusted depending on the form of the reinsurance used to:
- **Create a level playing field** for locally incorporated reinsurers by adjusting the sovereign cap on their credit ratings and
- **Adjust the measure used to assess the risks** arising from reinsurance arrangements entered into with foreign (re)insurers to capture a supervisory assessment of the prudential risks and externalities, depending on whether the business is conducted through a branch operation or on a cross-border basis.
- **Reinsurance contracts.** The allowance in the prevailing legislative framework for "pay-as-paid" clauses will be removed.
- **Transparency and accessibility of information.** Reporting of the use of reinsurance will be more granular under the SAM framework
- **IFRS & Tax.** Given the various governance and risk management frameworks that branches will require, a branch's tax residency is expected to be in South Africa, and financial accounts based on IFRS will need to be filed together with a South African tax return.

Figure 2.1.1 Number of insurers conducting re(insurance) business

*For the composite reinsurers, the number includes Life and Non-life licenses as separate counts (Thus, there are 4 composites with 2 licenses each which give a count of 8 in the above graph)

A Q&A guide to assurance and reinsurance in South Africa²².

The Q&A gives a high-level overview of the market trends and regulatory framework in the assurance and reinsurance market; the definitions for a contract of assurance and a contract of reinsurance; the regulation of assurance and reinsurance contracts; the forms of corporate organisation an insurer can take; and the regulation of insurers and reinsurers, including regulation of the transfer of risk. It also covers operating restrictions for assurance and reinsurance entities, including authorisation/licensing requirements; reinsurance monitoring and disclosure requirements; content requirements for policies and implied terms; assurance and reinsurance claims; insolvency of assurance and reinsurance providers; taxation; dispute resolution; and reform proposals. Finally, it provides websites and brief details for the main assurance/reinsurance trade organisations in South Africa.

Market trends and regulatory framework

1. What were the main trends in the assurance and reinsurance markets over the last 12 months?

Assurance

South Africa's assurance industry has become and will continue to be a highly regulated market. Following European regulatory trends, South Africa will create two regulators, a prudential and a market conduct regulator. These regulations will be created by enabling legislation still to be passed. The economic downturn has consolidated and shrunk the assurance and intermediary markets.

²² [https://uk.practicallaw.thomsonreuters.com/1-505-2026?transitionType=Default&contextData=\(sc.Default\)&firstPage=true&bhcp=1](https://uk.practicallaw.thomsonreuters.com/1-505-2026?transitionType=Default&contextData=(sc.Default)&firstPage=true&bhcp=1)

Reassurance

The South African assurance and reinsurance industry is highly developed and sophisticated. Many international reinsurers have offices in South Africa, and Lloyd's of London has a strong presence in the market. There is competition from local insurers who carry on the reinsurance business and take a bigger share of the reinsurance market.

Over the past 12 months, the assurance regulator has focused on projects that will result in greater regulation of reinsurers.

For details of current and future reforms, see Question 36.

2. What is the regulatory framework for assurance/reassurance activities?

Regulatory framework

The assurance industry in South Africa, including short-term and long-term assurance and reinsurance, is governed primarily by the:

- The Short-Term Insurance Act 1998 (STIA) regulates the non-life indemnity industry. It covers risk-based insurance for assets, accidents, health, and liability.
- The Long-Term Insurance Act 1998 (LTIA) regulates the life industry. It covers mainly life and investment products.

The STIA and LTIA regulate insurers' and reinsurers' activities and outline market conduct, reporting, liquidity, and capital requirements.

Also, certain specific types of business are regulated by specific statutes, including the:

- Medical Schemes Act 1967 (MSA) regulates the health business by providing money to pay medical expenses.
- Pension Funds Act 1956, which regulates retirement benefits.
- Unemployment Assurance Act 2001, which regulates unemployment assurance.
- Compensation for Occupational Injury and Diseases Act 1993 regulates compensation for disease and injury arising during employment.
- Road Accident Fund Act 1996 covers road accident victims (within limits).

Regulatory bodies

The STIA and LTIA establish the Commissioners' offices of short-term and long-term assurance. The Financial Sector Conduct Authority (FSCA) executive officer appoints each Commissioner. The Commissioners, through the FSCA, are responsible for regulating the assurance industry.

The FSCA supervises the solvency reporting requirements and regulates insurers and reinsurers. Its website (www.fsc.co.za) provides regulatory and statutory information.

The FSCA does not regulate or supervise the entire assurance group that has an assurance subsidiary authorised in South Africa as a member, but the regulation of the subsidiary entails some reporting requirements and accountability for the group's activities, solvency, and financial support.

The regulatory bodies will change with the passing of the Financial Services Regulation Bill. It will make the South African Reserve Bank the prudential regulator and form a market conduct regulator from the FSCA's market conduct departments.

The Financial Advisory and Intermediary Services Act 2002 regulates the advice and intermediary services of insurers and their intermediaries.

Regulation of assurance and reinsurance contracts**3. What is a contract of assurance for the law and regulation? How does it differ from a contract of reinsurance?****Contracts of assurance**

Assurance in South Africa is undertaken through an assurance contract. An assurance contract is reciprocal: in exchange for premiums paid by an insured, the insurer undertakes to pay the insured a benefit on the occurrence of a specified event.

A short-term policy under the Short-term Insurance Act (STIA) can be one of or a contract combining any of the following (including contracts to renew or vary the policy):

- An engineering policy.
- A guaranteed policy.
- A liability policy.
- A miscellaneous policy.
- A motor policy.
- An accident or health policy.
- A property policy.
- A transportation policy.

A long-term policy under the Long-term Insurance Act (LTIA) can be one of, or a contract combining, any of the following (including contracts to vary):

- An assistance policy.
- A disability policy.
- A fund policy.
- A health policy.
- A life policy.
- A sinking fund (investment) policy.

Since 1998, the assurance contract has become more consumer-friendly. For personal lines contracts (that is, short-term contracts that relate to insurance of individuals rather than businesses), the Policyholder Protection Rules (PPR) specify how the policy must be presented to the policyholder to make it more accessible (for example, a personal lines policy must be in plain language); see Question 18.

Contracts of reinsurance

A short-term reinsurance policy is "a reinsurance policy in respect of a short-term policy".

A long-term reinsurance policy is "a reinsurance policy in respect of a long-term policy".

Therefore, assurance and reinsurance are regulated similarly. A specific licence is required to do reinsurance business. Reinsurance by offshore reinsurers is regulated by increasing capital adequacy requirements for locally unsecured reinsurance.

4. Are all contracts of assurance/reassurance regulated?

The Short-term Insurance Act (STIA) and the Long-term Insurance Act (LTIA) regulate all contracts of assurance and reinsurance of any assurance business carried out in South Africa (see Question 3).

Specific statutes regulate certain specific types of business (see Question 2, Regulatory framework).

Contracts such as vehicle maintenance contracts, car hire damage waivers, guarantees provided by the manufacturer or seller of goods and hedging contracts fall outside the scope of regulation.

Corporate structure**5. What form of corporate organisation can insurers take?**

The Commissioner will only grant a licence to an entity to carry on assurance business in South Africa as an insurer/reinsurer if the applicant is a public company incorporated in South Africa (Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA)).

The company's main object must be to carry on short-term or long-term assurance business.

A licence to carry on assurance business in South Africa will not be granted to branches of foreign insurers. However, insurers and reinsurers can be 100% subsidiaries of foreign insurers.

Regulation of insurers and reinsurers**6. Are all insurers and reinsurers regulated? Are they all regulated in the same way?**

The Financial Sector Conduct Authority (FSCA) regulates insurers and reinsurers in the same way under the Short-term Insurance Act (STIA) and the Long-term Insurance Act (LTIA).

See Question 2 for the regulation of other assurance forms, such as medical schemes.

Regulation is the same for both insurers and reinsurers. The STIA and LTIA prohibit any person from carrying out assurance or reinsurance business in South Africa unless they are registered to do so (see Question 9) or exempted because they are regulated under other statutes.

Lloyd's has a locally appointed representative in South Africa. The STIA contains a specific section dealing with Lloyd's, which:

- Establishes a trust fund to back its assurance activities in South Africa.
- Regulates the conduct of business by Lloyd's underwriters in South Africa through local cover holders as if its underwriters were registered as insurers in South Africa.

7. Can insurers and reinsurers carry on a non-assurance business? Are there any restrictions on their business activities?

Insurers and reinsurers can carry on a non-assurance business that is ancillary to their main business. Separate assurance entities, which are also licensed, carry on life and non-Life assurance businesses.

The main business of the entity must be to provide assurance. Registration may be refused if the stated business of the company includes business contrary to the public interest or policyholder interests.

8. Are there any statutory limits or other restrictions on, or requirements relating to, the transfer of risk by assurance or reinsurance companies?

Generally, there are no statutory limits or restrictions relating to the transfer of risk by an assurance or reinsurance company, provided that, where the insurer or reinsurer retains the risk, it ensures

that it always remains financially sound and solvent as required by the Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA).

Restrictions can exist at the registration stage under which the Commissioner can require the insurer to:

- Reinsure a proportion of its liabilities.
- Limit the scope of its licence.

Operating restrictions

Authorisation or licensing

9. Does the entity or person have to be authorised or licensed?

Assurance/reassurance providers

The requirements for registration as an insurer or reinsurer are set out in Part II of the Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA) (as applicable).

An entity cannot conduct any kind of long-term or short-term insurance business in South Africa unless registered to do so.

To register, an application must be made to the appropriate Commissioner at the Financial Sector Conduct Authority (FSCA), using the application form published by the Commissioner and made available on its website (www.fsca.co.za).

The entity must provide details of the following to the Commissioner:

- Shareholders.
- Directors.
- Management.
- Nature of business.
- Projections.
- Financial resources.

The Commissioner has the discretion to impose conditions on the registration of the insurer or reinsurer, where appropriate.

Assurance/reassurance intermediaries

If a person is providing "intermediary services" as defined in the Financial Advisory and Intermediary Services Act 2002 (FAIS Act), that person must be either:

- Registered as a financial services provider (FSP).
- A representative of an FSP.

Intermediary services include financial advice and services relating to entering into products, dealing with funds and handling claims.

It is an offence to provide intermediary services and not be registered under the FAIS Act.

Other providers of assurance/reassurance-related activities

See Question 2.

There are no requirements for other providers of other assurance and reinsurance-related activities such as consultants or claims adjusters. If any insurer outsources functions that it would otherwise provide (such as administration or claims handling), it must do so in terms of the FSCA's outsource directive.

The entities carrying on the assurance-related activities referred to in Questions 2 and 10 are statutorily regulated.

10. What are the main exemptions or exclusions from authorisation or licensing?**Assurance/reassurance providers**

The following are exempted from the Long-term Insurance Act (LTIA) and Short-term Insurance Act (STIA) licensing because they are otherwise regulated:

- Pension and other retirement funds.
- Medical schemes.
- Agricultural Co-operatives.
- The government's Unemployment Assurance Fund.
- The Land Bank.
- Banks providing bank guarantees.

Assurance/reassurance intermediaries

No exemptions or exclusions apply (see Question 9, Assurance/reassurance intermediaries).

Other providers of assurance/reassurance-related activities

Claims handling and similar services do not require licensing or registration, but these activities can only be performed in regulated agreements with registered insurers complying with outsourcing regulations and directives. However, if intermediary services are being rendered, then register as an intermediary is required (see Question 9, Assurance/reassurance intermediaries).

Restrictions on ownership or control**11. Are there any restrictions on the ownership or control of assurance-related entities?****Assurance/reassurance providers**

There are no specific requirements concerning the ownership or control of assurance or reinsurance companies. There is no restriction concerning the identity or domicile of a shareholder in a locally registered assurance or reinsurance company. However, the following rules apply:

- Approval from the Commissioner is required where a shareholder wishes to acquire more than a 15% shareholding of an assurance or reinsurance company (see Question 12, Assurance/reassurance providers).
 - Exchange control approval may be required for foreign shareholders to repatriate profits.
 - The acquirer must have sufficient capital.
 - The owners, directors and managers must be fit and proper persons to do assurance business.

Assurance/reassurance intermediaries

There are no specific restrictions or authorisations concerning the ownership or control of foreign entities or shareholders in local entities providing marketing of assurance or reinsurance services.

Any local or foreign entity providing an intermediary service or giving financial advice in South Africa, as defined in the Financial Advisory and Intermediary Services Act 2002, must be licensed as a financial services provider (see Question 9, Assurance/reassurance intermediaries). Intermediaries must show they are competent, fit and proper, with integrity, and financially sound.

Other providers of assurance/reassurance-related activities

See above, Assurance/reassurance intermediaries.

12. Must owners or controllers be approved by or notified to the relevant authorities before taking, increasing or reducing their control or ownership of the entity?**Assurance/reassurance providers**

Approval by the Commissioner is needed for a shareholder to acquire a shareholding of more than 15% or any controlling interest in an assurance or reinsurance company (see Question 11, Assurance/reassurance providers). Any changes in shareholding must be notified to the Commissioner, who has the discretion to refuse or regulate those changes.

The Commissioner may object to a particular person acquiring more than a 15% shareholding if, at its discretion, it believes the influence of the person is either:

- Not in the interests of the public or the policyholders.
- Prejudicial to the insurer.

Assurance/reassurance intermediaries

Changes in the key individuals of authorised intermediaries must be notified to the Financial Sector Conduct Authority (FSCA).

Other providers of assurance/reassurance-related activities

Competence and integrity requirements are statutorily imposed for pension funds and medical schemes.

Ongoing requirements for the authorised or licensed entity**13. What are the key ongoing requirements with which the authorised or licensed entity must comply?****Assurance/reassurance providers**

Under the Short-term Insurance Act (STIA) and the Long-term Insurance Act (LTIA), to maintain an assurance or reinsurance licence, the business must:

- Be maintained in a financially sound condition.
- Possess sufficient assets.
- Provide for liabilities.
- Ensure liabilities can be met at all times without falling below capital adequacy requirements.
- Continue to have the integrity and operational ability demonstrated at the time the licence was granted.

It means that insurers and reinsurers must have assets in South Africa, the aggregate value of which on any given day is at least the aggregate value of its liabilities on that day. The STIA and

LTIA provide for the type and spread of assets the insurer must hold and contain provisions concerning valuation and capital adequacy.

Insurers cannot, without the consent of the Commissioner:

- Allow their assets to be held by others.
- Encumber their assets with security interests.
- Provide security unless licensed to do so under a guarantee policy.
- Invest in derivatives other than those stipulated in the STIA and LTIA.

Insurers and reinsurers must also ensure that they maintain their financial services provider (FSP) licence in compliance with the FAIS Act's terms if they provide financial advice (see Question 11, Assurance/reassurance intermediaries).

Assurance/reassurance intermediaries

A business must comply with licence requirements under the Financial Advisory and Intermediary Services Act 2002 and its Code of Conduct if it provides intermediary services.

FSPs must ensure that they:

- Are financially sound.
- Are competent to provide the services.
- Act with integrity.

Other providers of assurance/reassurance-related activities

See above, Assurance/reassurance intermediaries.

There are no additional ongoing requirements for other providers of other assurance and reinsurance-related activities (such as for consultants, claims adjusters or third-party administrators), except that outsourced service providers must continue to fulfil the requirements of the outsourcing agreement throughout its term.

Penalties for non-compliance with legal and regulatory requirements

14. What are the possible consequences of an entity failing to comply with applicable legal and regulatory requirements? What recourse do policyholders have if they have done business with a non-approved entity?

Assurance/reassurance providers

Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA). The STIA and LTIA specify the offences and penalties for non-compliance with statutory requirements. Non-compliance includes:

- Not providing the Commissioner with specific information or documentation.
- Failure to maintain a financially sound condition.

Fines range between ZAR5 million and ZAR10 million.

If an insurer or reinsurer operates without a licence, it can be fined ZAR10 million.

The policyholder can enforce a policy with the assistance of the regulator even if the entity or contract does not comply with the law.

Financial Advisory and Intermediary Services Act 2002 (FAIS Act). For financial services providers (FSPs), non-compliance with the terms of the FAIS Act can result in either or both of:

- A fine of ZAR10 million.
- Imprisonment.

In extreme cases, the FSP can be punished with the loss of the FSP licence.

FSPs are liable for damages for breach of their conditions, causing clients to lose.

Court actions. The Commissioner can bring a court action for:

- Payment of an amount to be determined by the court as compensation for losses suffered by any other person.
- A penalty for punitive purposes.
- Interest.
- The costs of the legal proceedings.

Assurance/reassurance intermediaries

FAIS Act penalties and damages apply if the breach occurs when providing advice or intermediary services (see above, Assurance/reassurance providers).

Other providers of assurance/reassurance-related activities

FAIS Act penalties apply if the breach occurs when providing advice or intermediary services (see above, Assurance/reassurance providers). All providers of assurance-related services can be sued for damages arising from a breach of contract.

Restrictions on persons to whom services can be marketed or sold

15. Are there any restrictions on the persons to whom assurance/reassurance services and contracts can be marketed or sold?

There are no restrictions on the persons to whom assurance/reassurance services and contracts can be marketed or sold save for limits on insuring minors.

Reassurance monitoring and disclosure requirements

16. To what extent can/must a reinsurance company monitor the claims, settlements and underwriting of the cedant company?

The reinsurance treaty or reinsurance policy terms and conditions govern the extent to which a reinsurance company can or must monitor the cedant company's claims, settlements and underwriting.

17. What disclosure/notification obligations does the cedant company have to the reinsurance company?

The reinsurance treaty or policy's terms and conditions govern the cedant company's notification and disclosure obligations.

Assurance and reinsurance policies

Content requirements and commonly found clauses

18. What are the main general form and content requirements for assurance policies? What are the most commonly found clauses?

A "short-term personal lines policy" is a policy where a policyholder is a natural person acting otherwise than solely for their own business. Any other policy is a non-personal lines policy.

Personal lines policies

Personal lines policy wordings must comply with Policyholder Protection Rules. Under these rules, a personal line policy must:

- Be in plain language.
- Be fair and protect consumer interests.
- Give policyholders at least 90 days to make representations of a rejected claim or dispute concerning the amount of a claim.
- Advise policyholders of alternative dispute resolution mechanisms.
- Provide policyholders with a period after the expiry of the 90 days, of not less than six months, to institute legal action.

Policy content

The typical form of an assurance policy consists of:

A schedule of assurance, including:

- the insured's details;
- the insured property or risks;
- defined events;
- the period of assurance;
- the premiums;
- the commission; and
- the excess/deductible.

An insuring clause stipulates what type of assurance and benefit is offered and what risks are covered.

- The specific risks or benefits are covered.
- Exceptions and exclusions to cover.
- Limits of indemnity.
- General terms and conditions such as claim reporting and handling.
- Specific terms and conditions for each type of cover.

Typical clauses found in this policy wording are:

- War, riot, terrorism, nuclear risk and asbestos exceptions.
- Consequences for misrepresentation or fraud by the insured.
- Exclusions appropriate to the risk.
- Extensions for specific risks, such as product liability.

19. Is facultative or treaty reinsurance more common? What are the most commonly found clauses in reinsurance policies?**Facultative/treaty reinsurance**

Both facultative and treaty reinsurance are present in the South African market. Most insurers more commonly use treaty reinsurance.

Commonly found clauses

Reinsurance contracts can contain follow-the-settlements and follow-the-fortune clauses. Reinsurance treaties commonly include a choice of law, arbitration in the event of a dispute, and **consequences of misrepresentation and breach clauses**.

Implied terms**20. Are any terms implied by law or regulation (even if not included in the assurance or reinsurance contract)?**

The Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA) impose specific terms about:

- The free choice of the insurer in certain credit-related transactions.
- Prohibition on inducements to insure.
- Regulated termination provisions for non-payment of premiums.
- Misrepresentation and non-disclosure.
- Contracts with minors.
- Representations by agents.
- Pay-as-paid limits under which insurers must pay the insured even if the reinsurer has not paid the insurer.
- The rule against double compensation/indemnity.

There is a general duty of good faith concerning assurance policies.

Customer Protections**21. How do customer protections in the general law affect assurance contracts? What are customer protections generally included in assurance policies to supplement this?**

The Policyholder Protection Rules provide a review procedure for rejected or limited personal line claims. If an insured is unsatisfied with the outcome of a claim, or the amount received under a claim, it can complain to the relevant ombudsman.

A complaint can be made to the Financial Advisory and Intermediary Services Act 2002 (FAIS Act) ombudsman concerning providing advice or rendering intermediary services under the FAIS Act.

Finally, the insured can bring an action in court.

Consumer protection is likely to be strengthened because the Financial Sector Conduct Authority (FSCA) is reviewing the Conduct of Business framework. All personal assurance is subject to the overriding Treating Customers Fairly outcome-based regulation.

Standard policies or terms**22. What are the main standard policies or terms produced by trade associations or relevant authorities?**

The Competition Act 1998 prohibits standard industry-wide policy wordings.

The quasi-governmental South African Special Risk Assurance Association (SASRIA) provides cover for war risks, riots, terrorism, and similar events.

Assurance and reinsurance policy claims**Establishing an assurance claim****23. What must be established to trigger coverage under an assurance policy?**

For risk assurance, the following is applicable:

- Notice of claims must be given as soon as reasonably possible.
- Claims information must be provided in writing.
- If a claim is finally rejected, a court action must be instituted within contractual time limits, usually not less than six months.
- Claims can be rejected for the late notice.
- An insurer that has paid a claim (or not, if the contract allows it) can exercise subrogation rights against third parties to recover indemnified patrimonial losses.

Life and investment policies pay benefits based on the event of either the insured or the stated maturity date.

Third-party assurance claims**24. What are the circumstances in which third parties can claim under an assurance policy?**

A third party can claim under an assurance policy if he has been noted as a party entitled to claim benefits under the policy. Depending on the nature of the benefit, such a person may require an insurable interest.

A third party can claim losses directly from a liability insurer if the insured is declared insolvent.

Time limits**25. Is there a time limit outside which the insured/reinsured is barred from making a claim?**

Debt is generally (subject to some exceptions and extended periods) extinguished three years after the right to claim arose (Prescription Act 1969). Assurance policies typically include a time-bar period to institute a claim. The insurer is usually not liable if that term is not complied with.

Enforcement**26. Can the original policyholder or third party enforce the reinsurance contract against a reinsurer?**

A reinsurance contract exists between the insurer/assurer and the reinsurer. The original policyholder or another third party cannot enforce the reinsurance contract against a reinsurer as it

does not have a direct claim against the reinsurer. A policyholder can directly act against the reinsurer for a liability claim if the primary insurer is insolvent (Insolvency Act 1936).

A cut-through clause in the assurance and reinsurance policy entitles the insured to receive payment directly from the reinsurer (except in certain circumstances) where the primary insurer is insolvent.

Remedies

27. What remedies are available for breach of an assurance policy?

Insurer

The remedies available are to claim:

- Performance of the policy obligations.
- Damages (a damages claim is rarely brought).
- Cancellation of the policy.
- Costs of the legal proceedings (if the injured party brings legal proceedings).

Where either party has acted in bad faith when entering into an assurance contract, the contract may, depending on the circumstances, be void, voidable, or unenforceable.

Insured

The remedies for breach are the same as for the insurer (see above, Insurer), plus a ruling by the assurance ombudsman.

Punitive damage claims

28. Are punitive damages insurable? Can punitive damages be reinsured if an underlying policy covers them?

Punitive damages are generally not provided for in South African law. There is nothing in South African law to prevent an assurance policy from covering punitive damages, provided that the policy does not indemnify the insured for a risk that is the consequence of the insured's deliberate or intentional conduct. However, this would still need to be tested against public policy. If it contradicts public policy, the assurance policy would be unenforceable.

South African law allows for awarding damages for the breach of constitutional rights in circumstances where constitutional rights are affected and there is no other remedy. When it comes into operation, the Protection of Personal Information Act will allow for an award for aggravated damages for unlawfully processing or revealing private information.

Insolvency of assurance and reinsurance providers

29. What is the regulatory framework for dealing with distressed or insolvent assurance or reinsurance companies or other persons or entities providing assurance or reinsurance-related services? What regulatory and/or other protections exist for policyholders if the assurance company is insolvent?

The Insolvency Act 1936 applies to cases of insolvency.

The Short-term Insurance Act (STIA) and Long-term Insurance Act (LTIA) devote separate parts to the business rescue, placing under curatorship and winding up of insurers. The business rescue has the same object as Section 11 filings in the US.

The relevant Commissioner has the power to proceed or to intervene and to become a party to the insurer's application for business rescue, curatorship, or winding-up. The Commissioner will intervene if it deems it in the interest of the insurer's policyholders to do so, which is always the case.

To wind up an insurer, the Minister of Finance must approve it in writing. The policyholder will be an unsecured or concurrent creditor in the liquidation.

Where an insurer is in financial distress, the Commissioner will almost always apply to the court to put the insurer into business rescue. A curator or business rescue practitioner is a court-appointed figure, supervised by the high court, with wide powers to wind down the insurer in the best interests of the policyholders and creditors.

30. Can excess assurance policies "drop-down" to provide coverage if the primary insurer goes into insolvency?

See Question 29.

An insured can claim on excess assurance policies designed to provide additional financial cover in the event of a claim if the first insurer becomes insolvent. It is governed by the wording of the excess assurance policy and not the statute.

31. Is a right to set off mutual debts and credits recognised in an insolvency proceeding involving an insurer or reinsurer?

There is no right to set off mutual debts and credits recognised in an insolvency proceeding involving an insurer or reinsurer, except for setting off reciprocal debts such as unpaid premiums against claims.

In some circumstances, a liability claimant may recover their proved loss directly from their insurer if the liability insurer is insolvent.

Taxation of assurance and reinsurance providers

32. What is the tax treatment of insurers, reinsurers, and other persons or entities providing assurance and reinsurance-related services?

Short-term insurers

The ordinary rules for determining taxable income apply to short-term insurers, reinsurers, and other persons or entities that are residents and carry out short-term assurance business in South Africa. Short-term insurers can deduct the following as incurred expenditures:

- Premiums on reinsurance.
- The actual amount of liability incurred in respect of any claims, less any claims recovered, to the extent that the short-term insurer has paid the amount.

The tax legislation makes specific allowances for:

- An unearned premium provision is calculated per the provisions of the Short-term Assurance Act.
- Claims that the short-term insurer estimates will become payable are:
 - reported but not paid (reduced by any estimated recoveries under a policy of reinsurance); or
 - not yet reported (reduced by any estimated recoveries under a policy of reinsurance).

These allowances will be amended so that a short-term insurer is allowed to deduct amounts recognised as assurance liabilities under IFRS. These amendments will take effect from the assessment year ending on or after the date the Assurance Act 2016 comes into operation, probably in 2018.

Allowances claimed as deductions in one tax assessment year must be included as income in the next assessment year.

Long-term insurers

Long-term insurers have particular rules of taxation. Long-term insurers hold and administer some of their assets on policyholders' behalf, while the assets' balance belongs to shareholders. Long-term insurers are, therefore, taxed at different tax rates depending on which of the five funds' assets have been allocated to:

- Untaxed policyholder fund.
- Individual policyholder fund.
- Company policyholder fund.
- Corporate fund.
- Risk policy fund.

Assurance and reinsurance of dispute resolution

33. Are there special procedures or venues for dealing with assurance or reinsurance complaints or disputes?

Assurance disputes

If disputes cannot be agreed upon between the insured and insurer, the following methods can be used to deal with complaints or disputes:

- Policy or claim rejection disputes can be referred to as the short-term or long-term ombudsman.
- Disputes concerning the Financial Advisory and Intermediary Services Act 2002 (FAIS Act) can be referred to the FAIS ombudsman.
- Otherwise, disputes can be litigated in a court or arbitrated. Under the Policyholder Protection Rules, a personal lines policy cannot provide that disputes must be resolved by arbitration.

There are no specific remedies or procedures other than the rules of the Ombudsman and the Arbitration Act.

Reinsurance disputes

Formal disputes between insurers and reinsurers are rare. A compromise is usually sought for business or commercial considerations. If a reinsurance dispute is not resolvable by agreement, court litigation or arbitration is undertaken. There is a very limited South African case law body dealing with reinsurance disputes.

34. Are arbitration clauses in assurance and reinsurance agreements enforceable?

Under the Policyholder Protection Rules, a personal lines policy cannot require arbitration to resolve disputes. Arbitration clauses in other assurance policies are enforceable.

See Question 33, Assurance disputes.

35. Our choice of forum, venue, and applicable law clauses in an assurance or reinsurance contract recognised and enforced?

Assurance contracts of a registered South African insurer are governed by South African law, choice of forum and venue. Foreign reinsurance policies may have a foreign forum, venue and applicable law. It is determined by contract and private international law.

Reform**36. What proposals are there to reform the law, regulation or rules relating to providing assurance or reinsurance services?**

Below are current and future reforms of the law, regulation, or rules relating to providing assurance or reinsurance services.

Assurance Bill 2015

The Assurance Bill introduces a new solvency regime called the "Solvency Assessment and Management Project". It has been updated to reflect the revised Assurance Core Principles by the International Association of Assurance Supervisors (IAIS).

The Assurance Bill will have a prudential focus due to the "Twin Peaks model" of financial regulation. The Twin Peaks model is designed to remedy the current regulatory framework, which relies primarily on industry-specific regulators (often performing prudential, market conduct oversight, administrative and enforcement functions in their respective sectors). It has proved inefficient. The Twin Peaks approach entails creating a "prudential regulator" housed in the South African Reserve Bank and transforming the Financial Sector Conduct Authority (FSCA) into a dedicated market conduct regulator. Both regulators will jointly supervise anti-money laundering initiatives in the Twin Peaks programme, with the following responsibilities:

- The objective of the prudential regulator will be to maintain and enhance the soundness of regulated financial institutions in assurance, banking and financial conglomerates.
- The FSCA supervises business conduct, covering all aspects of banks, insurers, pension funds, and intermediaries.

It is unclear when the Assurance Bill will be promulgated. Its promulgation is dependent on the Financial Sector Regulation Bill, which will give effect to the "Twin Peaks Model." Once the Assurance Bill becomes effective, the industry will have two years to regularise itself.

Third-party cell captive assurance review

The FSCA released a discussion paper in June 2013 for comment on issues concerning affinity schemes, dedicated licences and limits for cell insurers. A cell insurer is a registered insurer that allocates shares to cell owners who place assurance for themselves or third parties through the insurer and derive profits from dividends based on the success of the introduced assurance portfolio ring-fenced from other cells. The FSA is to provide further guidance on what is considered a "cell insurer" and who can be a cell owner.

Micro-assurance

Micro-assurance will be regulated under the Assurance Bill 2015.

Treating Customers Fairly (TCF) principles

This principle-based policy requires insurers to develop principles around six outcomes to treat consumers fairly at all stages of an assurance transaction.

Retail Distribution Review

This intermediary remuneration review aims to promote appropriate, affordable, and fair advice and services. By regulating all fees for intermediary services, the review supports a sustainable business model for financial advice. The principles of this review will be implemented through the promulgation of the Assurance Bill and amended intermediary laws.

Demarcation Regulations

When the first draft of these regulations was published in 2002, there was much public comment on the prohibition on gap cover and product restrictions on hospital cash plan assurance policies. The latest draft acknowledges that health assurance products have a role in the marketplace but should operate within a framework that complements and does not compete with medical schemes. There are no regulations yet, which will likely be addressed by the new Assurance Act.

Reassurance review

The FSCA has conducted a reinsurer review of the South African market. Licensing issues have been reviewed, and the FSCA is considering requiring foreign reinsurers to register a branch in South Africa subject to specific requirements. Also, the FSCA is reviewing the risk required to be retained in South Africa, thereby preventing 100% fronting arrangements.

Unit 3: Summary

In this unit, we have discussed the various entities that invest in life assurance products: individual clients, another life assurer, pension funds and collective investment schemes.

We have looked at the various types of life assurance products:

- term assurance;
- decreasing term assurance;
- conventional life policy;
- the universal life policy;
- retirement annuities;
- investment-linked products;
- whole-life assurance;
- reinforced whole-life assurance;
- pure endowments; and
- endowment assurance.

Life policies include:

- Whole-life policies;
- Reducing and level-term policies;
- Universal life policies.

Disability policies include:

- Monthly income protection policies;
- Lump-sum/ capital disability policies.

Disability definitions and types of cover include:

- Occupational disability;
- Functional disability; and
- Physical disability.

We have discussed the benefits and need for retirement annuity products and need to understand that they differ from Life assurance products. A retirement annuity is the property of the fund and not the individual and, therefore, cannot be ceded as security. Certain tax benefits are also attached to the retirement annuity product.

We have also seen that an investment-linked plan is a life assurance plan that combines investment and protection. The premiums you pay provide you with life assurance coverage, and part of the premiums is invested in specific investment funds of your choice.

Dread disease/ severe illness or trauma cover is a risk-benefit that provides for the payment of a capital sum upon the confirmed medical diagnosis of a predetermined medical condition.

The policyholder must have an insurable interest in the insured person's life under the policy. Insurable interest relates to the fact that the policy owner stands to suffer financially if the life assured dies. The purpose of the requirement for insurable interest is to allow a distinction to be drawn between wagers (bets) and assurance.

Unit 3: Self-Assessment

Please note that the questions which follow are formative.

1. Who invests in life assurance products?

2. What are the features of a term policy?

3. What are the features of a whole-life policy?

4. Provide a graphic example of an endowment policy.

5. What must you, as a financial advisor, consider when advising a client on a retirement annuity to ensure no misunderstanding concerning the product?

6. List the benefits of investing in an investment-linked policy.
- a) A wide spectrum of investment choices;
 - b) Flexible premium;
 - c) Variable sum assured;
 - d) Variable death benefit;
 - e) Partial surrender/ withdrawals allowed; and
 - f) Capture the benefits of investing in investment funds.
7. A client's contribution towards a Retirement Annuity is tax-deductible up to which percentage?
- a) 7.5% of retirement funding income;
 - b) 27.5% of retirement funding income;
 - c) 15% of non-retirement funding income;
 - d) 7.5% of non-retirement funding income;
 - e) 15% of all income.
8. A client who withdraws from his retirement funds will receive a once-off tax-free portion of:
- a) R20 000;
 - b) R27 500;
 - c) R300 000;
 - d) R550 000;
 - e) No tax-free portion.
9. A client that retires from his retirement funds will receive a once-off tax-free portion of:
- a) R20 000;
 - b) R27 500;
 - c) R300 000;
 - d) R550 000;
 - e) No tax-free portion.

10. There are three primary forms of disability cover available. Select the odd one out.
- a) Occupational disability;
 - b) Physical disability;
 - c) Accidental disability;
 - d) Functional disability.
11. The following are features of monthly protection disability benefits. Select the incorrect answer.
- a) The cover is in the form of a monthly benefit;
 - b) Income disability benefits are available as stand-alone benefits;
 - c) Benefits are payable in the event of total, partial or temporary disablements;
 - d) If the life insured outlives the term, the policy will continue;
 - e) The level cover is less expensive than escalating cover;
12. The following are benefits of monthly protection disability benefits. Select the incorrect answer.
- a) Provision of a regular monthly income payment if the insured event occurs within a specified term;
 - b) Benefits are payable in the event of total, partial or temporary disablement;
 - c) The payment will commence once the waiting period has expired;
 - d) If the policy has an escalator, disability benefit levels will increase each year;
 - e) All of the above.
13. Lump-sum/ capital disability benefits consist of the following features, as listed below. Which one is not correct?
- a) The disability cover amount will be payable on the disablement of the client, in terms of the relevant requirements of the product provider concerned;
 - b) Lump-sum disability benefits are usually available as stand-alone benefits or as accelerators to a stand-alone life cover benefit;
 - c) The level cover is more expensive than the escalating cover. It is because the risk to the company decreases each year that the cover on the policy decreases;
 - d) The level of life cover is determined at the inception of the policy;
 - e) A client has a choice of cover patterns. The cover can either be levelled or escalated.